

# INTERGRATED ANNUAL REPORT AND FINANCIAL STATEMENT **2018**



HOME AFRIKA



# HOME AFRIKA

## CONTENTS

|                   |   |
|-------------------|---|
| About This Report | 4 |
|-------------------|---|

## COMPANY INFORMATION

|                                       |         |
|---------------------------------------|---------|
| Company details                       | 5       |
| Subsidiaries                          | 6       |
| Mission, Value & Slogan               | 7       |
| Performance review                    | 8       |
| Core values                           | 10 - 11 |
| History and background of Home Afrika | 12 - 13 |
| Organisational Structure              | 14      |
| Directors profiles                    | 15 - 19 |
| Managements profiles                  | 21 - 24 |
| Chairman's Statement                  | 26 - 27 |
| Managing Director's Statement         | 28 - 31 |

## OUR BUSINESS

|                                              |         |
|----------------------------------------------|---------|
| Company business model                       | 32 - 36 |
| Business environment and Operational context | 37 - 38 |
| Our Stakeholders Engagement                  | 39 - 41 |
| Material Risk and opportunities              | 42 - 48 |

## STRATEGY

|                                  |          |
|----------------------------------|----------|
| Strategy objectives              | 49 - 51  |
| Project report                   | 52 - 65  |
| Marketing report                 | 66 - 77  |
| ICT report                       | 78 - 80  |
| Human capital report             | 81 - 83  |
| Financial strength               | 84       |
| Performance against strategy     | 85       |
| Chief Financial Officer's Report | 86       |
| Sustainability report            | 87 - 93  |
| Corporate Social responsibility  | 94 - 100 |

## CORPORATE GOVERNANCE

|                             |           |
|-----------------------------|-----------|
| Corporate governance report | 101 - 107 |
| Directors' remuneration     | 108 - 115 |

## FINANCIAL REVIEW

|                                          |           |
|------------------------------------------|-----------|
| Company information                      | 118       |
| Report of the directors                  | 119 - 120 |
| Statement of directors' responsibilities | 121       |
| Report of the independent auditor        | 122 - 123 |

## FINANCIAL STATEMENTS

|                                                                         |           |
|-------------------------------------------------------------------------|-----------|
| Consolidated statement of profit or loss and other comprehensive income | 124       |
| Company statement of profit or loss and other comprehensive income      | 125       |
| Consolidated statement of financial position                            | 126       |
| Company statement of financial position                                 | 127       |
| Consolidated statement of changes in equity                             | 128       |
| Company statement of changes in equity                                  | 129       |
| Consolidated statement of cash flows                                    | 130       |
| Company statement of cash flows                                         | 131       |
| Notes to the financial statements                                       | 132 - 168 |
| Schedule of expenditure                                                 | 169       |

## OTHER INFORMATION

|            |           |
|------------|-----------|
| AGM        | 170 - 171 |
| Proxy form | 172       |

## ABOUT THIS REPORT

Home Afrika Limited is pleased to present its 2018 Integrated Report. The Group began this exciting Integrated Reporting journey in 2017 and this is the maiden report. The Group views integrated reporting as a means of communicating with its stakeholders and providing insight into the Group's governance, strategy, performance and future prospects.

### SCOPE AND BASIS FOR PREPARATION AND PRESENTATION FRAMEWORKS

This Integrated report has been prepared for the period January 2018 to 31 December 2018 and covers the activities of the company and its subsidiary companies. It has been prepared in accordance with the International Integrated Reporting Council's (IIRC) Integrated Reporting Framework (<IR> Framework). Home Afrika has applied the principles contained in the IFRS, Companies Act, Capital Markets Authority (CMA) Code of Corporate Governance, and the Nairobi Securities Exchange (NSE) listing requirements.

The report consciously communicates how Home Afrika's strategy, governance, performance and prospects lead to value creation for our stakeholders and Investors over the short, medium and long term.

### TARGET AUDIENCE AND MATERIALITY

This report is prepared principally for our current and prospective investors to support their capital allocation assessments. The report is also relevant for any other stakeholder who has an interest in our performance and prospects. This report focuses on material matters that affect our ability to create and sustain value and deliver on our strategy.

Material matters are those factors that have the most impact on our ability to create value. They have an impact on our performance and relationships with our stakeholders. These matters influence the strategic approach adopted in steering the group in the short, medium and long term.

### BOARD RESPONSIBILITY

The Board of directors confirms its responsibility to ensure the integrity of the report. In its opinion, this report provides a true position of the group's activities, material issues and performance.

2018 Integrated Annual Report and Group Financial statements were approved by the Board of Directors on the 29th July 2019

*Certain statements in this report may constitute 'forward-looking statements'. Such forward-looking statements involve known and unknown risks, uncertainties and other important factors that could cause the actual results, performance or achievements of Home Afrika Limited and its subsidiaries to be materially different from the future results, performance or achievements expressed or implied by such forward-looking statements. The Group undertakes no obligation to update publicly or release any revisions to these forward-looking statements to reflect events or circumstances after the date of this document, or to reflect the occurrence of anticipated events. These have not been reviewed or reported on by the Group's auditors.*

## COMPANY INFORMATION

### BOARD OF DIRECTORS

Linus Gitahi  
Mbugua Gecaga  
Peter Nduati  
Rachel Mbai  
Dan Awendo  
Caroline Kigen  
Ketan Shah

### REGISTRARS OFFICE

Cooperative Bank Registrars Services  
CIC Plaza, Upper Hill, Wing 2, 1st Flor  
P.O. Box 48231, 00100  
NAIROBI

### PRINCIPAL PLACE OF BUSINESS

Morningside Office Park  
Ngong Road  
P.O. Box 6254, 00100  
NAIROBI

### INDEPENDENT AUDITOR

PKF Kenya  
Certified Public Accountants  
P.O. Box 14077, 00800  
NAIROBI

### PRINCIPAL BANKERS

Kenya Commercial Bank Limited  
NAIROBI

I&M Bank Limited  
NAIROBI

Equity Bank  
NAIROBI

Eco Bank Kenya Limited

NIC Bank Limited  
NAIROBI

### LEGAL ADVISORS

Muriu Mungai & Company Advocates.  
NAIROBI.

Wainaina Ireri & Co Advocates  
NAIROBI

Robson Harris & Co Advocates  
NAIROBI

### COMPANY SECRETARY

Madren Oluoch-Olunya

## SUBSIDIARIES

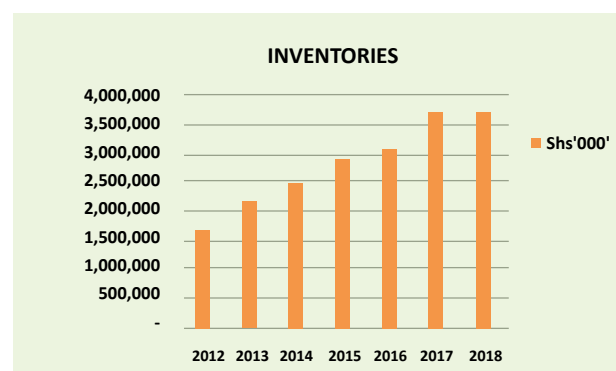
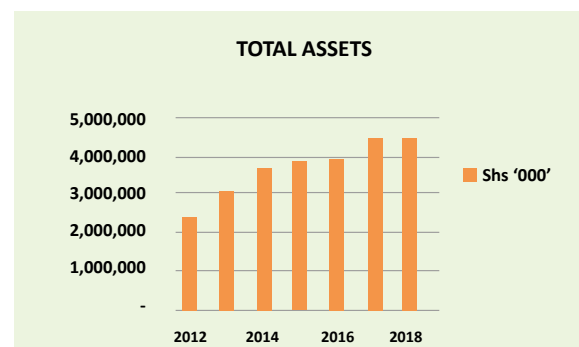
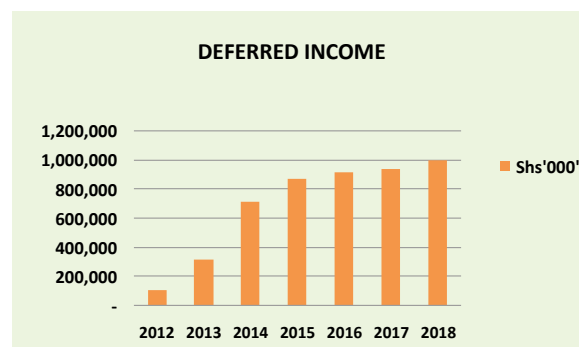


**SUBURBAN LIMITED**

## OUR PURPOSE AND VALUE



## PERFORMANCE REVIEW



### STATUS OF LAND SALE TRANSACTIONS

a) Actual sales analysis for the last 3 years



Entim Open Day

**Core Values:**

The Company's business development, internal interactions as employees and external interactions are driven and defined by our core values. These are :

P

**PASSION**

Passion for the job is every employee's emotional connection to their duties and their individual commitment to fulfilling their respective clients' needs.

Passion for the organization is the employee's and company leadership's collective commitment to fulfilling the company's vision for success.

Passion is a tenant of the Company's core values because it encourages the employees to remain committed to their work and to own their respective duties while serving internal and external clients.

R

**RESPECT**

Respect, as a company value in this instance refers to the ability to consider other people in work related interactions. The platinum rule regarding respect is if an employee requires it from others, they must also be respectful.

The Company currently has a diverse client base and its interactions with them are defined by non-discrimination in all its forms and dignity of all persons. Respect amongst employees and the Company's leadership means consideration of their privacy, physical space and belongings; different viewpoints, philosophies, physical ability, beliefs and personality.

I

**INNOVATION**

Innovation is the development of new values through solutions that meet new requirements, inarticulate needs, or old customer and market needs, in value adding new ways.

The Company remains committed to discussing and implementing employees' ideas for more effective policies, processes and methodologies. Employees are encouraged to engage their creative selves and contribute to the improvement of service delivery to internal and external clients.

D

**DISCIPLINE**

Discipline as a core value refers to the employees' ability to understand the company's business strategy, ethical standards of conduct and expected employee output and incorporating them whilst carrying out their individual duties and decision making processes.

E

**EXCELLENCE**

As a core value, excellence in the Company's context refers to the continuous improvement of the talent or quality that is unusually good and so surpasses ordinary standards. It is also used as a standard of performance.

Practice makes perfect and so every employee must be allowed to keep improving his or her performance over time.

S

**SPIRIT OF TEAM WORK**

Teamwork is the ladder that takes any organization to the heights of success. Teamwork is defined as the cooperative effort of a group of people to achieve a specific goal. This goal cannot be attained individually.

A group of people with different talents must work together to accomplish the task. Good teamwork is the essence of any organizational achievement. This brings results that are more fruitful. Thus, the spirit of teamwork is the first attribute that every leader strives to inculcate in his employees. Teamwork supports in developing remarkable moral values among the team members. At the Company, we will inculcate teamwork by encouraging the already present group prayer and team activities effort.

## HISTORY AND BACKGROUND OF HOME AFRIKA

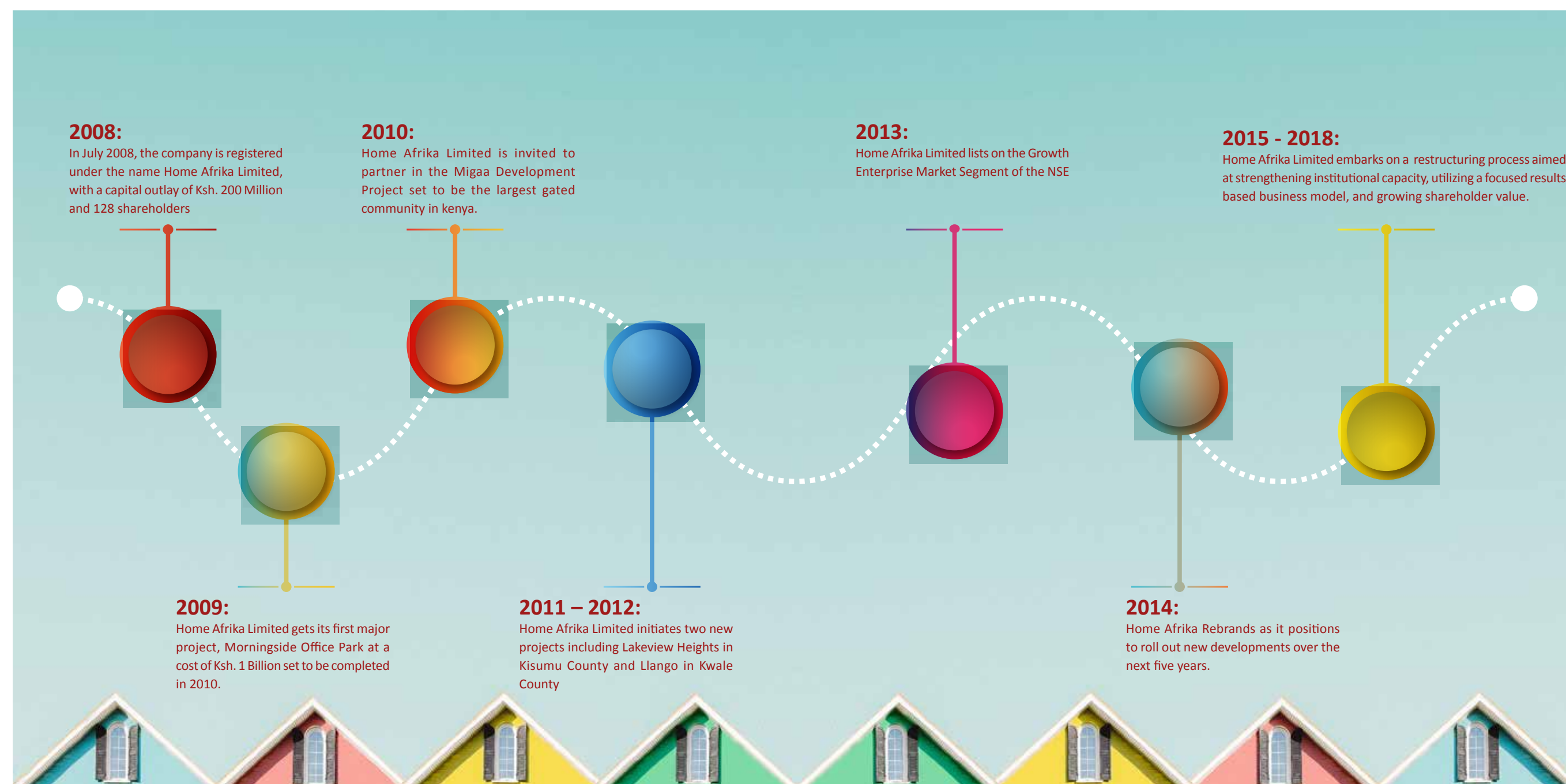
Home Afrika Ltd is a publicly quoted Real Estate company incorporated in 2008 and founded on a mission to address the housing need in Africa.

Home Afrika Ltd was listed on the Growth Enterprise Market Segment (GEMS) of the Nairobi Securities Exchange (NSE) in July 2013.

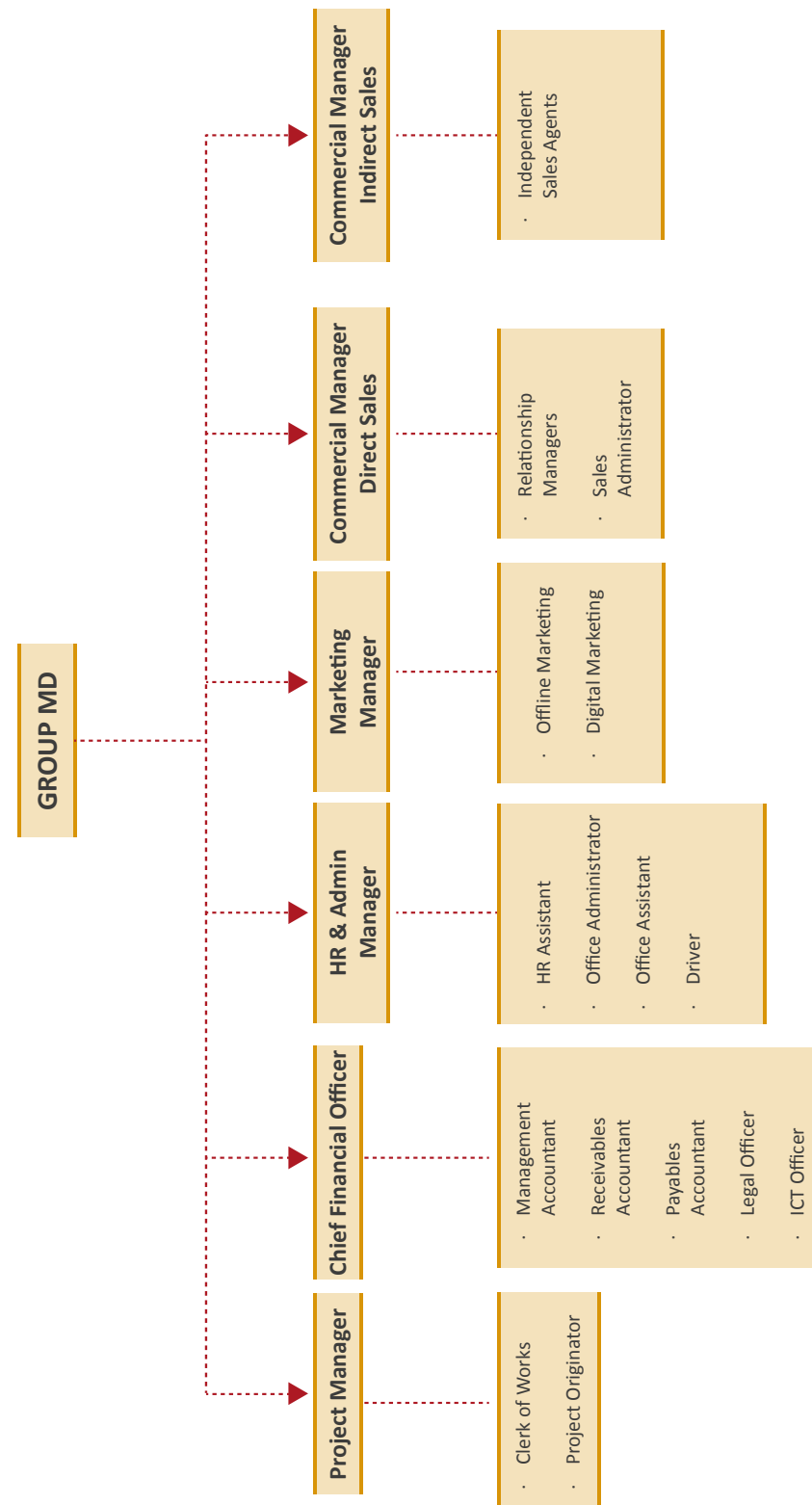
Home Afrika Limited seeks to create communities around Africa by providing quality, sustainable and affordable housing. We follow the principle of long term positive societal impact, creating synergies in our partnerships, integrity, fairness and discipline.

Our goal is to meet the huge demand for housing in Kenya and the rest of Africa.

### Key Milestones over the years: -



## ORGANIZATIONAL STRUCTURE



## DIRECTORS PROFILES



**Linus Gitahi**  
Chairman

**Years in Industry: 25+**

### Education

- Master of Business Administration(MBA) -United States International University
- Bachelors of Commerce –University of Nairobi
- Post-graduate Diploma-Kenya Institute of Management

### Industry

Business management, strategy and financial advisory

### Summary Experience

Mr. Gitahi is a seasoned corporate executive who most recently served as Group CEO of Nation Media Group, the biggest media firm in East and Central Africa from November 2006 to June 2015. He joined Nation Media Group after a long career as a senior executive with pharmaceutical giant GlaxoSmithKline in East and West Africa, the Middle East and Europe. He was the Managing Director of GlaxoSmithKline for West Africa from 2003 and prior to this position worked as the GM of Consumer Healthcare for East Africa and the Indian Ocean Islands.

Before GSK Linus was the head of African Consumer Marketing where he also held other positions within marketing. Throughout his longstanding career Mr. Gitahi has served in numerous board positions including being the national chairman of the Federation of Kenya Employers (FKE) Board, Director of Equity Bank Limited, Trustee of Street Families Rehabilitation, Board Member of Africa Media Initiative and Board Director of Property Development Management (PDM).



**Dan Awendo**  
Managing Director

**Years in Industry: 20+**

### Education

- AMP from Strathmore Business School and IESE Business School in Spain
- Certified Public Accountant, Strathmore University

### Industry

Audit, accounting, corporate finance and management consultancy

### Summary Experience

Mr. Awendo has over 20 years of post qualification experience in audit, accounting, management consultancy, corporate finance and entrepreneurship. Dan has worked in various senior management positions in both local and international companies and has been a board member of various companies and learning institutions in Kenya.

Dan is the founder and previously the CEO of Investeq Capital, a company that focuses on the unique environment of financing Small & Medium sized business in East Africa. Dan led Investeq Capital to win both local and continental awards in Strategy, Leadership, Customer Orientation, Financial Performance and Entrepreneurship.

He has also previously been named by The Business Daily as amongst Kenya's "High Impact Entrepreneurs" and also amongst Kenya's "CEO's with Golden Hands". He has also been profiled by The Standard Newspaper as a "Captain of Industry."

## DIRECTORS PROFILES



**Peter Nduati**  
(Non Executive Director)

Years in Industry: 25+

### Education

- Master of Arts, Aberdeen University, Scotland
- BA Economics, Government DAV College, Punjab University, Chandigarh India

### Industry

Business Management & Entrepreneurship

### Summary Experience

A pioneer in African insurance, Peter Nduati was named East African Entrepreneur of the Year in 2013 in the CNBC/FORBES All Africa Business Leaders Awards -The continent's most prestigious business awards, the AABLAs recognize innovators and pioneers in a variety of categories, reflecting the diversity of the African business environment. With a Master's degree holder in Economics and Insurance, Peter Nduati is a chartered insurer with over 28 years' experience in the East African Insurance Industry. Peter is the Founder and CEO of Resolution Group Ltd, a financial services company that owns Insurance and Credit business in the East Africa region. Formerly CEO of Metropolitan Health Group, a South African Health insurance group and was Managing Director of AAR Health Services Tanzania. He is the founder and main shareholder of Centric Air Ambulance, Chairman of True Blaq Entertainment, and Director Home Afrika Ltd, Pine Creek Holdings and Brown Oak Ltd an investment holding company. He was also admitted as a Global Fellow in the Africa Leadership Institute, the ASPEN initiative. The Africa Leadership Initiative (ALI) is a collaborative effort of seven partner organizations in Africa and the United States to foster values-based, action-oriented leadership in Africa. ALI Fellows are highly successful, entrepreneurial individuals from business, government and civil society.



**Mbugua Gecaga**  
(Non Executive Director)

Years in Industry: 20+

### Education

- MBA-Henley Management College
- Bachelors of Science-University of Nairobi

### Industry

Marketing, brand strategy and business management

### Summary Experience

A marketer by training Mr. Gecaga has over 20 years of experience in the Marketing and Branding profession. Having worked with British American Tobacco, the region's largest supplier of tobacco related products, in senior marketing positions in Kenya, Uganda, Ethiopia, Zimbabwe and the Indian Ocean Islands, Mbugua is well versed in strategic marketing, and he brings on-board important skillsets for the execution of the Company's marketing and sales strategies.

Mbugua is currently a consultant with Uza Bora Consultants.

He is also serving in the Finance, Procurement, Admin & Strategy Committee for Home Afrika Ltd where among others he oversees the Group's financial performance and strategy. Aside from his role in the committee, drawing from his years of experience in marketing, he ensures that Home Afrika Ltd is aligned strategically in relation to brand presence and market.

## DIRECTORS PROFILES



**Ketan Shah**  
(Non Executive Director)

Years in Industry: 25+

### Education

- Bachelors of Arts, Western Michigan University

### Industry

Real estate development and consultancy in business management

### Summary Experience

Mr. Ketan Shah has extensive experience in the Real Estate business having worked several years within the Industry.

He is the founding director of Coral Property Consultants Ltd and Coral Property International, both of which are esteemed Real Estate consultancy firms whose main focus is on property valuation, sales & marketing, management developing and related profitable investment solutions. He has a sturdy track record of originating, developing, and executing various gainful business ventures.

He has held business leadership positions in various firms including part owner of Packaging Manufacturing (K) Ltd. as well as the current Chairman of Llango, a subsidiary of Home Afrika Ltd.

In addition, Mr. Shah has held leadership positions in the Rotary Club of Mombasa, as well as being a past President of Round Table Movement.



**Caroline Kigen**  
(Non Executive Director)

Years in Industry: 15+

### Education

- Master in Business Administration (Accounting)
- Bachelors of Commerce—University of Nairobi

### Industry

Audit, accounting and financial advisory

### Summary Experience

Caroline, a member of the Institute of Certified Public Accountants of Kenya (ICPAK), is also the current chair of the Professional Accountancy Organization (PAO) Development Committee.

A role that she has served faithfully since January 2014. She previously served as a member of the Compliance Advisory Panel from 2008 to 2012 and its deputy chair in 2013; as the Chief Executive Officer and Secretary to the Council of the ICPAK, a position she held from 2006 to 2014. Mrs. Kigen has also held the role of Director of Professional Services and Deputy to the Chief Executive Officer of the ICPAK.

Caroline also has experience working within the academic world, having served as a lecturer of accounting at the University of Nairobi and Strathmore University for more than five years, as well as working within the audit and assurance department of PwC.

Mrs. Kigen has extensive experience in the boardroom having served in various boards and committees, including KASNEB, the body that examines the professional CPA examinations in Kenya.

## DIRECTORS PROFILES



**Rachel Mbai**  
(Non Executive Director)

**Years in Industry: 25+**

### Education

- Kenya School of Law - Bar Qualifying Examinations
- University of Nairobi, Kenya; LLB Honours

### Indsutry

Real Estate & Property Management, Environmental & Conservation Law, Property acquisition/disposal and development, Property Finance and loan securities and private client work.

### Summary Experience

Rachel Mbai is a Kenya Advocate, Commissioner of Oaths and Notary Public. After admission as an Advocate of the High Court of Kenya, she joined Kaplan & Stratton in 1991.

Her work encompasses property acquisition/disposal and development, property laws, property finance and loan securities and private client work. The Chambers and Partners Guide to the World's Leading Lawyers describes Rachel as: "very experienced, very thorough and very respected, particularly for large commercial real estate transactions.

A talented real estate specialist and go-to practitioner in the field." Rachel Mbai is a well-known name in the real estate sector, and frequently acts on leasing and conveyancing matters.

- Acted for a South African corporate entity with a local presence in Kenya in the disposal of its assets in Kenya valued at approximately USD 22.5M - preparation of transaction structural advice and transactional documents.
- Acting for a registered charitable trust with a local presence in Kenya in the disposal of its assets in Kenya valued at approximately USD 12.6M - preparation of transaction structural advice and transactional documents.
- Acted for Overseas Private Investment Corporation, in US\$ 9,600,000 project financing for erection of housing complex and assisted in recovery of the loan proceeds (sale of security) including the resultant litigation following default by the borrower.
- Acted for AAR Healthcare Holdings Limited in property due diligence and transaction documents for the acquisition of property on Kiambu Road for construction of a hospital.
- Acted for Quadco Two Hundred and Fifty Four Limited in the leasing of two properties in Ridgeways for the purposes of development of two iconic hospitals, one of which is valued at Kshs. 2 billion, and acquisition of an equity stake.
- Acted for East African Breweries Limited in the sale of 6 Acres of Land at Ruaraka, deal value at \$7m
- Acting for IFAW, a wildlife conservation client in creation of wildlife corridor; involved over 2,000 landowners ceding their land rights for conservation & creation of wildlife corridor.
- Acted for Britam- Purchase of prime real estate for redevelopment, deal value at \$3.7m
- Acted for a bank in a Share purchase of prime real estate holding company, deal value at \$6.4m

## DIRECTORS PROFILES



**MADREN OLUOCH OLUNYA**  
Company Secretary

**Years in Industry: 20+**

### Education

Madren holds various qualifications including a Master of Law Degree (LL.M) from the London School of Economics and Political Science, UK. She is an Advocate of the High Court of Kenya, a Certified Public Secretary (Kenya) and is also an alumnus of Strathmore Business School, Kenya and IESE Business School, Spain.

She is a founder Board Director of the Institute of Directors (Kenya) where she has been a member since inception in 2004.

### Summary Experience

Madren Oluoch-Olunya is the Managing Partner of Azali Certified Public Secretaries LL.P. a premium provider of board secretarial and corporate governance advisory services. She is a multi-skilled professional with extensive management and consulting experience gained over twenty (20) years in Board, Legal and Human Resource practice.

She has worked in both the public and private sectors and across finance, hospitality and fast-moving consumer goods industries within Africa. She has consulted for various clients including the IFC Africa Corporate Governance Program.

Madren works with various organizations to implement international best practices related to corporate governance and build capacity for the sustainability of these interventions. She has developed various corporate governance tools, facilitated training workshops, conducted governance assessments and board evaluations, led director searches, induction and provided general governance and HR advisory services in emerging markets.

Madren is an experienced Board director and Pension trustee and she participates as a speaker/panelist in several professional forums. She is also an accredited governance auditor.

**The Board of Directors holds widespread industry knowledge and practical experience from its more than 150 years of collective work experience.**



## MANAGEMENT PROFILES



**Dan Awendo**  
Managing Director

Mr. Awendo has over 20 years of post qualification experience in audit, accounting, management consultancy, corporate finance and entrepreneurship. Dan has worked in various senior management positions in both local and international companies and has been a board member of various companies and learning institutions in Kenya.

Dan is the founder and previously the CEO of Investeq Capital, a company that focuses on the unique environment of financing Small & Medium sized business in East Africa. Dan led Investeq Capital to win both local and continental awards in Strategy, Leadership, Customer Orientation, Financial Performance and Entrepreneurship.

He has also previously been named by The Business Daily as amongst Kenya's "High Impact Entrepreneurs" and also amongst Kenya's "CEO's with Golden Hands". He has also been profiled by The Standard Newspaper as a "Captain of Industry".



**CPA Jayne Nyokabi**  
Ag. Chief Finance Officer

CPA Jayne is a finance expert with over 15 years of experience in Accounting, financial advisory and reporting.

As a finance expert, Jayne is an energetic performance leader and a growth champion. She is in charge of developing finance organizational strategies, analysis, and recommendations to strategic thinking and direction; establishing functional objectives in line with Home Afrika Limited's objectives.

Her responsibility involves financial advisory and management, increasing financial stability, establishing finance operational strategies by evaluating trends; determining profitability, accumulating resources and implementing changes as well as ensuring efficient resource utilization for the company.

Jayne holds a Bachelor of Commerce (Finance), and is ongoing with her Masters. She is a Certified Public Accountant of Kenya and a registered member with ICPAK. She is also a member of (AWAK) the Association of Women Accountants in Kenya.

MANAGEMENT PROFILES



**David Abuoro**  
Project Manager

David, a Lic. Architect by profession, has over 12 years of extensive experience in project management.

As Head of Projects at Home Afrika, David is responsible for initiating new projects, planning, implementation, monitoring and closing out all of Home Afrika’s projects. He has successfully overseen the rollout of three projects with a collective value of USD \$30 Mn.

Prior to this role, David worked at the Ministry of Land, Housing and Urban Development and assisted in facilitating efficient land administration and management. Their key mandate involved urban planning and ensuring that their were adequate and affordable housing, social and physical infrastructure for national development. He was directly involved in over 20 projects such as the constructions of institutions of higher learning, office blocks and research facilities

David holds a Bachelors of Science in Project Planning and Management - Moi University and a Diploma in Architecture - Kenya Institute of Highways and Building Technology and a member of the Architectural Association of Kenya.



**Natasha Murgor**  
HR & Admin Manager

Natasha brings over 10 years experience in administration, marketing and Human Resource Management.

As the Head of Human Resources she is tasked with spearheading the recruitment process, reviews and develops relevant policies, handling any grievances and implementing disciplinary procedures. In her dual role as Head of Administration, she oversees the support staff, manages service contracts and the office space, while also leading the implementation of new office administrative procedures and policies.

Prior to holding this role she was the Executive Assistant to the CEO.

Natasha graduated at Africa Nazarene University with a Bachelors of Commerce degree specializing in Marketing and Management. Ms. Murgor also holds a Post Graduate diploma in Human Resource Management and is a registered member of the Institute of Human Resource Management.

MANAGEMENT PROFILES



**Brian Mawanda**  
Commercial Manager - Indirect Sales

Brian Mawanda brings over 10 years experience in Business Development and Corporate Relationship Management with various banks, including; Standard Chartered Bank, NIC Bank and Chase Bank.

He brings on board business process improvement in sales, sales operations management, and cross-functional team leadership skills.

His responsibility at Home Afrika Limited; is to ensure revenue growth and development of strategic business partnerships. Brian holds a Bachelors Degree in Communication and Business Administration from Daystar University. He is currently pursuing a Masters Degree in Strategic Management.



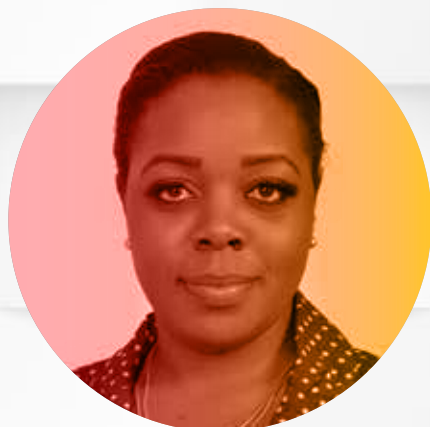
**Bruno Obodha**  
Commercial Manager - Direct Sales

Bruno has a wealth of experience in sales across various industries. Bruno acquired most of his training and experience in sales from the banking industry where he started as a Sales representative and rose to become the regional sales manager in Faulu Kenya, a micro-finance institution.

Prior to joining Home Afrika Ltd he was the Country sales & Partnership Manager at PayKconnect Kenya where he was instrumental in developing and implementing its National Commercial Strategy. Under his leadership he was responsible for steering the company towards achieving a profitable sales volume. He has held similar roles in other institutions such as Ringier Kenya Ltd which runs various ecommerce sites and Kenya’s premier job application site, BrighterMonday.

Alongside pursuing his PHD, Bruno holds a Masters in Project Management- University of Nairobi, a Bachelors of Science in Economics- Bugema University and a Post graduate diploma- Kenya Institute of Management.

# MANAGEMENT PROFILES



**Anita Wanaswa**  
Marketing Manager

Anita is an accomplished and passionate marketer with experience gained through working in the marketing industry for over 8 years with a proven track record in successfully developing and executing various marketing programs.

As the PR, Brand and Marketing Manager, she has played a part in the development of the brand marketing strategies in order to establish strategic direction and program positioning. In this capacity, she has developed marketing partnerships with external partners in an attempt to broaden the reach of the business’s brand messaging.

She has also contributed to the development and execution of all ground events, promotions, and stunts for the brand. She has also played a managerial role in the production process for all offline marketing materials.

She has successfully been able to strike a balance in ensuring all branding and key information strategies are in line with overall business strategy without compromising the brand’s integrity. Prior to working for Home Afrika, she was the Marketing Manager at VAAL Real Estate and handled various marketing roles at Resolution Insurance Limited with the most recent being Product Marketing.

Anita holds a Bachelor of Arts in Communications, is ongoing with her Masters in Business Administration and CIM Level 6.



**Dickson Wanjohi**  
General Manager - Migaa

Dickson has over 15 years of experience having worked for various organisations including Taxplan Consulting Associates, Oldonyo Laro Group Ltd and has in-depth experience working with Audit, Accounting, Tax and Financial Reporting.

His responsibility involves the daily management of Home Afrika Communitites Limited (Migaa) - a subsidiary of Home Afrika Limited - where he ensures profitability, growth and goodwill as well as resources being utilized in the most efficient manner.

Dickson holds a Masters Degree in Strategic Management from the University of Nairobi and a Bachelors degree in Business Management specializing in Finance and Banking from Moi University.

Dickson is a CPA (K) and registered member with ICPAK.



Staff Photo

## CHAIRMAN'S STATEMENT



Dear Shareholders,

On behalf of the Board of Directors, I am pleased to present to you the group integrated annual report and financial statements for the year ended 31st December 2018.

The year 2017 was characterized by highly divisive political campaigns and a tension-packed general election, beginning of 2018 the economy was still unstable until around March 2018 when the famous 'Handshake' came into play.

**Many economic sectors, including real estate breathed a huge sigh of relief as it brought a level of political stability into the country.**

Despite the stability, there were some challenges like the interest rate cap, low disposable income by property buyers that caused slow growth in the real estate sector.

This saw the group report a decrease of 36.8% in absolute sales from Shs 921M in 2017 to Shs 582M in 2018. Adjusted for percentage of completion the group reported a 58.5% decrease in revenue from Shs 263M in 2017 to Shs 109M in 2018.

### An Overview

While economic activity faltered following the 2008 global economic recession, growth resumed in the last five years reaching 5.9% in 2018 placing Kenya as one of the fastest growing economies in Sub-Saharan Africa.

Real GDP grew an estimated 5.9% in 2018, from 4.7% in 2017, supported by good weather, eased political uncertainties, improved business confidence, and strong private consumption.

Growth is seen easing in 2019 due to erratic weather conditions which will weigh on agricultural output and, in turn, constrain private consumption growth.

While large-scale public infrastructure projects under the "Big Four Agenda" should buffer any slowdown, the interest rate cap will likely continue constraining the activity of SMEs. Focus Economics analysts project GDP growth of 5.6% in 2019, which is down 0.3% and 5.7% in 2020.

### 2016/18 Strategy (Home Afrika 2.0)

The process of fundraising has, albeit slow, so far progressed very well. We are hopeful that this process will be successfully concluded shortly as there is a potential investor the group is negotiating with.

The funding acquired will be used primarily to facilitate completion of our projects within Migaa Golf Estate including infrastructure works and thereby help significantly increase the percentage of completion of the project which has a direct favorable effect on profitability and shareholder value. The group's board and management will continue streamlining costs and increasing efficiency to improve profitability in order to grow shareholder value.

Management continues to spend significant amounts of time focusing on completing the fundraising process and on turning around the company in order to return to profitability within the shortest time possible. The directors remain confident of the substantial underlying medium to long term value of the group's land bank and therefore profit generation capacity in the periods ahead.

### Board Operations

During the year 2018 the board was very stable, there were no changes in the board membership.

The Board of Directors remained committed to overseeing the implementation of sound corporate governance practices and structures. To enable efficient discharge of its duties, the Board delegated its authority to various committees which include; the Nomination, Governance, HR & Administration Committee which is particularly tasked with ensuring compliance with regulatory requirements.

### Share Performance

Despite our depressed share price, the book value of the group's sellable land and other inventory increased from Shs 3.698 billion in 2017 to over Shs 3.743 billion in 2018.

We know it's a fact that our market capitalization is not reflected in our balance sheet size especially if the current land market values are factored in. This is because our inventory in the balance sheet is carried at cost and not at the market value. This is in line with IFRS reporting requirements.

### Dividends

The directors do not recommend a dividend for the period ending 31st December 2018

### 2019 Strategic Outlook

The economy decelerated in the first quarter as delayed rains curbed agricultural output, the cap on the commercial bank lending rates continues to restrain economic progress.

Kenya has continuously stood out as the place to invest in Sub Saharan Africa in spite of the challenges that it faces. Investors continue to be bullish about the economy because of the country's importance to the regional economy and its focus on investments around the government's Big 4 Agenda.

Among the Big 4 pillars is the development of affordable housing, this provides an exciting opportunity for Home Afrika. The company continues to investigate ways and means of engaging with this opportunity immediately its fundraising process is successfully concluded.

At Home Afrika, we will continue to march forward confidently as we continue to address the housing needs in Africa, deliver sustainable shareholders value and contribute to the country's economy development. 2019 promises good progress especially as we conclude the fundraising exercise.

### Appreciation

I would like to express my sincere gratitude to you, Home Afrika shareholders for the continued support to our company.

I recognize the contribution of my fellow Directors and the Management team for the continuous delivery to the promise of building an extraordinary business anchored on a solid vision.

Let me take this opportunity to acknowledge our almighty God as our provider in the success we have so far been able to achieve. May you all be blessed and best wishes.

LINUS GITAHI

CHAIRMAN  
Home Afrika Ltd

## MD'S STATEMENT

Dear Shareholders,

I am pleased to present you with the financial results for the year ended 31st December 2018.

### 2018 Performance Review

The company continues to generate strong cashflows from sale of its property inventories especially at its signature project, Migaa Golf Estate. Actual sales were at Sh582 million in 2018 compared to Sh921 million in 2017.

Over the last two years the group has generated in excess of Sh1.3billion in cash to support its restructuring plans and continue managing its debt obligations.

In 2018, we experienced a slow growth in real estate due to uncertainties such as caused by difficulty in accessing bank loans and a general slowdown in the spending power amongst property buyers.

While the company recorded actual revenue of Sh582 million in 2018, this was a 36.8% reduction in revenue compared to 2017 which recorded revenues of Sh921 million. Revenues based on project percentage of completion on the other hand also declined from Sh263 million in 2017 to Sh109 million in 2018, a 58.5 percent decline owing to a modest 1% increase in percentage of completion in 2018 compared to 2017.

Owing to the company's revenue recognition model and guided by the International Financial Reporting Standards (IFRS9), most of the revenues were booked as liabilities on the balance sheet either as deferred income or as deposits received from buyers for purchase of property from the group.

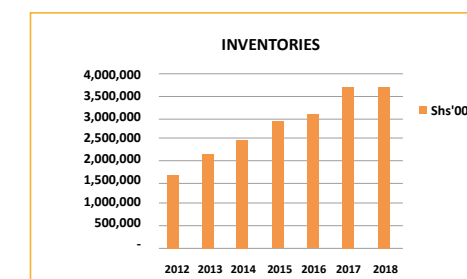
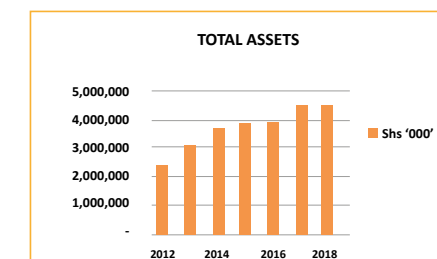
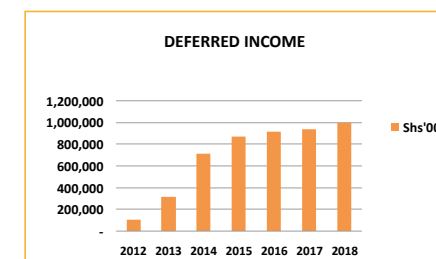
The group operating expenses went up, mainly driven by the fundraising roadshows, application of IFRS 9 and other professional fees, leading to a loss of Sh346 million in 2018. International Financial Reporting Standards IFRS only allows us to recognize deposits from sales as revenue once a plot owner has completed payment, title has been processed and the project is complete. This means that approximately Sh2.6billion in 2018 compared to Sh2.3 billion in 2017 that we have received as sales and sales deposits are reflected as



deferred income and deposit received liabilities in our books thus presenting a more depressed outlook on our financial position. These funds will automatically convert into the income statement over the next couple of years as the Migaa project gets closer to 100% percentage of completion.

The road and golf course works at Migaa Golf Estate is in high gear and the completion of the project is estimated at between 2 to 3years. The book value of the group's sellable land and other inventory increased from Sh3.6 billion in 2017 to over Sh3.7 billion in 2018. This signifies continued investment in the various project which will certainly help improve the market value of the land as the land becomes more desirable.

We are, however, keen on new sales, collections and restructuring of debt in order to improve our cash position. The group is currently engaging three financial Institutions owed various debt facilities. Negotiations on restructuring and reorganization of the facilities are at an advanced stage.



### Status of Land Sale Transactions

#### a) Actual revenue analysis for the Last 3 years

| YEAR | ABSOLUTE SALES |
|------|----------------|
| Shs. |                |
| 2016 | 849 million    |
| 2017 | 921 million    |
| 2018 | 582 million    |

The cashflow emanating from the above sales has majorly been deployed in the completion of Mitini Scapes estate development within Migaa Golf Estate project. Mitini Scapes Estate is now complete. Handover to home owners now ongoing.

Key infrastructure works in Migaa including roads, boundary wall, electric fence, water and sewer reticulation are being accelerated and providing a base for significant inventory value growth even in this challenging real estate environment.

### Business model

Group activities are now modelled around our core activity, commercial. We ensure we have the right product /projects; which include Smart plots, Developments, Migaa Products, Property letting services, Short stay rentals, Property Management Division and Land Survey and subdivision. Marketing these products is also fundamental which we do through; Social Media, Corporate Activities, Mall Activations and Sponsorships.

The group uses various approaches to financing the business including JV Equity and Debt.

The group also has other non-core functions that support the business including Accounting, Legal, I.C.T, Human Resources, Administration and Asset Management.

### Smart plot projects

To improve on our liquidity, in 2018 the group ventured into new affordable projects, smart plots. This entails acquiring land parcels, adding value to them and offering them to the group's more than 10,000 captive market.

- Sidai Plains (Isinya): 7acres - 52 plots now SOLD OUT!
- Entim Breeze (Ngong): 12acres - 90 plots now SOLD OUT!

### Status of Strategic Investor

To accelerate the completion of its projects and effectively see all of the Sh.2.6billion deferred revenue and deposits from sale of plot translate into revenue, the firm is seeking to raise capital from a strategic investor(s).

We have an interested suitor who has a significant land portfolio and who is keen to develop affordable housing on some of the group's existing land bank. Discussions are at an advanced stage. Further details will be shared as arrangements are concluded.

With this investment arrangement, we will not need to raise our share capital as endorsed earlier.

Status of Board and Management Governance Structure  
All the necessary board and management changes have been approved and effected thereby injecting new skills and human resource capacity that would drive the business to greater heights.

The group has well complied with Capital Markets Authority Corporate Governance Code that enables it run professionally and smoothly to meet stakeholder objectives. A governance audit has also been undertaken to test the efficacy and use of the corporate governance code within the organization.

### Outlook

The number of companies in Kenya running real estate business has increased exponentially within the last two years.

Most companies are joining the industry targeting the hyped high profit margins attached to the sales and rental of properties, most have a life span of one to two years before they collapse as they face the risks that come with being in the industry with little knowledge and experience.

Home Afrika Limited is the only real estate company listed on the Growth and Emerging Markets Segment (GEMS) at the Nairobi Securities Exchange (NSE).

The group is committed to delivering decent, planned and affordable homes through mass housing programs.

Our development approach is to undertake projects in the counties in Kenya and eventually expand to other countries in Africa. Since its inception as an investment club in 2008, the group has completed projects that include Morningside Office Park and Mitini Scape.

### Appreciation

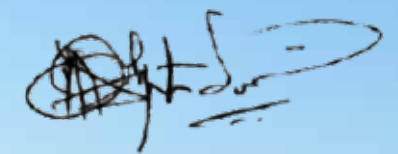
In conclusion, I would like to express my sincere gratitude to our Board of Directors for the guidance and continued support.

We equally remain most grateful to our shareholders, development and strategic business partner for trusting us with their resources.

Lastly, to my fellow colleagues the staff at the Home Afrika group, without whom the above achievements would never have been possible.

I appreciate every individual's passion and enthusiasm as each delivered on their respective KPIs. Thank you so much for your efforts, dedication and determination. I look forward to an exciting and more successful 2019.

DAN AWENDO



MANAGING DIRECTOR,  
HOME AFRIKA LIMITED

## THE COMPANY'S BUSINESS MODEL



BUSINESS MODEL ACTIVITIES

DEVELOPMENT

Once the land purchased and planning has been completed the actual development of the project can begin. Home Afrika only procures high quality materials that also live up to all current environmental requirements and is therefore known in the market for only developing projects of the highest quality.

Through economies of scale and by having strong relationships to key suppliers it is still possible to keep costs at a minimum. Securing the required funding for a project in due course and on an affordable basis is another extremely important factor for a successful property developer. Our typical funding structure normally includes equity, debt and pre-sales.

Over the years Home Afrika has managed to improve its relationships with various financial players in the market spanning from commercial banks, potential equity investors and new commercial partnerships

The company is cognizant that securing adequate funding in a timely manner has previously presented some challenges. It is for this reason that a central part of Home Afrika’s Short to Medium Term Strategy “Home Afrika 2.0” is looking to on-board a new strategic investor with substantial financial capacity. Home Afrika will additionally continue to seek new commercial partnerships as well as building its relationships with key financial institutions in order to further strengthen this area.

PRODUCTS/PROJECTS

- Home Afrika has diversified in the following products/ project so as to expand its revenue streams :
- Property sales
    - Migaa
    - Smart plots
  - Property development
  - Property management
  - Property letting
  - Short stay accomodations
  - Land survey

This is within the goal of establishing itself as around solution provider in real estate industry.

PRODUCTS/PROJECTS

|                         |                        |
|-------------------------|------------------------|
| 1. Property Sales       | 4. Short stay          |
| 2. Property development | 5. Property Management |
| 3. Property letting     | 6. Land Survey         |

MARKETING

Home Afrika uses various marketing strategies to reach its wide clientele base that includes corporates, diaspora, investment groups, business world among other sectors of the economy. It does this via; social media marketing, corporate presentations, mall activations, sponsorships e.g. golf tournaments, diaspora engagements and out-door activities.

MARKETING

- Social Media
- Corporate Activities
- Mall Activations
- Sponsorships

COMMERCIALIZATION

This involves careful design planning, permitting and engineering where the fully integrated model of Home Afrika again helps to ensure an efficient process. All processes are aligned through the continuous feedback loop that takes place and the execution risk is ultimately reduced.

Target clients’ expected requirements are also included in the process to ensure that the commercial side is always aligned to the planning and designing of the project.

Monitoring new construction regulation on a continuous basis by carrying out a detailed advance study of the existing master plan also helps to improve the chance of receiving all necessary approvals in good time.

COMMERCIALIZATION

- Corporate Activations
- Open days
- Site Visits
- Investor talks/Presentation

THE BUSINESS MODEL BREAKDOWN

| CAPITALS                                                                                                                                                                                                                                                                                                                                                                       | INPUTS                                                                                                                                                                                                                                                                                                                  | OUTCOMES                                                                                                                                                                                                            | BUSINESS ACTIVITIES TO ENHANCE OUTCOMES                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | CHALLENGES                                                                                                                                                                                                     | COMPETITIVE ADVANTAGE OF THIS CAPITALS                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. OUR PEOPLE                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| Human Capital <ul style="list-style-type: none"><li>At Home Afrika Group, the expertise, wellbeing and motivation of employees, contractors and service providers are a key factor to generating value.</li><li>We ensure provision of a safe working environment, and invest in training of our employees. We further ensure fair labour practice.</li></ul>                  | <ul style="list-style-type: none"><li>52 Skilled and motivated employees</li><li>30 Casual Workers</li><li>5 Indirect sales team</li><li>An experienced and diverse Board guided by the company values</li></ul>                                                                                                        | <ul style="list-style-type: none"><li>Kes. 5,336,062 was invested in training of employees; and general staff welfare</li><li>51.9% of women in the workforce</li></ul>                                             | <ul style="list-style-type: none"><li>The strength of our corporate culture, the appreciation based on meritocracy and the investments in our employees’ professional development are some of the initiatives that add value over time.</li><li>Home Afrika has developed a capable and engaged workforce while ensuring a clear succession plan for its staff</li><li>We further ensure a safe workplace and promote the health and wellbeing of our employees</li><li>The Home Afrika Board provides leadership through responsible citizenship</li></ul> | <ul style="list-style-type: none"><li>Cost of acquisition of competent staff and their retention implies relatively high cost</li><li>Staff exits</li><li>Law suits - with regards the exiting staff</li></ul> | <ul style="list-style-type: none"><li>The diverse backgrounds and professional training of our staff at HAL ensure that we are a leader at the Real estate market.</li><li>At Home Afrika, we are an equal opportunity employer without regard to race, national origin, religion, gender, age, sexual orientation, veteran status, physical or mental disability or other basis protected by law. While theCompany is committed to following this principle in every facet of employment, all employees share in the responsibility to promote and foster a favorable work environment.</li></ul> |
| 2. STAKEHOLDERS                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| Social Capital <ul style="list-style-type: none"><li>Developing and maintaining trusted relationships is a foundation for value creation. This has taken on added significance given the recent negative reviews on real estate firms. The challenging and competitive price environment has required us to take actions that have tested many of our relationships.</li></ul> | <ul style="list-style-type: none"><li>Positive relationship with our Customers.</li><li>7602 No of shareholders (Full list on page 107)</li><li>Positive supplier relationships</li><li>Cooperation from government and regulators.</li><li>Positive relationship with unionised and non-unionised workforce.</li></ul> | <ul style="list-style-type: none"><li>51.9% women in workforce</li><li>Amicable Project close out for Lango, Lakeview,Kikwetu &amp; Kantafu projects</li><li>Delivery of social benefits to the community</li></ul> | <ul style="list-style-type: none"><li>Timely communication with our stakeholders</li><li>Ensuring full compliance with all the regulators</li><li>Upholding highest social standards</li><li>Making a positive social contribution through our CSR(Full report on Pg 94-100)</li></ul>                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |

THE BUSINESS MODEL BREAKDOWN

3. NATURAL RESOURCES

|                 |                                                                                                                                                                                                        |                                                                                                                                                                                                                                                    |                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                           |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Natural Capital | <ul style="list-style-type: none"><li>We use borehole water for all our completed projects, Migaa and Morningside Office park</li><li>Solar usage in our residential properties, i.e. Mitini</li></ul> | <ul style="list-style-type: none"><li>We have adopted a 50% green concept in Migaa, where for every 1 acre of build, we have 1 acre of green</li><li>Garbage recycling in Morningside Office park</li><li>Sewer Treatment plant at Migaa</li></ul> | <ul style="list-style-type: none"><li>Provide leadership through responsible citizenship</li><li>Conducting energy audits</li></ul> | <ul style="list-style-type: none"><li>Long term nature of the projects at HAL leading to unease with clientele</li><li>Share price is dictated by market forces since Home Afrika is a publicly listed company, leading to share price fluctuations. As a result, the share value doesn't necessarily portray the book worth of the company.</li><li>Not all clients are acceptable to the project close outs leading to lawsuits</li><li>Stringent regulations from the government</li></ul> | <ul style="list-style-type: none"><li>At Home Afrika, the 1 acre of green for every one acre of build is a unique concept that's been incorporated at our Migaa project. It ensures that we conserve green space, and is one of a kind in Kenya</li></ul> |
|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

3. MANUFACTURED CAPITAL

|                                         |                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                             |  |
|-----------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| Buildings, Equipment and Infrastructure | <ul style="list-style-type: none"><li>Investment property of Kshs 623 Million</li><li>Plant and equipment of Kshs 55.5 Million</li><li>At Migaa, infrastructure works include road network, water and sewer reticulation, MATV and Internet fiber cabling, and the boundary wall.</li><li>Adoption of smart metering</li><li>IT System</li></ul> | <ul style="list-style-type: none"><li>Capital Expenditure of Ksh 679,581,121 Million on plant &amp; Equipment</li><li>Plant and Machinery impairment of Kshs 6,874,918 Million</li><li>Total infrastructure works done are at 46%</li><li>Total Land area-Kes. 774 Acres</li><li>Location-Kiambu County</li></ul> | <ul style="list-style-type: none"><li>High tax implication due to fair value gains on investment property</li><li>High cost of acquisition and maintenance of plant and equipment</li></ul> |  |
|-----------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|

BUSINESS ENVIRONMENT AND OPERATING CONTEXT

In 2018, several key factors influenced the context within which the company operates. These factors are as follows:

- a. Interest Rate Cap
- b. Affordable Housing Program by the Government of Kenya
- c. Supply/Demand Dynamic

INTEREST RATE CAP

After the commercial banks’ lending rate was capped at four percentage points above the central bank benchmark rate back in September of 2016, the effects continue to be felt in the real estate sector. Banks have reduced lending to real estate companies, developers and even customers seeking mortgages, with the reason that, with the cap in place, risk cannot not be priced properly and at a price the lender is comfortable with.

Therefore, borrowers that are deemed to be too risky, real estate companies and companies being considered as such - are denied credit. With fewer mortgages being issued, developers with complete units are struggling to offload them. Consequently, they end up struggling to service the loans they had taken to develop the units.

STRATEGIC RESPONSE

Home Afrika Limited being a developer also, is directly affected by the effect of the reduced lending to the real estate sector. Having developed Mitini Scapes, a complete 82-unit project within Migaa Golf Estate that has a few units remaining to be sold and that was partially financed through debt, a reduced number of off-takers for the remaining units is a reality that the company has to strategically deal with.

As a response, in 2018, Home Afrika changed its strategy on how to offload the remaining Mitini Scapes units by being customer centric.

The company studied the current & potential Mitini Scapes customers and found innovative and creative ways to meet to the customers’ needs and expectations.

This change of approach led to the sale of a significant number of units and consequently, a significant reduction in the loan that is currently being serviced for the development.

AFFORDABLE HOUSING PROGRAM BY THE GOVERNMENT OF KENYA

In December 2017, President Uhuru Kenyatta announced the four pillars of his administration which are referred to as the Big 4 Agenda.

One of these pillars is Affordable Housing whose target is to develop 500,000 affordable, new units, across the 47 counties, by the end of the President’s second term.

The major objectives under the Affordable Housing Pillar are:

- to reduce the cost of home ownership by 50%
- reduce the average cost of construction by 30%
- and reduce the low-income housing gap by 60%.

These objectives are very attractive to the low-end market and caused a wait-and-see response from the market to result.

Home Afrika, having affordable properties under the Smart Plots projects is directly affected by the Affordable Housing Program given, to a very large extent, the person who would be interested in the affordable houses is the same person who would be targeted to buy the affordable property by the company.

STRATEGIC RESPONSE

Home Afrika, in this case too, strategically responded by focusing on the customer. The company got properties in areas that the customer would want to own land and gave customers longer payment plans within which to pay for the properties. This made the investment attractive to customers and as such, the company was able to successfully sell a significant number of the properties.

### SUPPLY-DEMAND DYNAMIC

Upon review of the real estate market, research shows that some segments have an over-supply and low demand while other segments have very high demand and very low supply.

Provision of housing units to the top segment of the market – the upper and middle classes – is almost at a glut creating a high supply but low demand dynamic. On the other hand, the low end of the market that needs provision of affordable units has a high very demand but low supply dynamic.

Commercial spaces, more so Malls and Office spaces, have a glut supply and very low demand.

### STRATEGIC RESPONSE

Home Afrika strategically responded after studying and adjusting according to market research.

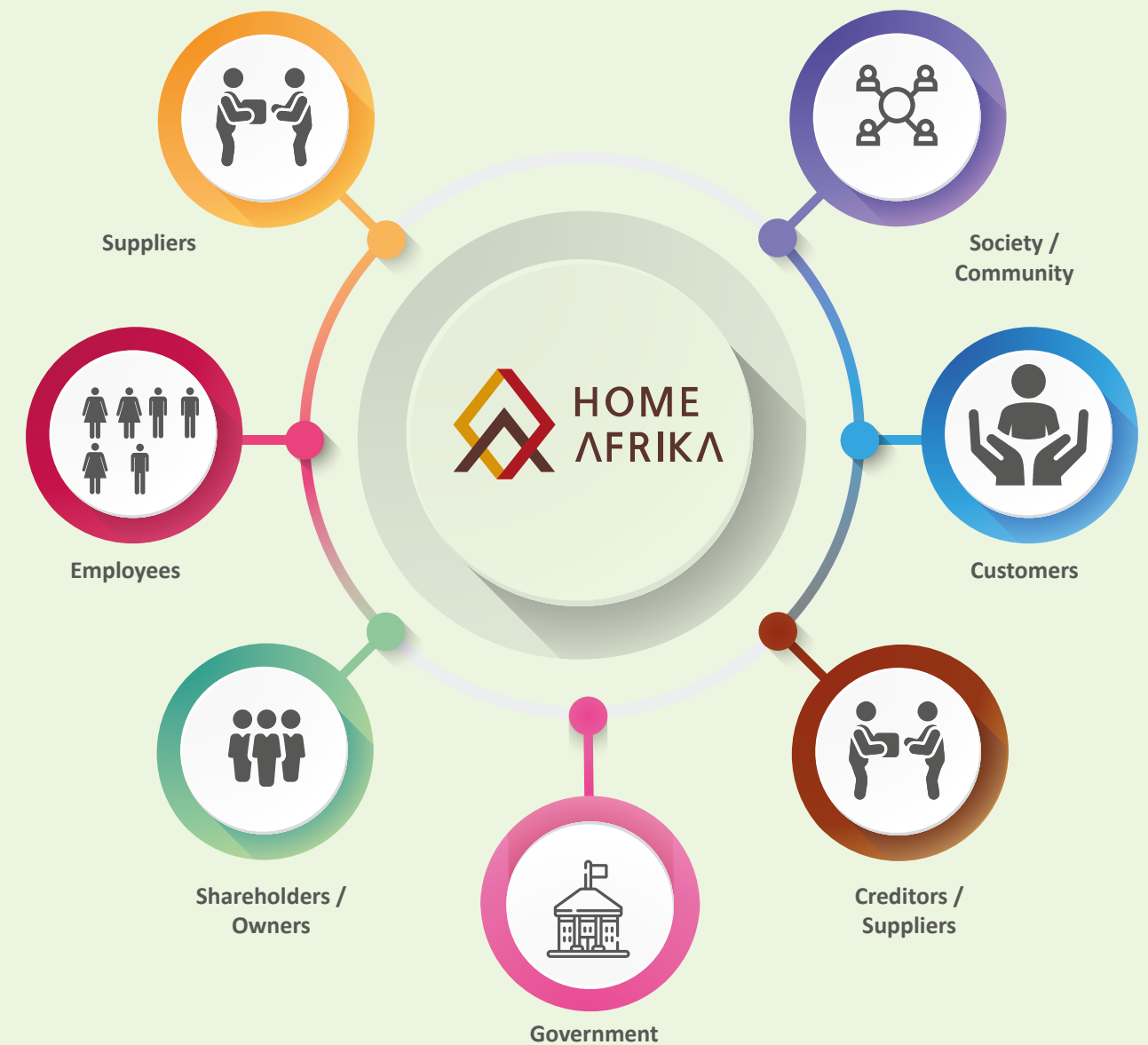
The company opted to not develop any more units that currently have an over-supply.

Instead, the company formed a Property Letting and Management arm so that it would still avail to clients the commercial and residential units they would be seeking from it without incurring the cost of developing them.

Also, by having a development that targets the middle class, namely Migaa Golf Estate and Mitini Scapes Development, the company is directly affected by the high supply but low demand dynamic.

By adopting the customer centric approach to meeting customer expectations and needs, the company effectively overcame the challenge presented by the high supply low demand dynamic in the market for the middle-class segment.

## STAKEHOLDER ENGAGEMENT



## Key Stakeholder Concerns Expectations & the Company's Response

| STAKEHOLDER                                                                                                            | CONCERN(S)/ EXPECTATIONS                                                                                                       | COMPANY RESPONSE                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | METHOD OF STAKEHOLDER ENGAGEMENT                                                                                                                                                | LINK TO STRATEGY                                                                                                                                                                                                                                                                                                                                                                                                                   |
|------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <br><b>EMPLOYEE<br/>(ALL LEVELS)</b>  | <ul style="list-style-type: none"> <li>Job security</li> <li>Career growth</li> <li>Competitive Remuneration</li> </ul>        | <ul style="list-style-type: none"> <li>Prompt payment of salaries</li> <li>Annual percentage salary increase</li> <li>ESOP program to be instituted soon</li> <li>Recognition for good performance</li> <li>Staff needs forecasting &amp; regular recruitment</li> <li>Departmental budgeting done by members of the department</li> <li>Incentives</li> <li>Performance Improvement Program (PIP)</li> <li>Competitive remuneration</li> <li>Consultative decision-making platform</li> </ul> | <ul style="list-style-type: none"> <li>One-on-one Interviews</li> <li>Staff Meetings</li> <li>Email &amp; phone communication</li> </ul>                                        | <ul style="list-style-type: none"> <li>There is a Staff Code of Conduct &amp; Ethics</li> <li>Performance Appraisals are carried out regularly</li> <li>A culture of ownership &amp; accountability guided by a bottom-to-top approach in setting Targets &amp; KPIs</li> </ul>                                                                                                                                                    |
| <br><b>SHAREHOLDERS</b>             | <ul style="list-style-type: none"> <li>ROI</li> <li>Maximization of the value of investment</li> </ul>                         | <ul style="list-style-type: none"> <li>Company restructuring (management &amp; board) to improve productivity and efficiency</li> <li>Wider product portfolio</li> <li>Creation of liquidity Providing platforms to facilitate addressing concerns &amp; questions from shareholders promptly (MD also involved in this)</li> <li>Fund-raising to complete projects and free up profits to pay dividends</li> </ul>                                                                            | <ul style="list-style-type: none"> <li>AGM Meetings</li> <li>Special Meetings</li> <li>Online platforms</li> <li>Email &amp; Phone communication</li> <li>Mass media</li> </ul> | <ul style="list-style-type: none"> <li>Restructuring of the company both at Board and Management levels was undertaken to ensure efficiency &amp; effectiveness in how the company is run day to day</li> <li>Active engagement of Financial Analysts and journalists so as to help the Investor understand better how the company reports its financials so as to change public perception and improve the share price</li> </ul> |
| <br><b>SUPPLIERS/<br/>CREDITORS</b> | <ul style="list-style-type: none"> <li>Provide a Market</li> <li>Payment for raw materials, products &amp; services</li> </ul> | <ul style="list-style-type: none"> <li>Scheduled payment of suppliers</li> <li>Reasonable credit terms to ensure they are paid as expected</li> <li>Giving repeat business Products have clearly stipulated payment plans on forms</li> <li>Penalties that are applicable (if any) are also stipulated</li> <li>Room provided for renegotiation of terms</li> </ul>                                                                                                                            | <ul style="list-style-type: none"> <li>One-on-one Meetings</li> <li>Email &amp; Phone communication</li> <li>Mass media</li> </ul>                                              | <ul style="list-style-type: none"> <li>A Pre-qualification and/or 3-bid analysis process is always undertaken to ensure that the company gets the best suppliers and gives repeat business to the suppliers.</li> </ul>                                                                                                                                                                                                            |

## Key Stakeholder Concerns Expectations & the Company's Response (contd.)

| STAKEHOLDER                                                                                                          | CONCERN(S)/ EXPECTATIONS                                                                                                                                                                      | COMPANY RESPONSE                                                                                                                                                                                                                                                                                                                                                                                                                                                                | METHOD OF STAKEHOLDER ENGAGEMENT                                                                                                                         | LINK TO STRATEGY                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|----------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <br><b>SOCIETY/<br/>COMMUNITY</b> | <ul style="list-style-type: none"> <li>Operate as a responsible corporate citizen</li> <li>Contribution in the area/ community the company operates in</li> </ul>                             | <ul style="list-style-type: none"> <li>Ensure compliance with NEMA regulations</li> <li>Provide employment opportunities</li> <li>Value of property has appreciated</li> <li>Improved infrastructure in conjunction with the county government – road fixing from Kiambu Road to Migaa, street lights upto Kiambu road</li> <li>Improved security in conjunction with the National Government – police post was set up because of the existence of the Migaa project</li> </ul> | <ul style="list-style-type: none"> <li>One-on-one Meetings</li> <li>Email &amp; Phone communication</li> <li>Mass media</li> </ul>                       | <ul style="list-style-type: none"> <li>CSR activities are undertaken throughout the Year. In 2017 Home Afrika paid school fees for some needy students, donated to the Red Cross Drought Initiative and visited a children's home to donate some items. In addition, the Home Afrika Group planted grass for the community around Migaa free of charge</li> <li>Casual employees at our Migaa Project are drawn from the immediate community</li> </ul> |
| <br><b>GOVERNMENTS</b>           | <ul style="list-style-type: none"> <li>Tax compliance</li> <li>Compliance to existing laws – land laws, company laws</li> <li>Contribution to economic growth through job creation</li> </ul> | <ul style="list-style-type: none"> <li>Ensure up-to-date remittance &amp; payment of tax</li> <li>Restructuring &amp; prompt payment outstanding back taxes</li> <li>Compliance with all relevant laws</li> <li>Compliance with regulatory requirements &amp; standards</li> <li>Provide employment</li> </ul>                                                                                                                                                                  | <ul style="list-style-type: none"> <li>One-on-one Meetings</li> <li>Email &amp; Phone communication</li> <li>Round Table discussions</li> </ul>          | <ul style="list-style-type: none"> <li>The company is regulated by the CMA &amp; the NSE and is committed to complying with these regulators requirements by ensuring that there is proper corporate governance and compliance with all the requirements of being a listed company</li> <li>Payments to KRA are remitted as required and plans with them are honored.</li> </ul>                                                                        |
| <br><b>CUSTOMERS</b>            | <ul style="list-style-type: none"> <li>Quality &amp; Innovative products that meet their needs</li> </ul>                                                                                     | <ul style="list-style-type: none"> <li>Individualized attention by the sales team members who guide the customer through the entire purchase process and provide project &amp; document processing updates</li> <li>In-house Legal Department to improve speed of processing documents</li> <li>Seeking &amp; acting on customer feedback</li> <li>Prompt issuance of statements to customers</li> </ul>                                                                        | <ul style="list-style-type: none"> <li>One-on-one Meetings</li> <li>Email &amp; Phone communication</li> <li>Mass media</li> <li>Social Media</li> </ul> | <ul style="list-style-type: none"> <li>Capping of Interest rates made financial institutions reduce retail lending. The company developed more flexible repayment terms to make the products more affordable.</li> <li>Social Media platforms are active and prompt in responding to customer issues be it feedback, questions or complaints.</li> </ul>                                                                                                |
| <br><b>FINANCIERS</b>           | <ul style="list-style-type: none"> <li>Not to be exposed to undue risk</li> <li>Company meets all its financial obligations</li> </ul>                                                        | <ul style="list-style-type: none"> <li>Commitment to paying off the loans through prompt payment and restructuring</li> </ul>                                                                                                                                                                                                                                                                                                                                                   | <ul style="list-style-type: none"> <li>Round table Meetings</li> <li>Email &amp; Phone communication</li> </ul>                                          | <ul style="list-style-type: none"> <li>The company purposes to meet all its financial obligations by repaying its debts and engaging its financiers when necessary</li> </ul>                                                                                                                                                                                                                                                                           |

# MATERIAL RISKS AND OPPORTUNITIES

**Material risks are the factors that have the most impact on our ability to create long-term value. They have an impact on our productivity, performance and relationships with our stakeholders. These matters influence the strategic approach adopted in steering the group.**

The Home Afrika Board of Directors has wholly committed the group to a process of risk management that is aligned to the principles of best practice and corporate governance. Proper risk assessment enables us to anticipate and respond to changes in the business environment as well as make informed decisions under conditions of uncertainties. Home Afrika's risk management processes are embedded in our everyday business activities and culture. For us, risk management involves achieving an appropriate balance between realizing opportunities for business gain while minimizing the adverse impacts of these risks.

|                         | CAPITAL STABILITY                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | GOVERNMENT POLICIES                                                                                                                                                                                                                                                                                                                                                                                                                      | OPERATING ENVIRONMENT                                                                                                                                                                                                                                                                                                                                                               | PEOPLE                                                                                                                                                                                    |
|-------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>MATERIAL MATTERS</b> | <ul style="list-style-type: none"> <li>Adequate capitalization and need for low cost financing partners.</li> <li>Liquidity &amp; Revenue Growth</li> <li>Project Completion &amp; Profitability</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | <ul style="list-style-type: none"> <li>Government policies on affordable housing</li> <li>Government policies on Physical planning policies</li> </ul>                                                                                                                                                                                                                                                                                   | <ul style="list-style-type: none"> <li>Challenging Macroeconomic and microeconomic Environments.</li> <li>Evolving regulatory Landscape</li> </ul>                                                                                                                                                                                                                                  | Talent nurturing, management and retention                                                                                                                                                |
| <b>RISKS</b>            | <ul style="list-style-type: none"> <li>Project delays</li> <li>Reputational issues</li> <li>Litigation Risks</li> <li>Market risk</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | <ul style="list-style-type: none"> <li>Key players moving towards the affordable housing space Risk of investments declining in value due to Government affordable housing project</li> </ul>                                                                                                                                                                                                                                            | <ul style="list-style-type: none"> <li>The macroeconomic environment, characterised by increase in construction costs, slowdown in credit expansion, political uncertainty creates great business risks.</li> </ul>                                                                                                                                                                 | The effective execution of strategy is adversely affected by the failure to attract and retain talent.                                                                                    |
| <b>OPPORTUNITIES</b>    | <p>Capping of interest chargeable by Act of parliament has made banks averse to facilitating short term loans. This has affected access to credit for companies and individuals whose target purchase of property in Migaa and similar projects by Home Afrika.</p> <p>With the return of free floating interest rates from banks, Home Afrika has the opportunity to get local bank financial partners who are willing to partner in infrastructure projects.</p> <p>Recent enforcement of the clean energy rules that require all large scale domestic housing units install renewable energy for water and house heating may have a significant cost effect on future projects by Home Afrika.</p> | <p>The government policy to deliver decent housing to working Kenyans is in line with HAL's business strategy.</p> <p>The supply of equitable housing will in turn increase new consumers/a new market in moderate-income households.</p> <p>The affordable housing policy will lead to decrease in manufacturing cost related to the real estate sector thus creating an opportunity to increase the overall output of the company.</p> | <p>Political tension played a vital role in discouraging investment in real estate especially postponing of property -purchase decisions due to the uncertainty of election results, with political stability post the general elections this provides a great opportunity for credit advancement more so for households relying on the credit market towards home acquisition.</p> | <p>Talented employees are a great tool in responding to changes in our operating environment mentioned.</p> <p>Management of performance to ensure optimal productivity is essential.</p> |

# OTHER RISKS

Home Afrika's key risks are external and Internal. They are as discussed:

## EXTERNAL RISKS



### 1. Insecurity Risk

After a series of terrorist attacks between 2011-2013, the level of insecurity has significantly declined. Though the risk is still present, the concentration of it has mainly been in the areas of neighboring Somalia and the Coastal region, with isolated incidences in Nairobi.

The downturn in the economy, especially with regard to tourism has prompted the government to act. The government with the help of donor funding has put security measures into place that are largely credited for the decrease in insecurity.

The government has furthermore promised to continue to address levels of insecurity in order to ensure that its citizens and operating businesses within the country feel safe.

### 2. Economic Risk

This risk arises when the economy growth fails to match expectations. This is highest in times of adverse effects to the economy. Considering that the growth in the real estate sector is often dependent on the growth of the economy as a whole, any contraction in the economy might cause a contraction in the Real Estate market.

Kenya's economy has shown strong and robust growth rates over the last few years and this trend is expected to continue going forward (cf. Macroeconomic section). Potential downside risks especially include the country's fiscal performance and policies going forward where a growing debt burden and increasing budget deficit could eventually end up hurting the general economic performance. However the overall expectations for the economy looks promising and the economic risk for Kenya is for this reason not considered to be critical.

### 3. Currency Risk

This risk relates to the mismatch of incomes and debt if different currencies are involved. Home Afrika could face some exchange rate risk exposure if it borrows in one currency and receives income in a different one. Any fluctuations in the prevailing foreign currency exchange rates would have an effect on its financial position and cash flows.

To mitigate this risk, Home Afrika has ensured that its debt and income are in the same currency – all KES denominate. Its exposure on currency fluctuations is therefore minimal.

### 5. Interest Rate Risk

This risk relates to potential rises in interest rates. Terms for interest payments on debt funding exposes Home Afrika to interest rate risk; an increase in interest rates could result in a significant increase in the interest payments resulting in a decrease in income for the company.

In light of the Banking Amendment Act of 2016, which caps all formal interest rates to Central Bank Rate plus 4%, interest rates in the market have come down significantly. Though a direct benefit for Home Afrika, however, it exposes the company to the legislative risk that the amendment can be repealed in the future exposing it to market interest rates which may be significantly higher.

Home Afrika's internal policies seeks to use a conservative financing structure and all budgets whether for specific projects or for the consolidated group always factor in a satisfactory headroom to cater for a potential rise in interest rates.

### 6. Demand Risk

This risk involves economic or local conditions that could lead to a decline in demand for real estate properties.

**Though the risk is present, the chronic undersupply of housing within Kenya especially for the low to middle income segment of the market continue to support there will be enough demand several years ahead.**

Majority of the demand risk in Kenya lies in the luxury segment of the market, as developers have favored this segment over the years. This could potentially affect some of Home Afrika's projects, namely the apartments to be built in Tiwi under the Llango project.

To mitigate any potential adverse changes in demand Home Afrika will ensure to continually survey the local market demand in the areas it operates and additionally make sure that the final price setting of the apartments is competitive.

### 7. Supply Risk

Intense competition in the real estate sector could impact adversely on the growth and profitability of the proposed projects by Home Afrika. Though the economy is currently experiencing a chronic undersupply of affordable housing, this may change in the future. If such a situation should occur, Home Afrika may find it difficult to market and sell its high end developments which could have an adverse impact on its financial health. The Group intends to minimize this material adverse effect from competition by:

- Providing Excellent quality services to its clients
- Originating and selling projects that are market guided.
- Maintaining a well motivated work force and agents.

Recruiting high skilled staff and continuously training and developing them.

## INTERNAL RISKS



### 1. Funding Risk

This risk arises whenever a company requires external access to capital to fund its growth strategy and capital expenditures. The risk it faces is when the market is unwilling to provide funding (either debt or equity).

Failure to access required capital could adversely impact investments, cash flows, operating results or financial condition. Additionally, if the company was going into the market to retire previous debt, it may be exposed to default risk.

### 2. Execution Risk

As a commercial developer, Home Afrika will often engage property owners, developers, contractors, management or operating companies and joint venture partners in connection with its real estate projects. Challenges or issues with such parties could have a material adverse impact on those real estate holdings and on Home Afrika generally.

This risk involves delays in the project due to various circumstances that cause Home Afrika not to proceed with the development in a timely and efficient manner, which could lead to increased development costs and/or delayed development period.

Significant cost overruns and delays in development can potentially lead to a reduction or a total wipe out of the projected margins.

The delays may arise from external factors such as delays in permits or internal factors such as contractors causing the delays.

To mitigate internal risk, Home Afrika aims to enter into fixed price contracts with the contractor so as to control costs and have bonuses for completion ahead of schedule and likewise, penalties for any delays.

For external risks, Home Afrika will ensure all applications are done on time and as required so as to reduce any delays that may arise. Home Afrika furthermore applies a strict criteria for its selection of project partners so as to ensure

that set partners hold a strong historical track record and possess the necessary capabilities to carry out their intended role in the project.

### 3. Reputational Risk

This risk arises from any negative views or perceptions that the market may have or acquire in the future for Home Afrika. Considering that Home Afrika's business model is based on selling which primarily relies on trust between the buyer and the seller, any adverse change in perception will erode some of the trust which would in turn be reflected in the company's books.

To mitigate this risk, Home Afrika ensures that:

- i. It is only associated with institutions and individuals who have high levels of integrity;
- ii. Always puts its customers first and continue to provide high quality services as well as;
- iii. Continue monitoring and engaging with the media in a professional matter

### 4. Credit Risk

Credit risk arises from cash and cash equivalents and deposits with banks and financial institutions as well as credit exposures to customers, including outstanding receivables. Management continually assesses the credit quality of the customer, taking into account their financial position, past experience and other factors. Individual limits are set based on internal or external information in accordance with limits set by management. The utilisation of credit limits is regularly monitored. Exposure to the risk is quantified for each financial asset in every year's audited financial Statement and will be listed in the notes along with any concentration of risk.

### 5. Liquidity Risk

Cash flow forecasting is performed by the finance department of the group by monitoring the company's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient

headroom on its undrawn committed borrowing facilities at all times so that the group does not breach borrowing limits or covenants on any of its borrowing facilities.

Prudent liquidity risk management implies maintaining sufficient cash, the availability of funding through an adequate amount of committed credit facilities and the ability to close out market positions.

Due to the dynamic nature of the underlying businesses, the company's management maintains flexibility in funding by maintaining availability under committed credit lines. Maturity analyses of the borrowings and trade and other payables can be found in all audited Financial Statements in the notes.

### 6. Land Acquisition Risk

Acquisition of land in Kenya can be risky due to frequent incidents of titles being forged or duplicated and poor record keeping at the Ministry of Lands. This risk relates to the possibility of land acquired by Home Afrika may have a forged title. To mitigate this risk, before any land is acquired, Home Afrika undertakes a thorough due diligence process to ensure that the title is clear and marketable. Due to having these clear policies in place the land acquisition risk is considered minimal for Home Afrika.

### 7. Permit and Regulatory Risk

This risk arises when the regulatory environment, in which a Company operates within changes. Any future changes in laws and/or regulatory requirements may adversely affect Home Afrika. Of particular concern should be the changes in zoning requirements. As a developing country, these are constantly changing. To help mitigate this risk, Home Afrika will ensure that it is well informed on the proposed regulatory and zoning changes that may affect some of its projects, and ensure that the Company is always compliant with the regulatory requirements.

### 8. Litigation Risk

The real estate business involves the potential risk of litigation from either sellers, tenants, purchasers of properties, contractors and subcontractors, current or former employees, authorities or any other parties.

Home Afrika ensures that in the ordinary course of the Company's business, its' dealings with clients, suppliers and counter-party's of any kind are fair and within the confines of the law to minimize the risk of any future claims. All contracts drafted are reviewed by lawyers who specialize in Real Estate business to limit future litigation risk legal actions.

### 9. Price Risk

The construction costs for any development is highly dependent on the prices of the raw materials, supplies, labour and other related costs. Any significant variation of this, may adversely affect the performance of the project.

To mitigate this risk, Home Afrika ensures that it enters into fixed contracts with the suppliers and the contractors. This ensures that the company is cushioned against any price risk. In addition through economies of scale Home Afrika enjoys results in a strong negotiation position towards its suppliers and contractors.

### 10. Environmental Risk

The Company's operations and property development are subject to various laws and regulations concerning the protection of the environment.

This risk arises when the Company is required to obtain certain permits or licenses, which it may not be able to obtain in a timely manner or even at all, exposing the company to fines and other penalties.

To mitigate this risk, Home Afrika operates under high internal environmental requirements that need to be fulfilled before embarking on any new project. These standards are further also applied to all of its operating partners.

### 11. Construction Risk

The Company is subject to risks associated with the proper realization of its projects. These risks include the risk of errors or omissions in the project planning, budgeting and engineering, delays occurring in the completion of projects, worksite accidents, or acts of terrorism, etc.

Part of this risk is mitigated through insurance contracts. The Company's on-going refinement of budgets, material choice, construction techniques etc. further lowers this risk.

The Company's operating business model and financials results are exclusively driven by the sale of land or completed projects.

The nature of this business model exposes the company to external factors such as the economy which in turn has an influence on its cash-flows and profits. Hence, the Company's cash flows can fluctuate significantly from year to year depending on the number of projects that can be / are put up for sale and are effectively sold in that given year.

To reduce this risk, Home Afrika always aims to;

- i. Generate a certain level of pre-sales and selling part of the land as subdivided plots, which give the company a stream of cash-flows during the development;
- ii. Factor in potential cost overruns in all its budgets;
- iii. Having projects in various phases of the development cycle so that significant cash flows from the project at the later stages can help support other early stage projects.

## EMERGING RISKS



- Innovation Risk**

Due to the changing business environment, Innovation presents challenges to companies that strategize to gain more market share or to stimulate growth. As the industry grows, there is need to seek to improve our innovativeness.

The business environment is not static. As a means to mitigate this risk, the company will be using third party research to be actively be able to cope with the changing environment in the industry.

- Debtors Management**

This is an emerging risk driven by economic status and liquidity challenges. It is also driven by the effects of our internal credit capping. We have worked to mitigate this by implementing a strict credit policy with credit capping.

- Third Party Risks**

Third parties always exist in any business undertaking. Third parties form part of the company's stakeholders. In the course of our business dealings with third parties, we are

exposed to certain risks like supplier business failure. As a mitigation, supplier due diligence is done through extensive vetting by the company before any dealings with third parties and there is a tendering process already in place.

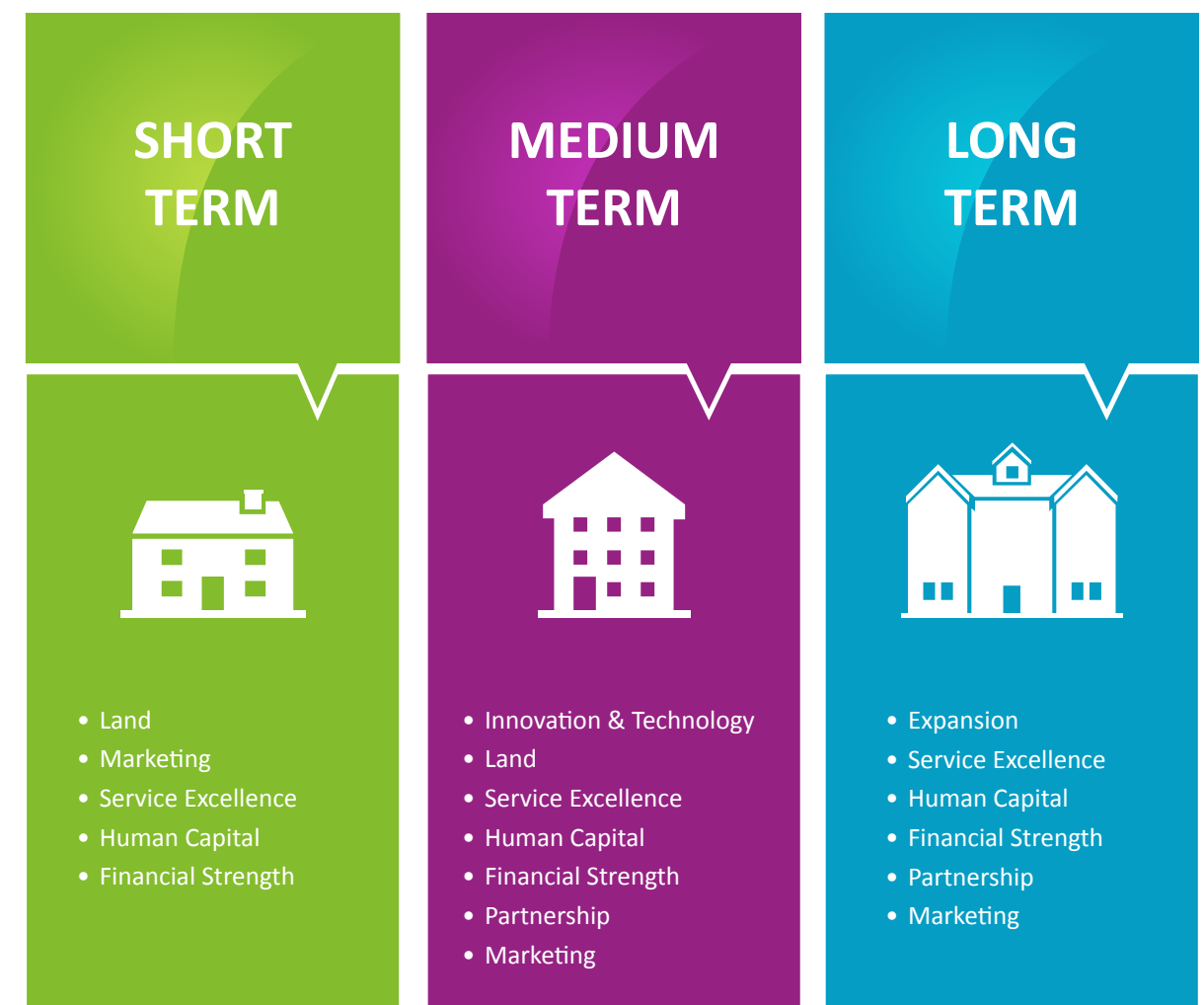
- Staff Turnover**

Staff turnover has been witnessed during the year in various departments. However, turnover was within normal standards as well as within the company's tolerance limits. We have put in place measures to reduce turnover by improving employee satisfaction as discussed in the Human capital report.

- Cyber Security Risk**

As Technology advances, cyber security is projected as an emerging high risk. Due to the advancements, criminality will not stop. To mitigate the risk, the company has put control measures in place. This includes access controls and anti viruses, and are working to acquire other measures.

## STRATEGIC OBJECTIVES



# STRATEGY



## STRATEGIC OBJECTIVE 1 LAND

### STRATEGIC OBJECTIVE

Acquire land with the following objectives :

- Land Banking
- Subdivision and sale.
- Property development

### INITIATIVE

- Joint ventures
- Government Partnerships (PPP)
- Seed financing

### KEY PERFORMANCE INDICATORS

- Joint Ventures: Developing strategic partnerships and rollout JV partnerships. In 2018 Moran ridge was actualized.
- Land banking: Acquired 19 acres of land in the year 2018.
- Originated & signed 2 smart plots projects in the year 2018



## STRATEGIC OBJECTIVE 2 EXPANSION

### STRATEGIC OBJECTIVE

To grow sales & revenue

### INITIATIVE

- Go county plan
- Corporate Rebranding
- Diversification of Products and business

### KEY PERFORMANCE INDICATORS

- Project Origination: Undertake 2 Internal staff training per quarter for originations
- Property letting and management-KU Unicity
- Go county plan: Set up regional offices in Nanyuki finalized.
- Developed a pipeline of 14 properties for management in the year 2018.



## STRATEGIC OBJECTIVE 5 HUMAN CAPITAL

### STRATEGIC OBJECTIVE

Identify, nurture and grow human capital that will increase Home Afrika value.

### INITIATIVE

- Talent acquisition and retention
- Performance management
- Organizational structure
- Succession Planning
- Creating the right business culture
- Onboarding
- Compensation

### KEY PERFORMANCE INDICATORS

- In the year 2018 Home Afrika identified, acquired and retained highly qualified staff members.
- Staff were regularly reviewed and awarded accordingly in terms of commissions, international and local trips, land etc.



## STRATEGIC OBJECTIVE 6 FINANCIAL STRENGTH

### STRATEGIC OBJECTIVE

Increase Home Afrika's financial stability.

### INITIATIVE

- Source of finance
- Cost of financing
- ROI
- Development of buyer financing model.
- Development of project financing model.

### KEY PERFORMANCE INDICATORS

- Home Afrika diversified their source of finance by fundraising, property management etc.
- Carrying out due diligence on potential investors before engaging them.
- Having payment plans with our buyers.
- Cost of financing: Currently the company is servicing interest on loans sourced from I&M Bank.
- Return on investments: The company employs a framework to determine return on investments on all the projects it undertakes that gives a return on investment of 25%.



## STRATEGIC OBJECTIVE 3 INNOVATION AND TECHNOLOGY

### STRATEGIC OBJECTIVE

Reduce cost of construction through technology.

### INITIATIVE

- Appropriate technology
- Research & Development
- ERP System
- Partnerships with educational institutions

### KEY PERFORMANCE INDICATORS

- Ongoing research and development on low cost housing.
- Improved website that is user friendly and customer focused. Our properties are easily accessible thanks to the CRM add-on that automatically updates the company's property page.



## STRATEGIC OBJECTIVE 4 SERVICE EXCELLENCE

### STRATEGIC OBJECTIVE

World class real estate service.

### INITIATIVE

- Establishment of quality standards framework.
- Benchmark against best practice.
- Planning and quality assurance.
- Customer Relationship Management (CRM) tool.

### KEY PERFORMANCE INDICATORS

- Establishment of statutory quality standards framework.
- Digital move (Smart homes)



## STRATEGIC OBJECTIVE 7 PARTNERSHIPS

### STRATEGIC OBJECTIVE

Revenue generation

### INITIATIVE

- Outsourcing of processes
- Strategic partnerships
- Business model partnership

### KEY PERFORMANCE INDICATORS

- Diversified income streams.



## STRATEGIC OBJECTIVE 8 MARKETING

### STRATEGIC OBJECTIVE

Increased stakeholder engagement

### INITIATIVE

- |                               |                      |
|-------------------------------|----------------------|
| • Websites partnerships       | • Public relations   |
| • Branding & signage          | • Networking         |
| • Selling materials           | • Periodic reporting |
| • Direct mail campaign        | • Research           |
| • Electronic mail campaign    | • Loyalty programmes |
| • Ad placement & media buying |                      |

### KEY PERFORMANCE INDICATORS

- Engaged with various institutions (banks, SACCOs, Diaspora association, membership clubs, travel agencies etc.) to build brand awareness.
- We have excited the market through innovative and non-conventional offline and online activities to aid in lead generation.
- Increased digital engagement and achieved our targets leads through creating innovative content.
- We have built thought leadership and brand awareness through extensive PR activities.
- We have excited the market through innovative and non-conventional marketing and communication material that appeals to the target market.

# PROJECT REPORT

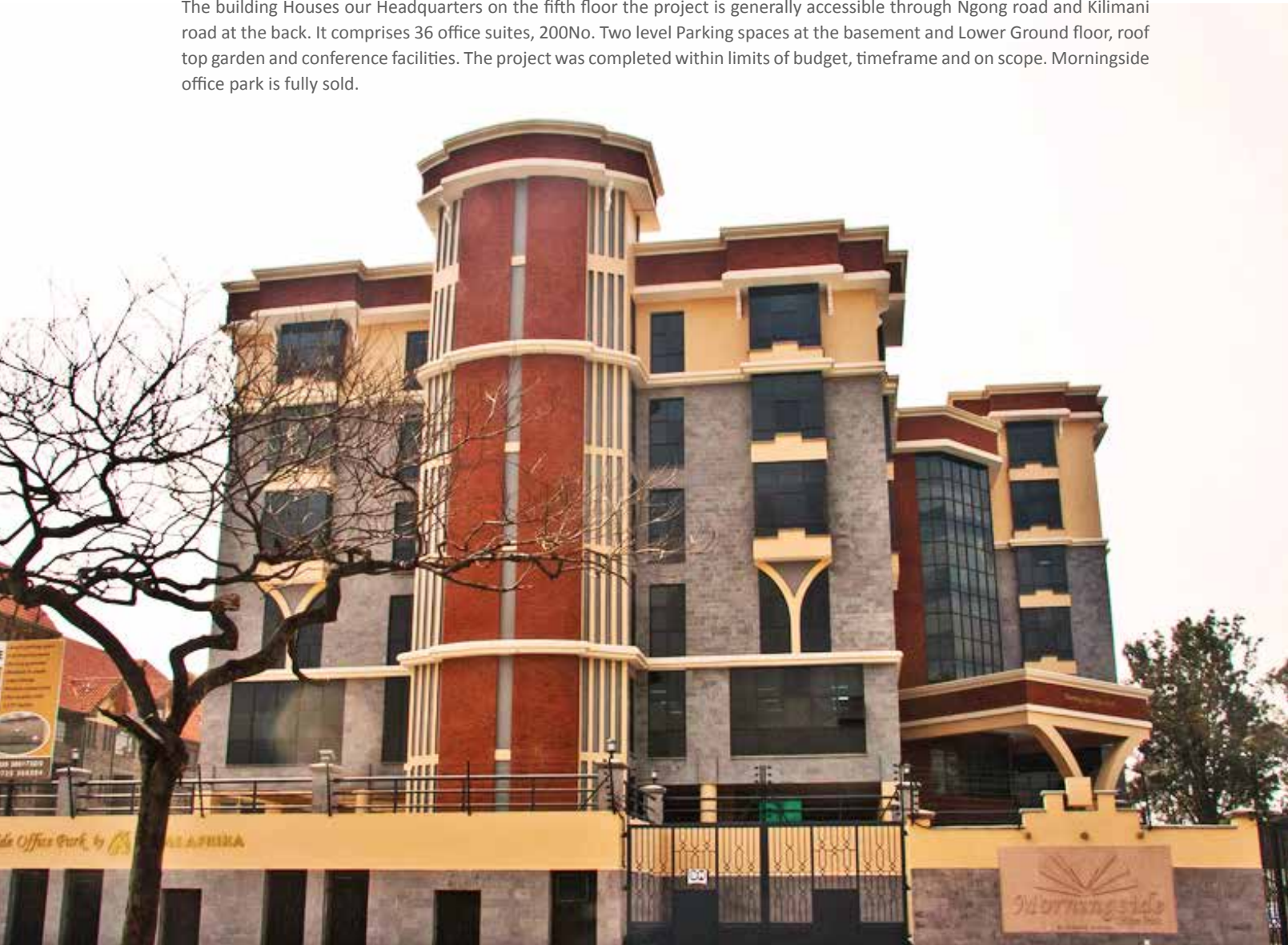
2018 was a year we finalised on a number of activities that we had been following up for quite some time. We concluded on the fundraising information memorandum on our ongoing projects.

We categorized the projects according to the order that would enable usto achieve our goals. Special service vehicles were formulated to drive our focus. For our other two projects; Lakeview Heights Development and Lango Development, we deliberated with our stakeholders so as to agree on the close out of the projects a key milestone that marked the year.

## 1. MORNINGSIDE OFFICE PARK

Morningside Office Park was a one of its kind projects undertaken by Home Afrika. A distinguished icon along Ngong Road, the project is now referred to as the landmark building in the vicinity.

The building Houses our Headquarters on the fifth floor the project is generally accessible through Ngong road and Kilimani road at the back. It comprises 36 office suites, 200No. Two level Parking spaces at the basement and Lower Ground floor, roof top garden and conference facilities. The project was completed within limits of budget, timeframe and on scope. Morningside office park is fully sold.



## KEY MILESTONES

| PROJECT NAME            | LOCATION     | STATUS        |
|-------------------------|--------------|---------------|
| Morningside Office Park | Ngong Road   | Completed     |
| Migaa Golf Estate       | Kiambu       | Ongoing       |
| Lake View Heights       | Kisumu       | Ongoing Sales |
| Lango                   | Kwale / Tiwi | Complete      |
| Sidai                   | Isinya       | Completed     |
| Kerobi Plains           | Isinya       | Ongoing Sales |
| Entim Breeze            | Ngong        | Complete      |



## 2. MIGAA GOLF ESTATE

Migaa is a mixed-use development integrated with an 18-hole golf course gated community planned on 774 acres of land in Kiambu, North of Nairobi 20kms from Nairobi’s Central Business District, within Kiambu County, and it is just 10 km from the Northern by-pass.

The project Developer through a special purpose vehicle (SPV) Home Afrika Communities Limited, 60% owned by Home Afrika Limited is responsible for the project development.

This development is anchored on an 18-hole golf course christened Kivuli Golf, the back nine i.e. hole 10-18 already completed with a host of tournaments being held regularly.

The other amenities that includes but not limited to; - residential estates i.e Mitini Scapes by Home Afrika, Tamarind Tree Residence by Home Afrika Communities, commercial; virtual offices, ICT incubators, shopping centre and conferencing, community, recreational, education both primary and secondary, hotels, hospital (Ubora).

The development is fully serviced with ongoing paving of roads, water reticulation done at 97%, dedicated fibre connection from Telkom. Migaa has also formed partnerships to speed up the progress of works. The partnerships are in development of the sports facilities, commercial centre, roads completion and ICT infrastructure.



### I. GOLF COURSE- BACK 9 HOLES

The back 9 i.e hole 10 to hole 18 are complete, playable and well maintained.



Migaa Golf Course

### II. PERIMETER WALL

Migaa perimeter is done using masonry with climbing plants to give a natural feel as one walks or drives along.



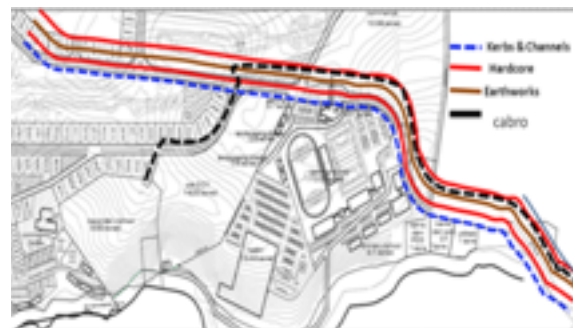
Migaa Masonry Wall

### III. ROADS CONSTRUCTION

Phase 1 of the Road works have the paving done to 49% with the hardcore at 96%. The road works are projected to be complete in 2020.



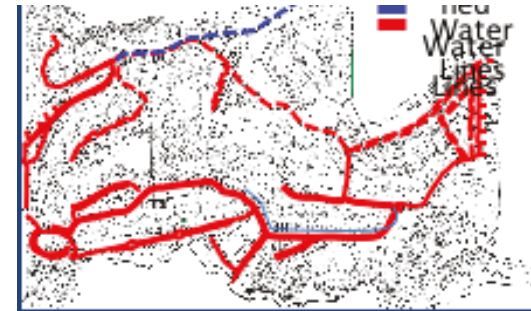
Migaa Paved Road works



Migaa Road works status

### IV. WATER SUPPLY AND RETICULATION:

Water supply and reticulation is at 97%.



Migaa Water reticulation status

### V. SEWER RETICULATION AND TREATMENT

The sewer treatment plant is operational with no hitches since commissioning. It is currently serving Mitini Scapes Development.

### VI. ICT & MATV

Migaa is served by fibre internet connectivity with high speeds from a dedicated line from Orange Telkom. Mitini Scapes development is internet ready. Over and above the internet connection it also has multiple access television installed.

### VII. CLUB HOUSE AND SPORTS FACILITIES

Wadi degla having launched the project in 2017 took a break on development of the project with a view tying up the personell to implement the project. They were also in the process of fundraising in order to undertake the project together.



Club House Master Plan



Sports Complex Master Plan

### VIII. ENVIRONMENT

Migaa fraternity aspires and continues to preserve the natural environment as much as possible. The flora and fauna coexist symbiotically with minimum human interference. Landscaping along the roads and on the boundary wall is done with maintenance ongoing.



Landscaping with trees



Golf Maintenance

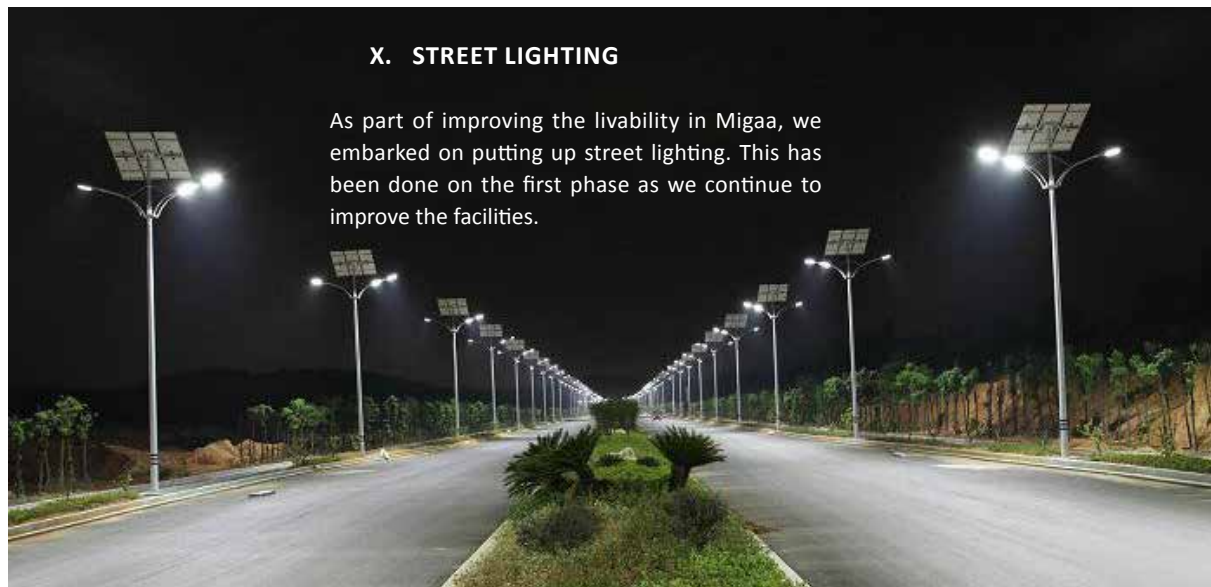
### IX. UBORA HOSPITAL

Ubora Hospital commenced construction. The works undertaken include; bush clearing, hoarding and heavy earthworks.



## X. STREET LIGHTING

As part of improving the livability in Migaa, we embarked on putting up street lighting. This has been done on the first phase as we continue to improve the facilities.



Migaa solar street lights

## XI. HOME OWNERS CONSTRUCTION

Home owners have submitted over one hundred house plans for approval to the Migaa infrastructure committee. Of the submissions; nineteen home owners had embarked on construction with another eleven ready to undertake construction of their units' nine units are complete and ready for occupation.



## XII. 2018 WORK PLAN

The following infrastructure components are scheduled for execution in 2018:

- Road construction to be done upto 60%.
- The front nine golf course construction to commence
- Irrigation system installation for entire golf course
- Power reticulation
- Commencement of sports facilities construction

## 3. MITINI SCAPES

Mitini Scapes development was the first housing development initiated in Migaa Golf estate. The first phase set on 6 Acre part of 14.88 Acre parcel of Land being construction of 82 No.

Units comprise:

- 12No. cottages; 3 bedroom plus dsq and 4 bedroom plus dsq:



Mitini Scapes Apartments



Mitini Scapes Cottages



Mitini Scapes Apartments

- 70No. Apartment units of 1 Bedroom units and 3 Bedroom units.

The number of residents living in has grown to fifty one while others are planning to take possession the coming year 2018.

The second phase comprised plot subdivision to be developed by the owners. Two owners have already put up their houses and residing in them while two others are at advanced stage of construction.

#### 4. MORU RIDGE RESIDENCE

We took a hold in progressing the one-hundred-unit hotel apartments located on the lower eastern side of Migaa overlooking a seasonal river.

#### 5. LAKEVIEW HEIGHTS

Following a series of meetings held by the stake holders in which a resolution was made we are in the process of selling off the whole parcel of land as one piece, further to refund those that had purchased either the plots or had contributed as shareholders.



Stakeholders Meeting

#### 6. LLANGO

Llango project like Lakeview Heights Development, a stakeholders meeting was held and a different resolution was reached at. The stakeholders resolved that we (Home Afrika Limited) complete the change of use of the title and preparation of subleases with both the land owners and the shareholders retaining the entire property as Home Afrika Limited exits from the project



Stakeholders Meeting

#### 7. MUGUMO RIDGE PDS

The PDS lying on the Eastern side of Migaa next to hole 13 was subdivided to 0.0505 Ha. plots, with some overlooking the fairway and others on backrow.

The plots were sold out to individuals to make their own development.



#### 8. MIGAA CENTRE PIECE

The 17acre Migaa Centre Piece property was subdivided into two portions i.e 2 Acres and 15 Acres; the former was demarcated for Hotel Development while the later was further subdivided into plots measuring approximately 0.06Ha.

Some of the plot buyers have not only completed their units but they are ready for occupation, others are still under construction.

## 2018 PROJECTS



## 1. MIGAA

### A) OLGELLAI DRIVE

This is proposed middle income medium rise development on Northern PDS (approx. 34 acres) in Migaa for approx 1,200 units in 10 No. Phases.



### B) COMMERCIAL

This is a proposed commercial centre to cater for the residents and visitors to Migaa. The PDS measures 18.96 Acres and is to be developed by a strategic investor solely or in partnership with Home Afrika Communities Limited.

The property has been negotiated with a private developer for provision of all the road works within Migaa development.

### C) SPORTS COMPLEX, FRONT NINE GOLF COURSE AND CLUB HOUSE

Wadi Degla broke ground on 2nd March, 2016 for the development of the three combined projects to be undertaken in phases. Wadi Degla have been doing value engineering on their proposition before full scale commencement of works.

## MIGAA ORANGE PDS'S (PRIVATE DEVELOPER SITES)

### I. YELLOW WOOD PDS

The PDS is nestled by hole 16 on the Eastern side, hole 15 and 17 on the southern side and Gplots on the Northern side. The PDS is set for subdivision of plot sizes measuring approximately 0.0505 Ha.

The plots will be overlooking the fairway and others on backrow. The plots are to be sold out to individuals to make their own development.



### II. OTHER PDS'S

Propositions shall be developed for the different PDS's to give the presumed options on what can be put up on them.

## 2. SMART PLOTS BUSINESS

To provide more affordable solutions in the market we lined up several properties to be subdivided and sold out in a Joint venture arrangement with the Land owners, we subdivide in the pieces in terms of eighths, quarters, half Acres and Acres.

A total 385 Ha. (953 Acres) for the year 2018. We have already signed off approximately 240 Acres Expression of Interest with some at advanced stages of preparation of sale agreements.

**385** Ha.  
SUBDIVIDED FOR THE YEAR 2018



**20KM** → **10KM** → **20KM**  
 FROM ISINYA TOWN FROM THE STANDARD GAUGE RAILWAY LINE FROM KONZA TECHNO CITY

### 3. KEROBI PLAINS

Located in Isinya, Kajiado County, approximately 20 km from Isinya Town, the property is served with proper road network easily accessible from the Greater Southern By pass road and it is about 5km from the Standard Gauge Railway line.

It is also 20 Km from Konza Techno City.

The property can also be accessed through Mombasa Road 15km away, the project is undertaken in partnership with the venders of the Land.



### SIDAI PLAINS

Sidai Plains is a 7 Acre property situated in Isinya, Kajiado County. Approximately 16 km from Isinya Town. The property is served with proper road network easily accessible from the Greater Southern by pass and it is about 12km from the Standard Gauge Railway line.

The project was successfully sold out

### ENTIM BREEZE

These beautiful and affordable 1/8-acre plots located in kimuka area of Ngong Kajiado County. Entim Breeze is

located 25 minutes' drive from Ngong Town and 3km off the Ngong-Kibiko Suswa Road (Greater Southern Bypass) and near the Nairobi Malaba SGR and 10 KM from Kimuka Shopping Center. Works on the Nairobi-Malaba SGR link and on the greater Southern Bypass (both located in Kibiko area right next to Kimuka have commenced in earnest.

This property avails proximity to Ngong town which avails supermarkets, banks, schools and hospitals to the property owner. The road from Ngong Town to Entim Breeze is majorly tarmacked and partly murram making access to the property easy regardless of weather. Amenities: Olosho Olbor Dispensary Kajado West Technical Institute Kibiko Primary School Kibiko Secondary School.



## UPDATE ON THE PROPOSED PROJECTS - 2018 /2019

### 4. 440 UTAWALA PROJECT

Home Afrika Limited in partnership with Paradigm projects embark on developing 440 affordable housing unit apartments in Utawala out of which 280 units will be 3 bedrooms while 160 units will be 2 bedrooms.

The project Key Milestone achieved the following milestones :

- SPV registered; Four Forty Utawala Development Limited
- Land Transferred to SPV
- Change of User concluded
- Project design team appointed and contracted.
- Term Sheet from Debt Financer
- Estate Master plan & Apartment design concluded
- Estimated Bill of Quantity (BQ)
- Drawings submitted for approvals
- Tax plan concluded
- Sales & Marketing Strategy



Utawala 3 Bedroom Unit

- Drawing approval conclusions
- NEMA license
- Tendering

### 5. Affordable Housing Space

As part of the governments big four agenda of the government, Home Afrika proposed to venture in this key pillar by providing land as an asset to drive the affordable housing space. We tendered our bid to contribute in the sector with the key asset of land.

#### KPI

- Develop a Strategic Partnership model and rollout Strategic partnerships.
- Smart plots Concepts of 300 Acres.
- Develop a profit-sharing model for the strategic partnerships
- Formulate on the

The SEZs are currently undergoing a pilot programme in Mombasa, Lamu and Kisumu, Naivasha. Strategic partnerships.

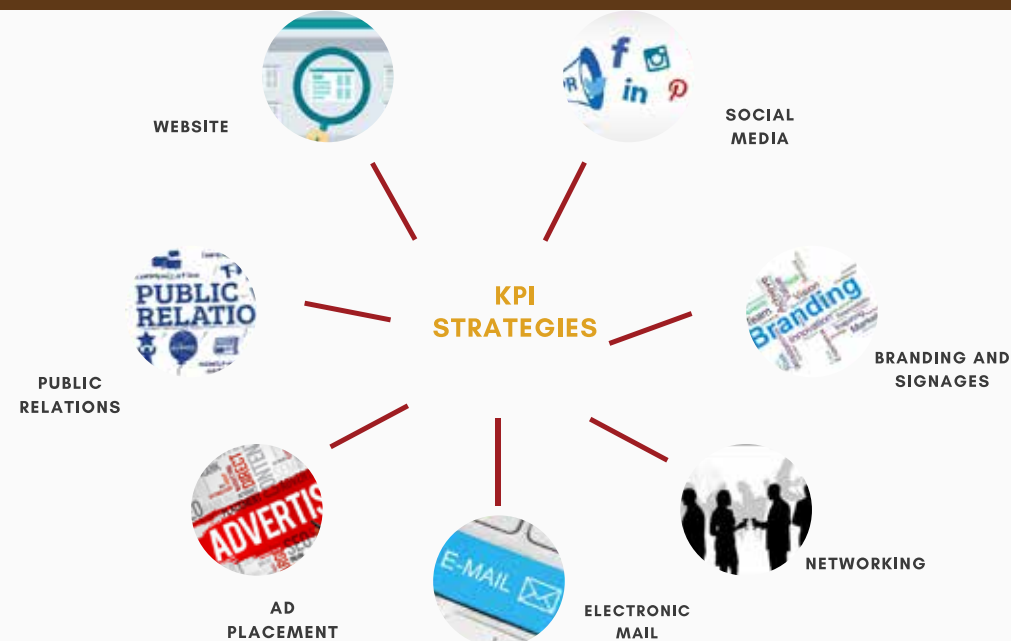


Utawala 2 Bedroom Unit

## MARKETING INTERGRATED REPORT

### MARKETING KEY PERFORMANCE INDICATORS

- |              |                                                                                                                                                                                                           |
|--------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>KPI 1</b> | To engage with various institutions (banks, SACCOS, Diaspora association, membership clubs, travel agencies etc)to build brand awareness.                                                                 |
| <b>KPI 2</b> | Excite the market through innovative and non-conventional offline and online activities to aid in lead generation and awareness creation whilst staying in tune with the current local and global trends. |
| <b>KPI 3</b> | Excite the market through innovative and non-conventional marketing and communication material that appeals to the target market.                                                                         |
| <b>KPI 4</b> | Increase digital engagement and achieve the target leads through creating innovative content.                                                                                                             |
| <b>KPI 5</b> | Build thought leadership and brand awareness through extensive PR activities.                                                                                                                             |



## MARKETING INTERGRATED REPORT

### WEBSITE

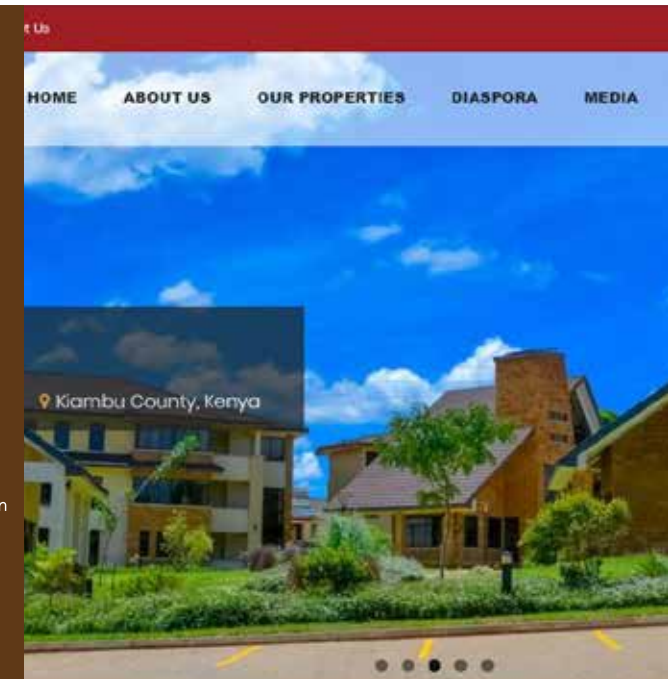
The old website provided several challenges that impeded stakeholder engagement. Such as:

- Slow loading speed
- Difficulty in customizing content
- Poor Search Engine Optimization
- Rigidity in plugin and extensions inclusion.

The new and improved HAL website provides a convenient source of up-to-date information on the properties and projects HAL represents.

Each property has its own landing page to allow visitors from local, regional and international entities to obtain accurate and timely information. Information is easily updated on the back end of the CRM tool.

HAL is using this resources to develop a stronger internet presence by search Engine Optimization and linking it to social media pages.



### WEBSITE PARTNERSHIPS

Property information will be placed on Jumia Property Platform providing 24-hour exposure to a worldwide pool of buyers, tenants, investors, and brokers



## MARKETING INTERGRATED REPORT

### BRANDING

HAL developed a plan to create uniform brand elements for material to coordinated marketing efforts and aligning all activities to the overall strategy.

Selection of the proper sign size and dimensions, elements, paper quality and designs for all material allowed for maximum exposure.

Engaging with professional photographers also produced good quality property pictures for use on marketing material.



### BROCHURE

HAL developed uniform elements for each project class as follows:

|             |                               |
|-------------|-------------------------------|
| Smart Plots | Lower - Middle Income Product |
| Migaa       | Upper Class Income Product    |
| Lakeview    | Business to Business Product  |

Each quality brochure outlines and promotes key strengths of the property in an attractive and easy to read manner as well as use of professional photographs that best represent the projects.



## MARKETING INTERGRATED REPORT

### ELECTRONIC MAIL

To strengthen awareness and to communicate and update the stakeholder community, we created an email template that would be used for stakeholder email.

The email includes updated property information and pricing on a regular basis to local & international brokers as well as communicate events.

HAL electronic mail database has grown significantly in 2018 and with monthly engagement with tailor-made content has drawn interest in HAL properties.



### AD PLACEMENT

HAL analyzed all potential publications and broadcast to determine placement needs and hence negotiated the best available rates.

Classic 105 held a Classic 105 Homes and Auto Expo in 2018. As a sponsor of the event we were able to negotiate as part of the package the following:

- Spot Ads with a prerecorded radio advert produced
- Radio Mentions on Maina and Kingangi in the morning
- Classified adverts through out the day

The adverts ran for a period of two weeks.



## MARKETING INTERGRATED REPORT

### AD PLACEMENT

HAL analyzed all potential publications and broadcast to determine placement needs and hence

The Kenya Trade Week and Exposition 2018 offered us an appearance of our logo as sponsors during the advertisement of the event over a two week period.



### PUBLIC RELATIONS

Public relations was the most cost effective tool used to increase awareness of HAL's property and build a strong project image.

HAL identified relevant news stories on local media stations such as NTV and KTN where PR opportunities were taken to explain HAL balance sheet, Share Price and Cash Position.

HAL is maintaining a long-standing relationships with publishers, writers, and editors, to help secure favorable articles to reinforce the momentum of selling properties.



## MARKETING INTERGRATED REPORT

### PRINT NEWS

| HEADLINE                                               | LINK TO THE FULL ARTICLE                                                                                                                                                                                                                                                                      | AVE (Kshs) | PRV (Kshs)   |
|--------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|--------------|
| Home Afrika turns a new page in real estate investment | It is a tough job to start an investment club, and turning one into a fully-fledged company that now employs 70 people, is even tougher, as Dan Awendo, managing director of Home Afrika is proving it... <a href="#">full story here and here</a><br>Nairobi Business Monthly, April 1, 2018 | 190,965.00 | 954,825.00   |
| We need Sh1.8bn for Migaa, Tamarind - CEO              | Property developer Home Afrika is seeking Sh1.8 billion from a strategic investor before end of the year to complete stalled projects... <a href="#">full story</a><br>The Star, April 24, 2018                                                                                               | 235,241.00 | 1,176,205.00 |
| Tamarind cuts ties with Home Afrika                    | The stalled Migaa Golf estate is threatening to deepen woes for listed real estate developers Home Afrika... <a href="#">full story</a><br>The Standard, April 27, 2018                                                                                                                       | 56,000.00  | 280,000.00   |
| Home Afrika records 18% increase in revenues           | Home Afrika Group has recorded 18 percent growth in revenues, from Ksh222 million in 2016 to Ksh262 million in 2017... <a href="#">full story</a><br>Sunday Express, May 6, 2018                                                                                                              | 55,197.00  | 275,985.00   |
| TOTAL                                                  |                                                                                                                                                                                                                                                                                               | 537,403.00 | 2,687,015.00 |

### ELECTRONIC NEWS (TV)

| HEADLINE                                              | LINK TO THE FULL STORY                                                                                                                                                                                                                                                                         | AVE (Kshs)   | PRV (Kshs)    |
|-------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|---------------|
| INTERVIEW: Dan Awendo, CEO Home Afrika                | Dan Awendo, Chief Executive Officer, Home Afrika, a Real Estate company talking about the impact of political period in the real estate industry, most specific to Home Afrika and trading stocks in the Nairobi Securities Exchange... <a href="#">1527hrs</a><br>KTN News, February 23, 2018 | 3,289,070.00 | 16,445,350.00 |
| INTERVIEW: Dan Awendo, Managing Director, Home Afrika | CNBC Africa's Charles Gitonga had a chat with Dan Awendo, Managing Director and one of the founders of the listed estate firm, Home Afrika... <a href="#">1945hrs</a><br>CNBC Africa, April 10, 2018                                                                                           | 1,850,670.00 | 9,253,350.00  |
| Home Afrika posts 18.5% jump in revenues              | Home Afrika Group has posted 18.5% jump in revenues growth. Deferred revenue increased to KSH2.25 Billion in 2017 from sale of serviced plots... <a href="#">1706hrs</a><br>CNBC Africa, April 30, 2018                                                                                        | 308,930.00   | 1,544,650.00  |
| Home Afrika post 18 percent revenue growth            | Its a rosy picture in real estate if Home Afrika results is anything to go by. The developer posted a 18 percent growth in revenue from 222 Million shillings in 2016 to 262 Million shillings in 2017... <a href="#">1521hrs</a><br>KTN News, April 30, 2018                                  | 186,670.00   | 933,350.00    |

## MARKETING INTERGRATED REPORT

### ELECTRONIC NEWS (TV)

| HEADLINE                                         | LINK TO THE FULL STORY                                                                                                                                                                                                                                | AVE (Kshs)   | PRV (Kshs)    |
|--------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|---------------|
| Home Afrika financial report                     | Home Afrika group recorded a 7.2% net drop in 2017 as compared to 2016 despite an 18.5% jump in revenues... <a href="#">2131hrs, 1313hrs, 1250hrs</a><br>NTV, April 30, 2018                                                                          | 606,550.00   | 3,032,750.00  |
| Home Afrika 2017 full year loss widens to Sh180M | Home Afrika has seen its 2017 full year loss widen to Sh180 million down from Sh168 million loss the firm made in 2016... <a href="#">1331hrs, 0644hrs</a><br>KBC Channel 1, April 30, 2018                                                           | 242,260.00   | 1,211,300.00  |
| Home Afrika records 7% increase in loss          | Home Afrika has recorded a 7% increase in loss during the 2017 financial year... <a href="#">1327hrs</a><br>Citizen TV, April 30, 2018                                                                                                                | 241,940.00   | 1,209,700.00  |
| Home Afrika restructures operations              | Kenyan Based real estate firm Home Afrika is restructuring its operations to improve its operations in the Nairobi Stock Exchange... <a href="#">2117hrs</a><br>CGTN, May 7, 2018                                                                     | 949,400.00   | 4,747,000.00  |
| Home Afrika true status                          | Mr. Dan Awendo was interviewed by NTV in a discussion that focused on the recently released results, misconceptions about Home Afrika, performance in the stock market and plans for capital raising... <a href="#">2147hrs</a><br>NTV, June 13, 2018 | 534,130.00   | 2,670,650.00  |
| TOTAL                                            |                                                                                                                                                                                                                                                       | 8,394,210.00 | 41,971,050.00 |

### ELECTRONIC NEWS (RADIO)

| HEADLINE                                         | LINK TO THE FULL STORY                                                                                                                                                                                                                                                          | AVE (Kshs) | PRV (Kshs) |
|--------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|------------|
| Home Afrika set to inject Ksh1.8bn into projects | Home Afrika is seeking to raise Ksh1.8bn from strategic investments to complete stalled projects... <a href="#">0923hrs, 0731hrs</a><br>Classic 105, April 24, 2018                                                                                                             | 49,500.00  | 247,500.00 |
| Home Afrika to raise 1.8B to complete projects   | Home Afrika is seeking to raise 1.8b shilling from strategic invested before the end of the year in a bid to complete stalled projects chief Executive Dan Awendo said it will be use to complete infrastructure in Migaa... <a href="#">0931hrs</a><br>East FM, April 24, 2018 | 11,600.00  | 58,000.00  |
| Home Afrika plans to collect Sh1.8b              | Property developer Home Afrika is seeking to raise Sh1.8 billion from a strategic investor before end of the year in bid to complete stalled projects especially for Migaa and Tamarind... <a href="#">0920hrs, 0814hrs</a><br>Gukena FM, April 24, 2018                        | 87,400.00  | 437,000.00 |
| Home Afrika makes Ksh180M loss                   | Home Afrika has sunk to Ksh 180M loss for the year ended December 2017... <a href="#">1425hrs</a><br>Hot 96, April 30, 2018                                                                                                                                                     | 36,090.00  | 180,450.00 |

## MARKETING INTERGRATED REPORT

### TOTAL AVE & PRV

| OUTLET                  | AVE (Kshs)   | PRV (Kshs)    |
|-------------------------|--------------|---------------|
| PRINT                   | 537,403.00   | 2,687,015.00  |
| ELECTRONIC (TV & RADIO) | 8,394,210.00 | 41,971,050.00 |

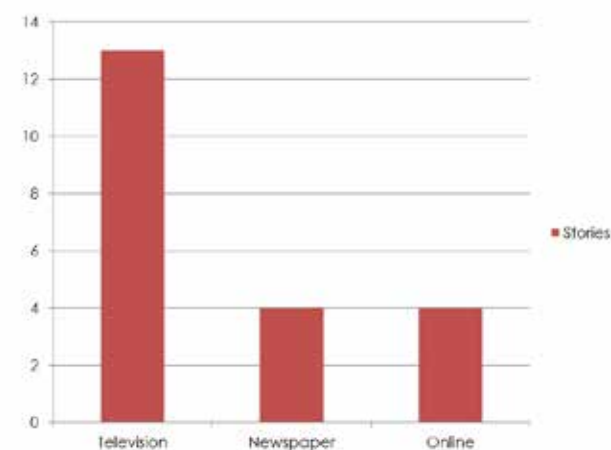
### ONLINE NEWS

|                                                                  |                                                                                                                                                                                                                                                                                                                                                         |
|------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Home Afrika seeks investors amid growth in loss                  | Listed property developer Home Afrika has sunk to a Sh180 million loss for the year ended December 2017. This is a seven percent growth in loss, from the Sh168 million posted a year earlier... <a href="#">full story</a><br>Citizen Digital, April 30, 2018                                                                                          |
| Home Afrika Group records greater loss despite increased revenue | Home Afrika Group recorded a 7.2% drop in net profit in 2017 compared to 2016, despite an 18.5% jump in revenues... <a href="#">full story</a><br>Daily Nation, April 30, 2018                                                                                                                                                                          |
| Home Afrika records 18% increase in revenues                     | Home Afrika Ltd has recorded 18% growth in revenues, from Ksh 222 million in 2016 to Ksh 262 million in 2017. The group also recorded an 8.4% annual increase in gross sales, an improvement that is a reflection of the restructuring initiative that the company has been undertaking... <a href="#">full story</a><br>Business Today, April 30, 2018 |
| We need Sh1.8bn for Migaa/Tamarind - CEO                         | Property developer Home Afrika is seeking to raise Sh1.8 billion from a strategic investor before end of the year in bid to complete stalled projects... <a href="#">full story</a><br>The Star, April 24, 2018                                                                                                                                         |

## MARKETING INTEGRATED REPORT

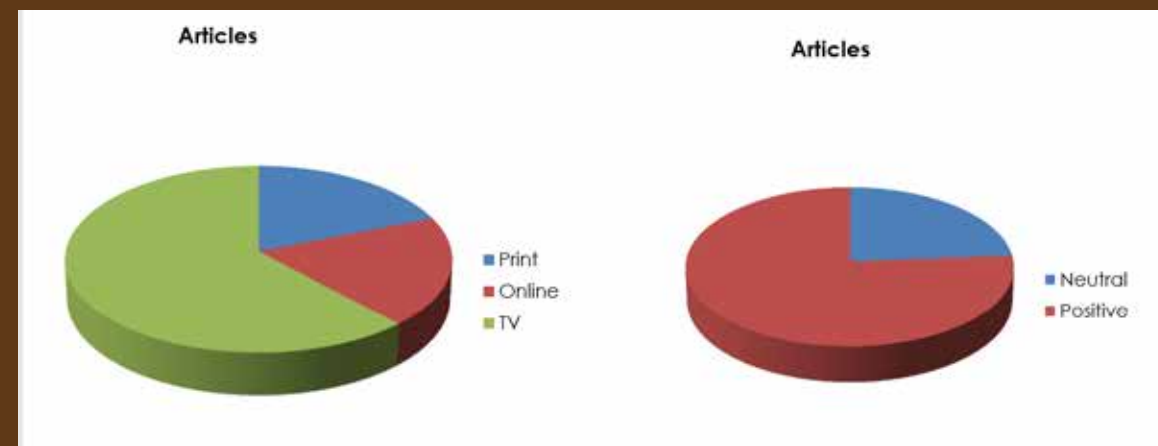
### SPREAD ACROSS THE PLATFORMS

The 21 stories achieved were spread across television, newspaper and online news platforms.



### ARTICLES AND TONALITY

There were a total of 21 articles achieved; with both positive and neutral tonalities.



## MARKETING INTEGRATED REPORT

### NETWORKING

In 2018, HAL actively participated within a variety of professional organizations commercial teams an exceptional referral network throughout the country and the diaspora market.

HAL's professional affiliations and memberships played a key role in the activation of a larger market for the properties.

HAL also held a number of Open Houses in Mitini Scapes, Open Days in Migaa, a Title Deed Issuance Ceremony in Kerobi Plains, In-Bar activations, Mall Activations, Corporate Presentations that helped boost referral networks.

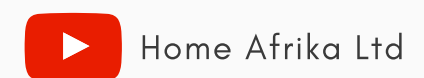
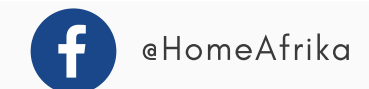


### SOCIAL MEDIA

Social networking was an under-utilized resource.

HAL in 2018 performed a 6-month study of our audience likes and dislikes enabling tailor-made content creation on social media pages such as Facebook, Twitter, LinkedIn, YouTube and Instagram. HAL social media pages have seen an exponential growth in database.

This has meant that hundreds of thousands of people have viewed HAL content over the period increasing brand awareness and boosting sales.



MARKETING INTERGRATED REPORT

**Sunday Express, May 6, 2018 - [Link](#)**

**Home Afrika records 18% increase in revenues**

**By Gert van der Merwe**

Home Afrika's revenue has increased 18% over the past year, according to the company's annual financial statement for 2017, released on May 4.

The group also recorded a 10% increase in its operating profit, which was driven by a combination of factors, including a 10% increase in its revenue and a 10% increase in its operating profit.

The group's revenue for 2017 was R1.8 billion, compared to R1.5 billion in 2016. The group's operating profit for 2017 was R180 million, compared to R160 million in 2016.

The group's revenue for 2017 was driven by a combination of factors, including a 10% increase in its revenue and a 10% increase in its operating profit.

**The Star, April 24, 2018 - [Link](#)**

**We need Sh1.8bn for Migaa, Tamarind – CEO**

When every shareholder in the industry is making, it is important to have a plan for business.

The CEO of Home Afrika, Tamarind, has said that the company needs Sh1.8 billion to fund its expansion plans for Migaa and Tamarind.

The CEO, Tamarind, has said that the company needs Sh1.8 billion to fund its expansion plans for Migaa and Tamarind.

**Daily Nation, April 30, 2018 - [Link](#)**

**Home Afrika Group records greater loss despite increased revenue**

Home Afrika Group's revenue for the year ended December 31, 2017, increased by 18% to Sh1.8 billion, compared to Sh1.5 billion in 2016.

The group's revenue for 2017 was driven by a combination of factors, including a 10% increase in its revenue and a 10% increase in its operating profit.

**Derisking developers and access to credit can boost housing**

The report also highlights the need for a more robust regulatory framework to ensure that the housing sector is not over-inflated and that the government is able to effectively manage the sector.

The report also highlights the need for a more robust regulatory framework to ensure that the housing sector is not over-inflated and that the government is able to effectively manage the sector.

**Citizen Digital, April 30, 2018 - [Link](#)**

**Home Afrika seeks investors amid growth in loss**

Home Afrika Managing Director Dan Awendo said the company is looking for investors to fund its expansion plans for Migaa and Tamarind.

The CEO, Tamarind, has said that the company needs Sh1.8 billion to fund its expansion plans for Migaa and Tamarind.

**Online Media**

The report also highlights the need for a more robust regulatory framework to ensure that the housing sector is not over-inflated and that the government is able to effectively manage the sector.

The report also highlights the need for a more robust regulatory framework to ensure that the housing sector is not over-inflated and that the government is able to effectively manage the sector.

MARKETING INTERGRATED REPORT

**The Standard, April 27, 2018 - [Link](#)**

**Tamarind cuts ties with Home Africa**

Home Afrika's revenue for the year ended December 31, 2017, increased by 18% to Sh1.8 billion, compared to Sh1.5 billion in 2016.

The group's revenue for 2017 was driven by a combination of factors, including a 10% increase in its revenue and a 10% increase in its operating profit.

**Nairobi Business Monthly, April 1, 2018 - [Pg 24 & Pg 25](#)**

**Home Afrika turns a new page in real estate investment**

Home Afrika Managing Director Dan Awendo said the company is looking for investors to fund its expansion plans for Migaa and Tamarind.

The CEO, Tamarind, has said that the company needs Sh1.8 billion to fund its expansion plans for Migaa and Tamarind.

**Executive Arena**

The report also highlights the need for a more robust regulatory framework to ensure that the housing sector is not over-inflated and that the government is able to effectively manage the sector.

The report also highlights the need for a more robust regulatory framework to ensure that the housing sector is not over-inflated and that the government is able to effectively manage the sector.

## ICT REPORT

ICT has greatly diversified the real estate products as companies structure their operations to remain relevant in the digital age.

**ICT provides a 360-degree approach in the real estate markets through provision of information on property, analysis and trends.**

Home Afrika takes ICT not as a support function but as business driving function.

### CUSTOMER EXPERIENCE

To start with Having a user friendly and customer-focused WEBSITE is one of the most important elements for all real estate companies.

Home Afrika has a customer centric approach to business, and we have created a new website to provide good customer experience. Website has a user-friendly interface that ensure all our products are visible at the click of a button, hence increasing our competitive edge. Our properties are at the easy access thanks to a CRM add-on that automatically updates the website property page.

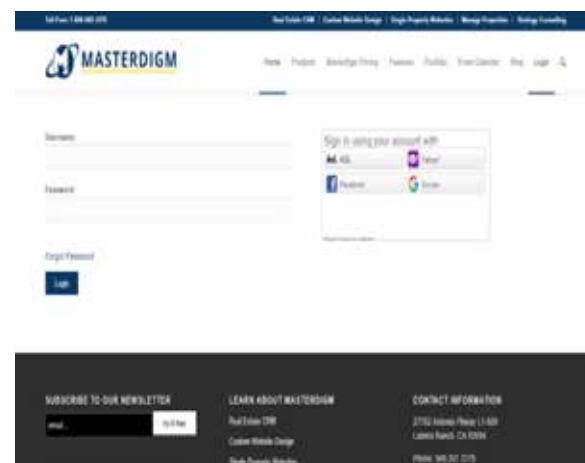


### SALES & MARKETING AUTOMATION

Home Afrika has a CRM tailored to suite our real-estate needs. It functions to improve both our sales and marketing process. For Sales the CRM helps in lead acquisition and scoring.

It helps capture all sales activities and process. Within the same CRM is a marketing functionality that includes marketing campaigns creator as well email marketing module.

Status of all activities are also available in the CRM reporting function which helps in sales forecasting and management.



### DIGITAL MOVE

Home Afrika digital move started with the smart home development by providing internet as part of the package in our Mitini scapes gated community.

As part of our serviced plots we have a Fibre cable running from the gate all the way to the development. With a mini server room on the premises internet at home has been successfully installed with homeowners individually billed for the same.



The developments plan is to turn into a smart community in days to come. The digital move has been bolstered by our idea of the **Home Afrika App development.**

The app will function to connect agents to buyers in the real-estate sector hence leaving a digital mark as a company.

The design phase has started, and we are hoping to be done with it within the year



### DATA WORK FLOWS

Home Afrika in line with the rapidly expanding ICT infrastructure that generates physical flows of data, we are implementing a Data Management system that will help in the flow of data internally and externally.

We are also upgrading our data security storage retrieval and presentation functionality to improve Data integrity and availability within the firm. Also, there is an idea of a Contact management system to better manage the contacts of Home Afrika clientele through improved communication that is emails and bulk SMS.

Information to be shared thereof are as follows Newsletters, Promotional emails, SMS and

Home Afrika has a customer centric approach to business, and we have created a new website to provide good customer experience. Website has a user-friendly interface that ensure all our products are visible at the click of a button, hence increasing our competitive edge. Our properties are at the easy access thanks to a CRM addon that automatically updates the website property page.



### SUPPORT FUNCTION

The support function is very important for the business process in Home Afrika. We have implemented an ERP (SAP) that supports our accounting function and **HRMIS (SUNLAX)** that facilitates the payroll function.



With a client server architecture there is a good peripheral connection in our LAN hence easy helpdesk support function.

## HUMAN CAPITAL

Home Afrika Ltd aims at having skilled experienced and diverse human capital. Our people are fundamental to our growth and our ability to create value. Their skills and expertise are critical to creating and executing strategies, and their service orientation and commitment to excellence help to deliver results, build relationships and secure our reputation.

We have a workforce of 52 permanent employees and 30 casual employees. Our ambition is to become the most sought after employer, where colleagues feel engaged, and empowered to achieve their best in order to deliver the best for our clients.

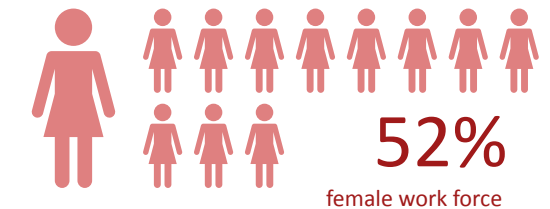
### DEMOGRAPHICS AND DIVERSITY

In our pursuit to ensure a well-balanced working environment we have ensured diversity in all areas possible. We are a fully multi ethnic organization with all regions of the country well represented.

Our workforce encompasses a multi -generational profile, which ensures skills are well spread and opportunities for succession are provided. Diversity and inclusion are key to our sustainability strategy, ensuring talent continuity and broadening the company's appeal to employees in various market segments. This will allow us to continue attracting and retaining employees who positively contribute to our success.

We have a female work force of 52% and a male work force of 48%.

## Diversity is our advantage



## ATTRACTING THE BEST TALENT

In order to meet the needs of our customers and the requirements of our regulators, we are focused on having the right people with the right skills, in the right roles. To ensure we hire highly competent, customer centric employees, we are also changing how we recruit with a focus on a more diverse set of skills in addition to specific role expertise.

Through hiring qualified staff, we have different articles from our very own.

Dickson Wanjohi (<https://www.businessdailyafrica.com/analysis/columnists/4259356-4658130-uf2bnu/index.html>)

Robert Simiyu (<https://www.nation.co.ke/lifestyle/dn2/Turnkey-apartments/957860-4992066-qnj1yz/index.html>)

In our changing business environment characterized by technology-driven social interactions, we are increasingly aware of the importance of fielding a new generation of employees that is comfortable with the future. We will continue to look for people who have add-ons such as people management, digital literacy, creativity, innovation, critical thinking, negotiation and collaborative skills. We seek to grow talent through mentorship to drive our future agenda.

In 2018:-

- Job combination and enrichment was adopted where some employees were exposed to more job areas within their department thus leading to increase in career expertise.
- 80% of the vacant positions were filled on time while 20% were behind the acceptable time frame.
- Internal promotions.

## PERFORMANCE MANAGEMENT

We remain committed towards driving a high performance culture. We make use of the Key Performance Indicator approach to measure employee performance. Our high performers are those employees who are aligned to our strategic plan, which is reflected in the achievement of the set out Key Performance Indicators, customer focus, internal business process and learning and development perspectives.

In addition to the alignment to our strategic plan, our high performers have embraced a change mindset and freely share information with colleagues.

The advantage of using KPIs include:-

- Alignment towards common goals. All employees are able to understand their contribution towards achieving the company's goals and objectives.
- Incentives for personal performance. KPIs empower people to improve their own personal performance along with that of the organization.

## REWARD MANAGEMENT

Recognition and praise is vital as it motivates the employees to work towards achieving and surpassing their set targets. At Home Afrika we have various reward management systems. We offer bonus plans which incentivize high performance while upholding our values. We also have cash rewards, holiday rewards among others.



Employees receiving their cash prizes as part of the reward management scheme.



One of our employees enjoying a holiday in Dubai as part of our reward management scheme.

## TRAINING AND DEVELOPMENT

At Home Afrika Ltd, we believe in improving skills for our employees and this is mainly done through training and development. In the year 2018, a few external trainings were done for various departments.

A major training on Fire and first aid was done for all employees. Our aim is to invest more in training and development so as to promote growth, skills and expertise for all our employees.

## EMPLOYEE WELFARE AND WELLNESS

Our commitment is to continuously have initiatives that guarantee our employees wellbeing and a well-balanced lifestyle. We aim to have a great working environment by having the following:-

**Medical Cover:** The Company meets the medical expenses of



the employees and their nuclear family for all the permanent employees. The company pays full premium of the medical cover. The cover which is by a private company caters for all rounded medical needs.

**WIBA (Work Injuries & Benefits Act):** Cover for occupational Injuries or death within the work place.

**Team buildings and end of year parties:** This promotes good relations among employees as they are also able to interact outside the normal working environment.

**Good performance rewards:** Home Afrika Limited believes in rewarding employees who perform exceptionally well. There are reward systems in place and thus employees are motivated to perform.

## OPEN DOOR POLICY

The company maintains an open door policy whereby open communication, feedback and discussion is encouraged. The open door policy encourages healthy discussions at work as well as enables employees to ask for guidance and assistance from their managers freely thus the achievement of the common organizational goals is achieved.

To ensure that our people are committed to common business goals, we continuously engage with them regularly about our strategy, performance and results, businesses, HR issues, welfare concerns, career opportunities and many other matters.

We are open to receive complaints from our employees through various channels as well as resolve these in the best manner and also in the fastest time possible.

## MILESTONES

In 2018 we:-

- Established the Marketing department which was not in existence before.
- Enhanced our reward systems for employees. For instance issuing prizes worth 5 million to best performing employees.

## FINANCIAL STRENGTH

### A) SOURCES OF FINANCE

Home Afrika LTD has currently employed a mix of different sources of finance for its projects. Equity: These are the shareholders contributions. The company is also list in the NSE GEMS section.

**Debt:** Due to the company's stability and futuristic outlook, the company has been able to acquire loans from financial institutions to fund its project in Migaa & Mitini. Strategic Investors: The Company is currently in the market looking for Strategic investors. The out come has been encouraging with several potential investors expressing interest and are currently undertaking due diligence so as to invest with home Afrika.

### B) COSTS OF FINANCING

Currently the company is servicing interest on loans sourced from I&M Bank and Eco – Bank. Interest forms the main component of the finance costs and has reduce significantly by 20% in 2018 as compared to 2017

### C) RETURN ON INVESTMENT

The company employs a framework to determine return on investment on all of the project it undertakes that gives a return on investment of 25%. The strategies involve project & pricing committees that employs research oriented matrix.

This helps in:

1. Feasibility study
2. Carrying out due diligence,
3. Pricing
4. Cost anlysis/Budget monitoring

### D) DEVELOP BUYER FINANCE MODEL.

A key challenge that often accompanies housing developments is the failure to link the ideal of a quality social housing project with the affordability realities of the target market.

A further constraint highlighted by some critics is the limited availability of mortgage finance. The opportunity, therefore, is to bring together affordable housing delivery with affordable, appropriate finance.

The company hat strategically partnered with financial institution to assist potential client to be able to get financing for it products.

## PERFORMANCE AGAINST STRATEGY

| STRATEGIC OBJECTIVES                                                                                                                                                                                  | STRATEGIC INITIATIVE                                                                                                                                                                                                                                                                | KEY PERFORMANCE INDICATORS                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>OBJECTIVE 1. LAND</b><br>Acquire Land with the following objectives: <ul style="list-style-type: none"><li>• Land banking.</li><li>• Subdivision and sale</li><li>• Property development</li></ul> | <ul style="list-style-type: none"><li>• Joint venture.</li><li>• Government Partnerships</li><li>• Seed financing</li></ul>                                                                                                                                                         | <ul style="list-style-type: none"><li>• Joint Ventures: Developing strategic partnerships and rollout JV partnerships. In 2018 Moran ridge was actualized.</li><li>• Land banking: Acquired 19 acres of land in the year 2018.</li><li>• Originated &amp; signed 2 smart plots projects in the year 2018</li></ul>                                                                                                                                                                                                                                                                                                                                                                                |
| <b>OBJECTIVE 2. EXPANSION</b><br><br>To grow sales and Revenue                                                                                                                                        | <ul style="list-style-type: none"><li>• Go county plan.</li><li>• Corporate Rebranding.</li><li>• Diversification of products and services</li></ul>                                                                                                                                | <ul style="list-style-type: none"><li>• Project Origination: Undertake 2 Internal staff training per quarter for originations</li><li>• Property letting and management-KU Unicity</li><li>• Go county plan: Set up regional offices in Nanyuki finalized.</li><li>• Developed a pipeline of 14 properties for management in the year 2018.</li></ul>                                                                                                                                                                                                                                                                                                                                             |
| <b>OBJECTIVE 3. INNOVATION AND TECHNOLOGY</b><br><br>Reduce cost of construction through technology.                                                                                                  | <ul style="list-style-type: none"><li>• Appropriate technology.</li><li>• Research and development.</li><li>• ERP Systems.</li><li>• Partnerships with educational institutions.</li></ul>                                                                                          | <ul style="list-style-type: none"><li>• Ongoing research and development on low cost housing.</li><li>• Improved website that is user friendly and customer focused. Our properties are easily accessible thanks to the CRM addon that automatically updates the company's property page.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                               |
| <b>OBJECTIVE 4. SERVICE EXCELLENCE</b><br><br>World class real estate service.                                                                                                                        | <ul style="list-style-type: none"><li>• Establishment of quality standards framework.</li><li>• Benchmark against best practice.</li><li>• Planning and quality assurance.</li><li>• Customer Relationship Management (CRM) tool.</li></ul>                                         | <ul style="list-style-type: none"><li>• Establishment of statutory quality standards framework.</li><li>• Digital move (Smart homes)</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>OBJECTIVE 5. HUMAN CAPITAL</b><br><br>Identify, nurture and grow human capital that will increase the value of Home Afrika.                                                                        | <ul style="list-style-type: none"><li>• Talent Acquisition and retention.</li><li>• Performance management.</li><li>• Organizational structure.</li><li>• Succession planning</li><li>• Creating the right business culture.</li><li>• Onboarding</li><li>• Compensation.</li></ul> | <ul style="list-style-type: none"><li>• In the year 2018 Home Afrika identified, acquired and retained highly qualified staff members.</li><li>• Staff were regularly reviewed and awarded accordingly in terms of commissions, international and local trips, land etc.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                |
| <b>OBJECTIVE 6. FINANCIAL STRENGTH</b><br><br>Increase Home Afrika's financial stability.                                                                                                             | <ul style="list-style-type: none"><li>• Source of finance.</li><li>• Cost of financing.</li><li>• Return of Investment.</li><li>• Development of buyer financing model.</li><li>• Development of project financing model.</li></ul>                                                 | <ul style="list-style-type: none"><li>• Home Afrika diversified their source of finance by fundraising, property management etc.</li><li>• Carrying out due diligence on potential investors before engaging them.</li><li>• Having payment plans with our buyers.</li><li>• Cost of financing: Currently the company is servicing interest on loans sourced from I&amp;M Bank.</li><li>• Return on investments: The company employs a framework to determine return on investments on all the projects it undertakes that gives a return on investment of 25%</li></ul>                                                                                                                          |
| <b>OBJECTIVE 7. PARTNERSHIPS</b><br><br>Revenue generation                                                                                                                                            | <ul style="list-style-type: none"><li>• Outsourcing of processes.</li><li>• Strategic partnerships.</li><li>• Business model partnership.</li></ul>                                                                                                                                 | <ul style="list-style-type: none"><li>• Diversified income streams.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>OBJECTIVE 8. MARKETING</b><br><br>Increased stake holder engagement.                                                                                                                               | <ul style="list-style-type: none"><li>• Website</li><li>• Social media</li><li>• Branding and signages</li><li>• Networking.</li><li>• Electronic Mail.</li><li>• Ad Placement</li><li>• Public relations</li><li>• Website.</li></ul>                                              | <ul style="list-style-type: none"><li>• Engaged with various institutions (banks, SACCOs, Diaspora association, membership clubs, travel agencies etc.) to build brand awareness.</li><li>• We have excited the market through innovative and non-conventional offline and online activities to aid in lead generation.</li><li>• Increased digital engagement and achieved our targets leads through creating innovative content.</li><li>• We have built thought leadership and brand awareness through extensive PR activities.</li><li>• We have excited the market through innovative and non-conventional marketing and communication material that appeals to the target market.</li></ul> |

## REPORT FROM THE CFO

### 2018 KEY HIGHLIGHTS

The year 2018 will be remembered for having high cost of living and unemployment. A combination of these two together with the lack of access to credit had a negative impact on the livelihoods of Kenyans. This is attributed to the slow growth in the real estate sector which affected the overall groups' performance.

In absolute sales which is not dependent on the percentage of completion, the group reported a decrease of 36.8% from Shs 921m in 2017 to Shs 582m in 2018 due to general slowdown in spending power among property buyers. When the sales are adjusted for the projects' completion stage, the group reported a 58.5% decrease in revenue from Shs 263M in 2017 to Shs 109M in 2018.

There was also a 64% decrease in the cost of sales in 2018 compared to 2017 from Shs 229m to Shs 82m in which a direct correlation with the sales recognized. The group operating expenses went up, majorly occasioned by the fundraising roadshows, application of the new IFRS 9 and other professional fee, hence the loss of Shs 346 million in 2018 compared to a loss of Shs 181 million in 2017.

We continue to introduce the concept of affordable smart plots projects to improve the company's liquidity. In 2018, we launched two smart plot projects being; Sidai (In Isinya) and Entim (In Ngong) both of which are sold out.

### REPORTING AND COMPLIANCE

The company's strategy on corporate governance is mainly focused on three agendas, these are compliance; with laws and regulations, promotion of growth in a sustainable manner and the improvement of shareholder value. During the year, we were compliant with the various requirements expected of us by the regulators as a listed company.

The Board of Directors remain committed to overseeing the implementation of sound corporate governance practices and structures. In 2018, in compliance with the Capital Markets Authority (CMA), Code of Corporate Governance Practices for the Issuers of Securities to the Public 2015, the company successfully undertook a Corporate Governance Audit. Further to which, the company enacted various company policies to regulate daily activities. These include :-



1. The Whistle Blowing Policy;
2. The Insider Trading Policy;
3. The Human Resources Policy; and
4. The Staff Code of Conduct and Ethics Manual.
5. The Board Charter was also updated in 2018.

To enable efficient discharge of its duties, the Board has delegated its authority to various committees namely :-

1. The Nomination, Governance, HR & Administration Committee;
2. The Finance & Strategy Committee; and
3. The Audit, Risk & Compliance Committee.

The Company successfully upgraded its reporting system (SAP Business 1) from Version 9.0 to 9.2 which is now a web based version. The Company also acquired a new cloud-based Human Resource Management Information System (SunLax) which has increased efficiency in operations and administration work. In 2019, we look forward to leverage our market position as the only listed real estate developer and focus on our business model and aggressive cost management measure, hence create value for our shareholders.

**CPA JAYNE NYOKABI**  
**AG. CHIEF FINANCE OFFICER**

## SUSTAINABILITY REPORT



### LINUS GITAHI (CHAIRPERSON'S STATEMENT)

Sustainability is a priority for the Board of Directors and the company's executive leaders, starting with Our chairman Mr. Linus Gitahi. Ultimately, we believe this expansive and inclusive view of value creation helps maximize our potential as a business to grow, create economic value and make a lasting positive difference for communities and our world.

The Board and Management of Home Afrika Limited. ("HAL" or the "Company") are committed to maintaining a high standard of corporate governance practices within the Group. We have devoted deliberate effort to identify and formalize best practices in corporate governance. The Board believes that sound and effective corporate practices are fundamental to the smooth, effective and transparent operation of any company and its ability to attract investment, protect the rights of shareholders and stakeholders, as well as enhancing shareholder value. Accordingly, the Board has ensured that the Company's policies and guidelines are in line with the existing regulatory framework of the Capital Markets Authority, the Companies Act 2015, and the Kenyan Constitution 2010.

At Home Afrika Limited the way we lead, work and behave is driven by our core values. These values influence the way we meet client needs while respecting the regulatory requirements and the way we promote ethically sound practices within Home Afrika. Sustainability is integral to the company's business strategy, for Home Afrika Limited, this means delivering both short-term and long-term value for shareholders and all other stakeholders, because today's profits are essential to fund tomorrow's growth.

We are committed to integrating responsible and sustainable business practices across our operations. It is our policy to act responsibly in our day-to-day activities in order to sustain the relationships with our customers, suppliers, employees and communities. We have modeled our policies after some of the provisions of the Constitution of Kenya (2010), United Nations Sustainable Development Goals (SDGs), the UN Declaration of Human Rights and all applicable provisions of Kenyan legislation.

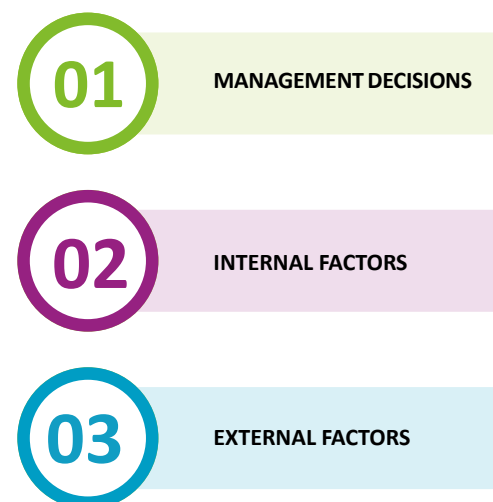
Linus Gitahi,  
Home Afrika Limited, Chairman

## FACTORS AFFECTING SUSTAINABILITY

There are a number of critical factors leading to successful sustainability strategy.

These are both internal and external. Internally, the determinants are corporate governance and stakeholders (external parties) engagement while external determinants include the legal system in the country and the cultural and social factors.

Factors affecting sustainability development have been classified into three main dimensions:



Our Company's adoption of a strategy is influenced by management decisions. Management mindset thus plays an important role in the sustainability strategy adoption.

The integration of sustainability requires consideration on policy, competitive environment and strategy. Due to the closed-system nature of sustainability, opportunities to modify operations or changes in tactics can have substantial effects on policy, firm strategy and the competitive environment.

Management's attitude towards the sustainability development and responsibility of business is one of the key drivers in applying sustainability development strategies. Various researchers have studied the social orientation and perceptions of social corporate sustainability and relating concepts from the management perspective.

We explore how the complexity associated with defining, coordinating and interacting with stakeholders in their work on integrating sustainability into the business operations increases substantially.

Furthermore, sustainability also introduces considerations relating to the natural environment and social issues, for example, consideration of the interaction between economic consideration with social and environmental issues. These changes from external factors require management to not only address new issues, but also to substantially change existing practices and create new management systems.

Internally, organization and governance are reflected in the structures that firms use to monitor and control complexity decisions throughout all stages of business operations. Practices related to sustainability include the measures, systems, and associated performance goals, further details of these factors are discussed hereunder.

### SUSTAINABLE FRAMEWORK AT HOME AFRIKA LIMITED

Sustainability framework is built around four critical areas that affect sustainability in the company as illustrated below: This refers to all groups of people who are affected directly or indirectly by our company decisions, policies and operations.

They are divided into two distinct groups – primary and



## STAKEHOLDER ENGAGEMENT

secondary stakeholders.

- **Primary stakeholders** consist of employees, shareholders, service providers, creditors and competitors.
- **Secondary stakeholders** are all the communities that our business has presence in.

Home Afrika Limited is cognizant of the fact that it takes all of us working together to truly have an impact.

**As such, we partner with organizations in the communities where we live and work to improve lives and society as a**

**whole – by engaging in activities such as community service, philanthropy, and support for small, minority, women, and disadvantaged businesses.**

Home Afrika Limited deals with Stakeholder Engagement in the following ways :

Externally we ensure that the clients we pursue are engaged

e.g. in July 2018, P&L was able to engage all our clients and investors as a way to maintain reputational risk;

Home Afrika applies employee diversity, the company strives to achieve gender and cultural diversity in our employments and takes pride as an equal opportunity employer for all qualified persons.

This has created an inclusive environment where it maximizes on individual potential and excels in the overall performance of Home Afrika Limited.

By way of internal staff forums, the company raises employees' understanding of strength in diversity and ascertains the spirit of patriotism and oneness to maintain all -round staff wellbeing.

We are determined to make HAL a great place to work, to encourage people to bring out the best of themselves in work and in helping each other realize their full potential. We invest in out - of -office staff activities such as, team -building

and CSR activities in reflection of our deep commitment to staff wellbeing.

Our duty to accommodate involves taking steps to eliminate disadvantage to employees, prospective employees or clients resulting from a rule, practice or physical barrier that has or may have an adverse impact on any individual or groups. This includes the hiring process which is properly done to ensure that all employees are well trained and qualified for the various positions as well as accommodating an individual once they are hired.

We closed 2018 with a staff compliment of ..... employees that encompasses the breadth and depth of our diversity as shown here :

Home Afrika has a good human resource framework that helps the organization understand the foundational elements that need to be in place to foster a high performance sustainable or CSR (corporate social responsibility) organization.

| PERFORMANCE INDICATOR                       | 2018       | 2019<br>(Projected) |
|---------------------------------------------|------------|---------------------|
| Total permanent staff                       | 52         | 56                  |
| Total contract staff (Includes Sales Staff) | 50         | 110                 |
| <b>TOTALS</b>                               | <b>102</b> | <b>166</b>          |
| % Female staff members,                     | 40%        | 44%                 |
| % male staff members.                       | 60%        | 56%                 |
| % of our staff who are younger than 40yrs   | 80%        | 80%                 |

This is to include the Human resource Policy Human that aids to resource professionals have a key role to play to help a company achieve its sustainability.

## 1. COMMUNITY ENGAGEMENT

As part of the wider community in which we operate, the company collaborates with various stakeholders involved in advancement of education, financial services and various other activities addressing local challenges.

Some of the activities that Home Afrika engaged in 2018 Included;

1. Home Afrika conducted a free prostate and cervical cancer screening during an open house. In an effort to create cancer awareness. In October, during the Cervical Cancer Awareness month,

2. A small community was banding together to raise money for a family to fix the leaking roof, the community had raised Kshs.60,000 of the Kshs.250,000 budgets. Home Afrika contributed Kshs. 50,000 to the cause.



## 2. ENVIRONMENT

Home Afrika Limited respects the environment and recognizes a shared responsibility to protect our planet. Although our facilities and operations have a small ecological footprint, we reduce the environmental impact of our business through preservation, conservation, and waste reduction practices. Waste Minimization.

In order to reduce waste, Home Afrika has over the years proactively adopted the 3Rs Model of Retain, Recycle and Re-use of waste eg By having the recycle bins placed in the company's office, the concept of "everything is useful to somebody else" is well applicable. Used papers & used envelopes are re-used internally and detailed list of assets i.e. laptops are maintained to facilitate internal shifting to stations where they are shortages instead of procuring new ones.

There is also limitation on paper, electricity and water usage in the day to day operations of the office and in our Migaa project, there is water supply and reticulation.



## 3. COMPLIANCE & ETHICS

This refers to our proactive activities that ensure that we incorporate sustainable business methods in the ordinary course of business. As a listed company, Home Afrika Limited is bound by all laws and regulations legislated within the territorial borders of Kenya like OSHA, that ensure that the welfare of the employees is well catered to. We are also subject to various regulatory checks like financial and annual reporting requirements as well as financial and governance audits.

With regards to finances Home Afrika is committed to doing the right thing, conducting ourselves in a legal, ethical, and trustworthy manner, upholding our regulatory obligations, and complying with both the letter and spirit of our business policies.

The company Policies that govern the company, ensure that ethics are well adhered to i.e. The Board has an approved a Code of Conduct which requires that staff uphold the utmost value to maintaining trust and abide by all relevant laws and regulations, uphold high ethical standards and act fairly and sincerely in the best interests and sustainability of the company.



## 4. CORPORATE GOVERNANCE

Corporate governance is the system through which corporations are directed, controlled and operated as power is exercised over its assets and resources.

The company's strategy on corporate governance is focused on three main agendas; compliance with laws and regulations, promotion of growth in a sustainable manner and the improvement of shareholder value. Our corporate governance values are founded on the pillars of responsibility, accountability, fairness and transparency.

If the business is not run in an ethical, transparent and accountable manner, we are likely to face legal and reputational risks, as well as being disadvantaged by eroded employee and investor trust and confidence, which quickly translates into lost opportunities and diminished success. As a result, we consider sound corporate governance, ethical behavior, robust risk management and regulatory compliance to be fundamental to our commercial sustainability.

Guidelines on Corporate Governance Practices by Public Listed Companies in Kenya developed by the Centre for Corporate Governance and the Capital Markets Authority (CMA) sets out standards which are part of the broader corporate governance best-practice principles the Company adheres to.

The Board is responsible for the company's corporate governance practices and has in place mechanisms to ensure observance and report on its compliance status on a regular basis including with regard to provisions of the Prudential Guidelines from the Companies Act 2015.

Our high standards of corporate governance are not an exercise in compliance, but a means of driving the performance of the business whilst managing and mitigating risk.

The Company's corporate governance structure has been feted by reputable reviewers, leading to recognition awards. The Board is guided by the Board of Directors Charter which is disclosed on our website.

Home Afrika Limited is governed by a Board of Directors appointed by shareholders. The Board consists of Seven directors who consist of both executive and non-executive directors. The Board is composed of directors with a diverse mix of skills, experience and competences in the relevant fields of expertise and is well placed to take the business forward. Minority shareholders are sufficiently represented in the Board by the independent directors who are elected at the Annual General Meeting.

The Company Secretary is responsible for monitoring and coordinating the Board's agenda and papers.

Internally, the company is committed to the highest possible standards of openness, probity and accountability and this is well captured by our whistle blowing policy. In line with that commitment, we encourage staff with serious concerns about any aspect of the company work to come forward and voice the said concerns. It is recognized that certain cases will have to proceed on a confidential basis.

The policy makes it clear that employees can do so without fear of reprisals. The Whistleblowing policy is intended to encourage and enable employees to raise serious concerns within the Company rather than overlooking a problem or simply reporting it outside of the defined channels within the Company.

In the year ended 2018 there were zero reports of misconduct cases at Home Afrika Limited.

This policy aims to :

- Provide avenues for staff to raise concerns and receive feedback on any action taken.
- Reassure staff that they will be protected from reprisals or victimization.

The policy provides that staff may report an issue if it is unlawful, fraudulent, contrary to the company's policies and procedure, falls below established standards of practice, amounts to improper conduct and breach the Company's code of Conduct.

The Company respects the confidentiality of staff raising concerns and sets out arrangements which include the opportunity to raise concerns outside the management structure.

## 5. SUPPORT FOR 2030 AGENDA FOR SUSTAINABLE DEVELOPMENT

Home Afrika Limited as a corporate citizen of Kenya is bound to support all Sustainable Development Goals (SDGs). We have identified specific goals that are integral to our core business they are;

SDG 6 on access to water requires that there be access to water and sanitation for all. To fulfill, this Home Afrika Limited has ensured that in all areas it has a presence in, it has provided access to water for surrounding communities and commits to continue doing so

SDG 11 on building of sustainable communities places a responsibility on Home Afrika Limited to use building materials that have been sourced in a sustainable manner.

In line with the government's agenda regarding affordable housing, Home Afrika Limited commits to willfully is by lawful regulation that guides affordable housing construction and in so doing pledges to provide affordable housing for all . This is an objective that the company is venturing into.

## 6. RESPONSIBILITY

This policy creates two distinct responsibilities, these are those that arise from the corporate social responsibility and those that arise from the sustainability responsibility.



# CORPORATE SOCIAL RESPONSIBILITY

Home Afrikas’ marketing, Branding & PR department has responsibility to organize all CSR activities. These themed appropriately and generally support the provision of decent living to all and provision of clean water and reliable sanitation systems.

Some of the activities we engaged with included :

## Cervical Cancer Awareness Month

In October, during the Cervical Cancer Awareness month, Home Afrika conducted a free prostate and cervical cancer screening during an open house on 27th October 2018 at Migaa golf estate 2018.



Staff waiting for their Prostate Cancer Blood Test results

## A Home for Wangui

A small community was banding together to help a family of 4: Salome Wangui and her three children Jane Njoki aged 17, June Mukami aged 14 and Benson Mbugua aged 8. Wangui’s daughter, June was a standard 8 candidate and struggled to study at night under a leaky roof. At the time of engagement, the community had raised Kshs 60,000 of the Kshs 250,000 budget. Home Afrika Limited contributed Kshs. 50,000 to the cause.



Dan Awendo MD HAL MD, Community Leaders, and Wangui and her three children.



## CSR REPORT



## Migaa CSR Objective



At Migaa we understand that we have a responsibility to our society and we have made Corporate Social Responsibility (CSR) an integral part of our business culture. We strive to making a difference in people's lives and focus on the following key areas:

- Environment
- Education
- Empowerment



## Ting'anga Model Primary School Project



## TING'ANGA MODEL PRIMARY SCHOOL PROJECT

Ting'anga Model Primary is a school located in Kiambu Town. It is one of the best performing schools in KCPE in Kiambu County. In a bid to improve the school learning experience and children lifestyle, Migaa performed a need analysis and came up with a work plan to address the needs identified. We started with the rehabilitation of the sports field and broke ground through a friendly football match between Migaa staff and students of Tinganga Model Primary School. We also engaged in a tree planting session and refreshments thereafter.

We continue to support the school in phase 2 which included the repairing of the classroom window.



MIGAA

## CSR REPORT



## Ting'anga Model Primary School Project – Sports field and Hand over photos



## Sport field Hand Over



As we gear up for phase three which include renovation of the washrooms and sanitary areas we will not drop the ball.



MIGAA

## CSR REPORT



### Migaa Green Goal



Trees are fundamental to the ambience of any residential estate, in essence, define its very nature. We see trees as the basis. Indigenous landscaping of wealth, character and integrity of Migaa. By planting a selection of indigenous species, we expect to



### Migaa Tree Planting day



Migaa staff held its third Tree Planting day on 30<sup>th</sup> May 2018. The a team planted nine hundred and twenty eight (928) trees around the golf course.



MIGAA

## CSR REPORT



### Tree Planting - Photos



### Migaa CSR Philosophy

Migaa hopes to work together with the local communities to address local issues by exploring certain possibilities. It shall endeavor to support and upgrade local schools and dispensaries. Organize entrepreneurship and business training, youth education on HIV and AIDS, drugs and alcohol to hopeful combat delinquency and promote empowerment and meaningful lifestyles in the villages. Provide schools that have biogas potential with biogas digesters that subsidize their fuel costs and reduce deforestation. Sponsor environmental education and literacy in students enabling them to identify, investigate and resolve environmental issues through active participation.



MIGAA



**Migaa staff held its third Tree Planting day on 30<sup>th</sup> May 2018. The a team planted nine hundred and twenty eight (928) trees around the golf course.**



## CORPORATE GOVERNANCE

### STATEMENT ON CORPORATE GOVERNANCE

The company's strategy on corporate governance is focused on three main agendas, these are compliance with laws and regulations, promotion of growth in a sustainable manner and the improvement of shareholder value.

The Board of Directors (the "Board") is fully responsible and unreservedly committed to applying the fundamental principles of good governance – transparency, integrity, accountability and responsibility - in all Company dealings. The Board is able to achieve these through various structures within the company derived from the company strategy.

These structures are :

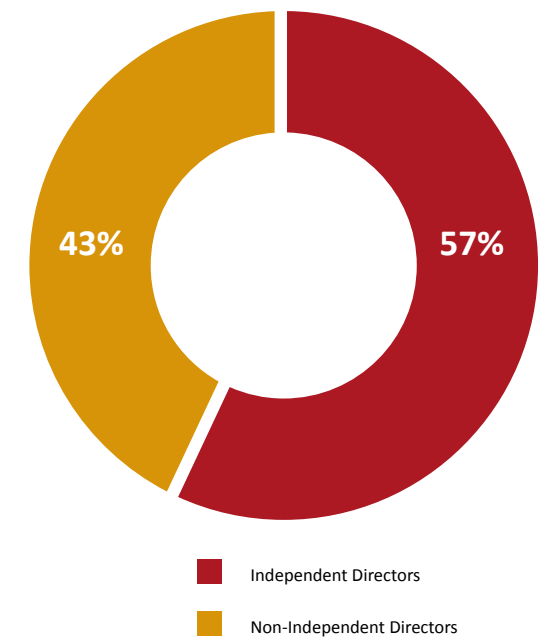
1. Board composition;
2. Compliance with the law; and
3. Commitment to international standards of Environmental Sustainability Governance (ESG)

### THE BOARD

#### I. Composition

The Board currently comprises seven (7) members each of whom, with the exception of the Managing Director are non-executive.

The Managing Director is tasked with ensuring that the Board's direction of strategy is implemented by the company staff. The Board also made up majority independent and minority non-independent membership as illustrated below:

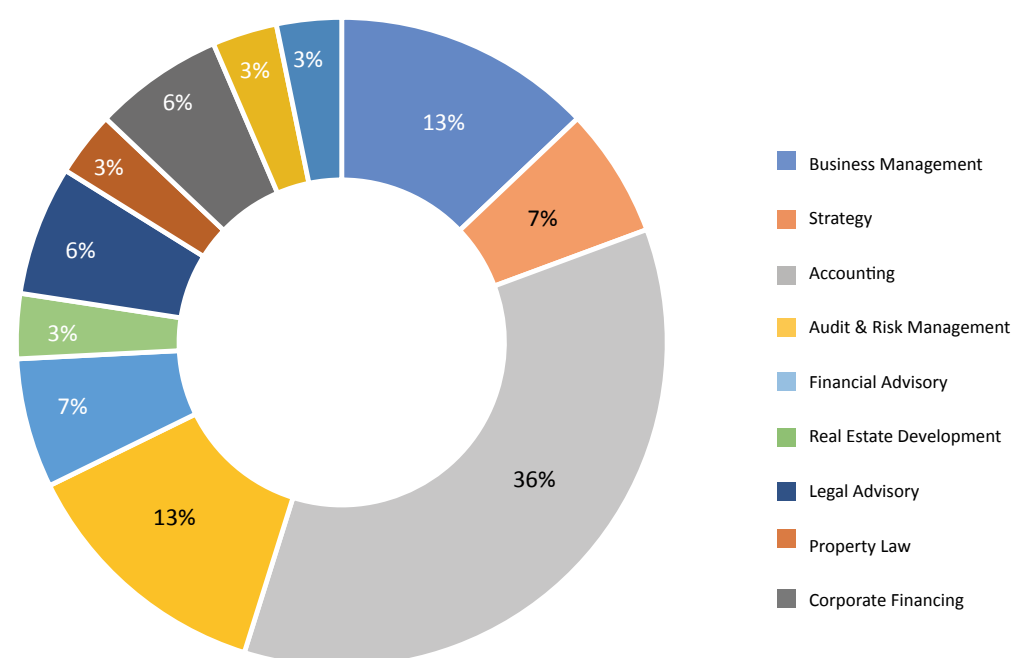


| NO. | DIRECTOR             | NUMBER OF SHARES HELD | INDEPENDENT / NON-INDEPENDENT |
|-----|----------------------|-----------------------|-------------------------------|
| 1.  | Linus Gitahi         | None                  | Independent                   |
| 2.  | Peter Nduati         | None                  | Independent                   |
| 3.  | Rachel Mbai          | None                  | Independent                   |
| 4.  | Dan Ochieng Awendo   | *256,000              | Non – independent             |
| 5.  | Mbugua Gecaga        | 2,948,200             | Non- independent              |
| 6.  | Ketan Shah           | 4,000,000             | Non -independent              |
| 7.  | Caroline Jebet Kigen | None                  | Independent                   |

\* Share held in the name of a company- YCEO Holdings Ltd- 10 Million shares (This company has 34 shareholders and holds 4.9% stake in the company in in personal capacity.)

The Board has membership of highly qualified men and women whose cumulative experience is over 150 years and who are members of good standing in their respective professional bodies.

Their expertise and knowledge are in various fields including economics, accounting, finance, property development, engineering, management consultancy, project management, marketing, law and entrepreneurship as illustrated below:



The Board maps out the Company's medium- and long-term strategies in addition to its responsibility to review the management's action plans. The Board's other primary duties are to conduct regular reviews of the Company's business operations and performances and to ensure that effective controls and systems exist to measure and manage the principle risks of the Company's business. The Board also reviews major strategic initiatives of the Company to determine whether the Company's proposed actions are aligned with long-term business strategies and shareholder objectives.

#### APPOINTMENT & RE-ELECTION

The Directors are elected by the shareholders for terms not exceeding three (3) years. Thereafter, they retire by rotation. This is a mechanism that ensures proper succession planning and maintains institutional memory of the company. In 2018, the following Directors retired and were re-elected to their positions:

- Mbugua Gecaga
- Ketan Shah
- Peter Nduati.

#### BOARD COMMITTEES

The Board has constituted three committees to supplement its functions. The Committees review matters on behalf of the Board in accordance with the Board approved terms of reference.

#### THE BOARD (7) MEMBERS

##### BOARD COMMITTEES

##### Audit and Risk Committee:

The Committee oversees the Company's financial reporting, compliance, risk management and internal controls. The Committee receives and reviews findings of internal and external audits and actions taken to address them.

##### Finance, Procurement and Strategy Committee:

The Committee reviews and recommends to the Board for approval matters pertaining to: business strategic plans including its implementation and monitoring process; new markets expansion; significant investment and divestment decisions; annual business and financial plans and budgets and sustainability.

##### Nomination, Governance, Human Resource and Administration Committee:

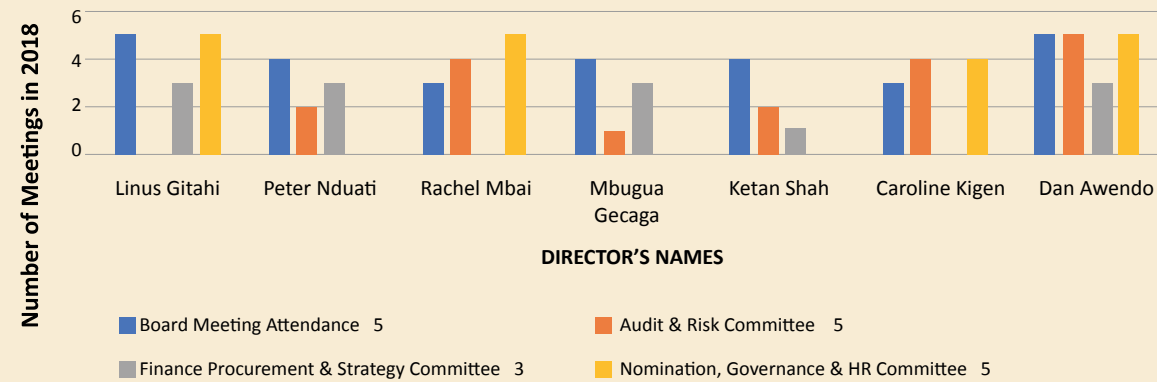
The role of the Committee is to develop and implement policies with respect to both the strategic priorities of the Board on matters of governance. Specifically, the Committee assists the Board in considering matters relating to the composition of the Board, including the appointment of new Directors and reviewing succession plans in order to maintain the appropriate balance of skills on the Board. In addition, the Committee also assists the Board in the implementation of sound corporate governance principles and practices.

#### BOARD & COMMITTEE MEETINGS

The Board has in place an annual work plan that sets out the Board activities for the year. The Board meets quarterly and additionally when necessary. Board and committee meetings attendance in 2018 was as follows: -

|                                | Board Meeting | Audit & Risk Committee | Finance Procurement & Strategy Committee | Nomination, Governance & Hr Committee |
|--------------------------------|---------------|------------------------|------------------------------------------|---------------------------------------|
| Total of Meetings held in 2018 | 5             | 5                      | 3                                        | 5                                     |
| <b>DIRECTORS NAMES</b>         |               |                        |                                          |                                       |
| Linus Gitahi                   | 5             | 0                      | 3                                        | 5                                     |
| Peter Nduati                   | 4             | 2                      | 3                                        | 0                                     |
| Rachel Mbai                    | 3             | 4                      | 0                                        | 5                                     |
| Mbugua Gecaga                  | 4             | 1                      | 3                                        | 0                                     |
| Ketan Shah                     | 4             | 2                      | 1                                        | 0                                     |
| Caroline Kigen                 | 3             | 4                      | 0                                        | 4                                     |
| Dan Awendo                     | 5             | 5                      | 3                                        | 5                                     |

### Director's Board & Committee Meetings Attendance



#### THE COMPANY SECRETARY

The Board is assisted by a suitably qualified company secretary who is a member of the Institute of Certified Public Secretaries of Kenya in good standing.

The Company Secretary plays an important role in supporting the Board by ensuring adherence to Board policies and procedures. Each Director has direct access to the Company Secretary. The Company Secretary also facilitates effective communication between the Company and the shareholders.

#### BOARD CHARTER

All Board activities are guided by the Board Charter which was updated in 2018, it outlines the role of the Board of Directors in the business structure and operations of the Company. It further provides that the Board shall conduct itself by using the highest standards of ethics and at all times proceed in accordance with the applicable laws, for the best interests of the Company's Shareholders and stakeholders.

#### II. COMPLIANCE WITH THE LAW

The Company successfully undertook the Corporate Governance Audit as required by CMA regulations in the second half of the year.

This revealed that whereas the current corporate governance structure was adequate, the company policies needed updates that would further reinforce the board's commitment to sound corporate governance. In addition, the Company complied with the requirement to self-assess its corporate

governance performance using a matrix provided by the regulators. These exercises were all aimed at ensuring that the company remains transparent with the regulator while at the same time complying with the law. The company also has in place Board approved policies that aim to reinforce good corporate governance practices as well as comply with the law as discussed below.

#### CONFLICT OF INTEREST

Conflict of interest refers to any situation that has the potential to undermine the impartiality of a person because of the possibility of a clash between the person's self-interest and professional interest or public interest. In this context, all Directors, senior management and all employees must avoid any situation which might give rise to a conflict, real or perceived, between their personal interest and that of the Company.

Any Director, senior management and employees with a material personal interest in any matter being considered during any Board or Committee meeting will not, as the case may be, vote on the matter or be present when the matter is being discussed and considered.

In addition, any conflict of interest by a director is noted in the conflict of interest register that is maintained by the company secretary. The Board Charter and the Human Resource Management Policy implements the controls and lays down guidelines for how any arising conflict of interest at employee and director level are to be dealt with.

In 2018 there were no conflict of interest matters that were reported.

#### INSIDER TRADING

The Company has a policy on insider trading which aims at preventing the improper communication of material undisclosed information regarding the Company as well as trading in securities of the Company, by establishing procedures to guide the Company's Directors and Employees in understanding and complying with their obligations relating to insider trading.

A Director who deals in any of the Company's securities shall notify the Company Secretary in writing of all dealings and the timings, the number and the value of the securities involved.

The Company Secretary shall prepare quarterly reports of all transactions undertaken by a Director dealing in the Company's securities for presentation to the Board of Directors.

#### CODE OF ETHICS

The core values of integrity, professionalism, team spirit and emphasis on safety culture steer our Company's organizational health and decision-making processes. The Company conducts its business in compliance with relevant legal principles and high ethical standards of business practice.

The Board, Management and employees are required to observe the code and high standards of integrity. Further, these standards are applied in all dealings with customers, suppliers and other stakeholders.

#### WHISTLEBLOWING

Home Afrika has zero tolerance for corruption, criminality or any form of wrongdoing. To deal with these, a Whistle blowing Policy is in place to set the standards for protection of would be informers as well as reinforce the culture of honesty and discipline.

The policy applies to all internal and external stakeholders and established the Board as the body responsible for enforcement. To ensure impartiality, the Chairman is the designated Ombudsperson to be contacted on email [ombudsperson@homeafrika.com](mailto:ombudsperson@homeafrika.com).

The whistleblowing Policy is available online at [www.homeafrika.com](http://www.homeafrika.com).

#### RISK MANAGEMENT

The Board has committed the company to a process of risk management that is aligned to the principles of best practice and corporate governance.

Our business strategy depends upon us taking calculated risks in a way that does not jeopardize the direct interests of the different stakeholders. Sound assessment of risk enables us to anticipate and respond to changes in our business environment, as well as make informed decisions under conditions of uncertainty. The risk management process has been embedded in our business systems and processes, so that our responses to risk remain current and dynamic.

All key risks associated with major changes and significant actions by the company also fall within the process of risk management. A crucial part of risk management is comprised in internal and external audit – conducted semi-annually and yearly. Both are outsourced to auditors of proper standing in ICPAK and who report directly to the Board to ensure their independence.

The governance audit is also an important facet of risk management. In 2018 it was conducted by an independent governance auditor of proper standing with the ICS and in compliance with the Code of Corporate Governance Practices for Issuers of Securities to the Public 2015.

In addition, the Board is mandated to seek clarifications on various matters where the company personnel lacks expertise to ensure that they are well informed of complex subject matters.

#### III. Commitment to Environmental, social & corporate governance ESG

##### BOARD TRAINING

The Board of directors is cognizant of the pivotal role ESG plays in the success of the company. The Nominations, Governance, Human Resource and Administration Committee in conjunction with the Company secretary is tasked with Board trainings and evaluation. Whereas the directors are allowed to attend trainings individually, the Company secretary also organized internal training for all the directors. This ensured that the directors all achieved the mandatory training hours and were well informed of the emerging trends in corporate governance.

## BOARD EVALUATION

The Board has formally reviewed its performance using a comprehensive and structured assessment approach. The exercise was led by the Board Chairman, the Nomination, Governance, Human Resource and Administration Committee and supported by the Company Secretary.

The evaluation entailed assessment of Board activity, understanding and support of the Company's mission and purpose, adherence to governance practices, Board organization and decision-making processes, conduct of Board meetings and assessment of Board membership and its ability to execute its duties.

The evaluation also included evaluation of the Company Secretary in supporting the Board execute its mandate. Areas that require improvement have been identified and actions to address these areas are to be implemented.

## REMUNERATION

The Board is committed to ensuring that remuneration is fair and responsible in the context of overall employees, disclosure is in the remuneration report .

### Ownership Structure as at 31 December 2018

#### HOME AFRIKA LIMITED

#### OWNERSHIP STRUCTURE AS AT 31-12-2018

#### SHAREHOLDER CATEGORY

| RANK | FOREIGN INVESTOR                                       | SHARES HELD       | % HELD      |
|------|--------------------------------------------------------|-------------------|-------------|
| 1    | MR ZEYUN YANG                                          | 13,245,600        | 3.27        |
| 2    | RASHID SSENYONGA                                       | 4,711,900         | 1.16        |
| 3    | KAJAL JAIN & PRAVINKANT LAKHAMSHI SHAH                 | 585,000           | 0.14        |
| 4    | MR IKEOTUONYE ALBAN IKE                                | 500,000           | 0.12        |
| 5    | KANAIYALAL MANSUKHLAL SHAH & LALITABEN KANAIYALAL SHAH | 311,500           | 0.08        |
| 6    | CYRILLE TRAKIZA MUTSINZI                               | 295,900           | 0.07        |
| 7    | AJIT SINGH BHOGAL                                      | 260,000           | 0.06        |
| 8    | VINU KURJI DEVJI PATEL & SHANTABEN VINU PATEL          | 240,800           | 0.06        |
| 9    | HAROON SERULI                                          | 161,200           | 0.04        |
| 10   | VENICHAND WAGHJI GOSRANI                               | 100,000           | 0.02        |
|      | <b>SUBTOTAL</b>                                        | <b>20,311,900</b> | <b>5.02</b> |
|      | <b>OTHERS</b>                                          | <b>1,448,500</b>  | <b>0.36</b> |
|      | <b>TOTAL</b>                                           | <b>39,954,407</b> | <b>9.86</b> |

| RANK | LOCAL INDIVIDUALS INVESTORS                       | SHARES HELD        | % HELD       |
|------|---------------------------------------------------|--------------------|--------------|
| 1    | NYAGAH BOORE KITHINJI & LILIAN WANJIKU KITHINJI   | 10,062,600         | 2.48         |
| 2    | HIRJI KHIMJI BHIMJI SEYANI & KARSAN KHIMJI SEYANI | 10,000,000         | 2.47         |
| 3    | PAUL WANDERI NDUNGU                               | 6,856,600          | 1.69         |
| 4    | PATRICK RICHARD DIVINE                            | 6,000,000          | 1.48         |
| 5    | LEE GITUTO KARURI & CONSOLATA NJERI GITUTO        | 5,522,000          | 1.36         |
| 6    | NARAN KHIMJI AND VIRJI KHIMJI HIRANI              | 4,579,200          | 1.13         |
| 7    | EUNICE MORAA MARANYA                              | 4,071,000          | 1.00         |
| 8    | SANJEEV JYOTI SHARMA                              | 4,000,000          | 0.99         |
| 9    | MWARI MBUGUA & ALEXANDER MUGANE MBUGUA            | 4,000,000          | 0.99         |
| 10   | ROBERT KANDA NYASIMI                              | 3,995,000          | 0.99         |
|      | <b>SUBTOTAL</b>                                   | <b>59,086,400</b>  | <b>14.58</b> |
|      | <b>OTHERS</b>                                     | <b>201,246,503</b> | <b>49.6</b>  |
|      | <b>TOTAL</b>                                      | <b>260,332,903</b> | <b>64.24</b> |

CO-OP BANK SHARE REGISTRAR SERVICES 2018

## DIRECTORS' REMUNERATION REPORT

### INTRODUCTION

The members of the Board Nomination & Remuneration Committee (BNRC) during the year were, Rachel Mbai (Committee Chairperson), Linus Wangombe Gitahi, Caroline Kigen and Dan Awendo (Managing Director). All members except Dan Awendo are Non-Executive Directors.

The Schedule of attendance of BNRC meetings held during the year were as follows: -

#### NOMINATION & REMUNERATION COMMITTEE

|                           | 24-JAN | 20-APR | 26-JUL | 9-AUG | 8-NOV | TOTAL MEETINGS ATTENDED |
|---------------------------|--------|--------|--------|-------|-------|-------------------------|
| Rachel Mbai - Chairperson | ✓      | ✓      | ✓      | ✓     | ✓     | 5                       |
| Linus Gitahi              | ✓      | ✓      | ✓      | ✓     | ✓     | 5                       |
| Caroline Kigen            | ✓      | ✓      | ✓      | ✗     | ✓     | 4                       |
| Dan Awendo                | ✓      | ✓      | ✓      | ✓     | ✓     | 5                       |

The BNRC's responsibilities have been set by the Board and are outlined in the Board Charter and the Committee's terms of reference. The BNRC takes into account the need to recruit and retain valuable Directors in a challenging market environment.

The BNRC believes that the Company complies with the main provisions of the Code of Corporate Governance for public listed companies. The Company is presenting the existing remuneration policy in this report. In subsequent reports, the Company will be required to seek a vote on the Remuneration policy where the policy is changed (or an advisory vote on the implementation is not passed). The Directors' remuneration report is unaudited except where otherwise stated.

### Regulatory Changes

The regulatory landscape in Kenya has witnessed a number of changes that have had an impact on the remuneration of Directors and the associated reporting.

In March 2016, the Capital Markets Authority ("CMA") issued the Capital Markets Code for Issuers of Securities ("The Code") which became operational after a year. The Code has outlined various compliance requirements in relation to Directors' Remuneration.

The new Companies Act 2015 was enacted in September 2015 and became operational in June 2016. According to the new Act, the Company is required to table a Directors' Remuneration Report to its shareholders as part of its audited financial statements.

The Board has adopted a Board Charter and aligned it with the provisions of the Code and the new Companies Act. The Board Charter outlines a guideline on the Directors' Remuneration and Expense Policy.

## DIRECTORS' REMUNERATION REPORT (Cont)

### Remuneration for Non-Executive Directors

The Company's Non-Executive Directors' (NEDs) were issued with Directors' Service Contracts in compliance with the requirements of the new Act. These are contracts for service and not contracts for employment. The NEDs are compensated in the form of meeting attendance fees but are not entitled to any pension, bonus or long-term incentive plans

### Remuneration for Managing Directors

In order to remain an attractive employer, the Group ("Home Afrika") annually reviews its competitiveness against prevailing market practices.

In 2017, The Company adjusted Salaries for inflation by 7% for the year 2018. The remuneration for the Managing Director was reviewed by the Board Nomination and Remuneration Committee in line with the contract for employment and the internal performance structure.

The Managing Director's terms of employment were within the Companies HR policies.

### Link to Strategy

The 2016 to 2018 Strategic plan which intends to transform the group to profitability.

Home Afrika's aim is to achieve an integrated approach to reward, linking Company strategy in the form of the achievement of corporate objectives and individual performance to salary increases and bonus awards.

The major objective of the Group remuneration policy is to ensure that there is a clear link between each employee's individual level of performance and their reward. These,

along with other factors such as market positioning and the overall reward budget, go into the annual salary and bonus review process for all employees including the executive team.

This ensures that a coordinated and consistent approach is taken - encouraging and supporting a high-performance culture whilst ensuring fairness and transparency across the Group.

### Pension entitlements

Only the Managing Director is entitled to participate in the Group's Pension Plan. Participation is restricted to defined monthly contributions that are applicable to permanent employees within the Group. The company is yet to adopt this.

### Share options and long-term incentive scheme

The Directors are not entitled to any share option arrangement or long term share incentive schemes.

### Payments to past Directors

There was no payment of Directors' fees to past directors during the year.

### Audited part of the report:

The following table shows a single figure remuneration for the Executive Director, Chairman and Non-Executive Directors in respect of qualifying services for the year ended 31 December 2018 together with the comparative figures for 2017 for Home Afrika Group.

## DIRECTORS' REMUNERATION REPORT (Cont)

### Home Afrika Limited

#### YEAR ENDED 31 DECEMBER 2018

| NO. | NAME                       | SALARY<br>Shs.    | MEETING<br>ATTENDANCE FEE<br>Shs. | Total<br>Shs.     |
|-----|----------------------------|-------------------|-----------------------------------|-------------------|
| 1.  | Linus Gitahi - Chairperson | -                 | 500,000                           | 500,000           |
| 2.  | Ketan Shah                 | -                 | 300,000                           | 300,000           |
| 3.  | Mbugua Gecaga              | -                 | 350,000                           | 350,000           |
| 4.  | Rachel Mbai                | -                 | 500,000                           | 500,000           |
| 5.  | Caroline Kigen             | -                 | 450,000                           | 450,000           |
| 6.  | Peter Nduati               | -                 | 450,000                           | 450,000           |
| 7.  | Dan Awendo                 | 18,448,800        | -                                 | 18,448,800        |
|     | <b>TOTAL</b>               | <b>18,448,800</b> | <b>2,550,000</b>                  | <b>20,998,800</b> |

#### YEAR ENDED 31 DECEMBER 2017

| NO. | NAME                       | SALARY<br>Shs.    | MEETING<br>ATTENDANCE FEE<br>Shs. | Total<br>Shs.     |
|-----|----------------------------|-------------------|-----------------------------------|-------------------|
| 1.  | Linus Gitahi - Chairperson | -                 | 425,000                           | 425,000           |
| 2.  | Ketan Shah                 | -                 | 350,000                           | 350,000           |
| 3.  | Mbugua Gecaga              | -                 | 350,000                           | 350,000           |
| 4.  | Rachel Mbai                | -                 | 350,000                           | 350,000           |
| 5.  | Caroline Kigen             | -                 | 400,000                           | 400,000           |
| 6.  | Peter Nduati               | -                 | 350,000                           | 350,000           |
| 7.  | Dan Awendo                 | 16,740,000        | 250,000                           | 16,990,000        |
|     | <b>TOTAL</b>               | <b>16,740,000</b> | <b>2,475,000</b>                  | <b>19,215,000</b> |

## DIRECTORS' REMUNERATION REPORT (Cont)

### Mitini Scapes Development Limited

#### YEAR ENDED 31 DECEMBER 2018

| NO. | NAME                         | SALARY<br>Shs. | MEETING<br>ATTENDANCE FEE<br>Shs. | Total<br>Shs.  |
|-----|------------------------------|----------------|-----------------------------------|----------------|
| 1.  | Boniface Kamau - Chairperson | -              | 225,000                           | <b>225,000</b> |
| 2.  | Susan Kasinga                | -              | -                                 | -              |
| 3.  | Geoffrey Kamau               | -              | 100,000                           | <b>100,000</b> |
| 4.  | Jack Waihenya                | -              | 150,000                           | <b>150,000</b> |
| 5.  | Barth Ragalo                 | -              | 50,000                            | <b>50,000</b>  |
| 6.  | Connie Gikonyo               | -              | -                                 | -              |
| 7.  | Mbugua Gecaga                | -              | 150,000                           | <b>150,000</b> |
| 8.  | Winnie Ngumi                 | -              | 100,000                           | <b>100,000</b> |
|     | <b>TOTAL</b>                 |                | <b>775,000</b>                    | <b>775,000</b> |

#### YEAR ENDED 31 DECEMBER 2017

| NO. | NAME                         | SALARY<br>Shs. | MEETING<br>ATTENDANCE FEE<br>Shs. | Total<br>Shs.    |
|-----|------------------------------|----------------|-----------------------------------|------------------|
| 1.  | Boniface Kamau - Chairperson | -              | 300,000-                          | 300,000-         |
| 2.  | Susan Kasinga                | -              | -                                 | -                |
| 3.  | Geoffrey Kamau               | -              | 150,000                           | 150,000          |
| 4.  | Jack Waihenya                | -              | 150,000                           | 150,000          |
| 5.  | Barth Ragalo                 | -              | 75,000                            | 75,000           |
| 6.  | Connie Gikonyo               | -              | -                                 | -                |
| 7.  | Mbugua Gecaga                | -              | 225,000                           | 225,000          |
| 8.  | Winnie Ngumi                 | -              | 150,000                           | <b>150,000</b>   |
|     | <b>TOTAL</b>                 |                | <b>1,050,000</b>                  | <b>1,050,000</b> |

## DIRECTORS' REMUNERATION REPORT (Cont)

### Home Afrika Communities Limited

#### YEAR ENDED 31 DECEMBER 2018

| NO. | NAME                              | SALARY<br>Shs. | MEETING<br>ATTENDANCE FEE<br>Shs. | Total<br>Shs.    |
|-----|-----------------------------------|----------------|-----------------------------------|------------------|
| 1.  | Mike Robert Karanja - Chairperson | -              | 1,300,000                         | 1,300,000        |
| 2.  | Robert Muchoki                    | -              | 2,543,570                         | 2,543,570        |
| 3.  | Stephen Gichohi                   | -              | 450,000                           | 450,000          |
| 4.  | Linus Gitahi                      | -              | 450,000                           | 450,000          |
| 5.  | Anne Muchoki                      | -              | 2,800,000                         | 2,800,000        |
| 6.  | Michael Matimu                    | -              | 450,000                           | 450,000          |
| 7.  | Eng Mbugua Kamau                  | -              | 714,286                           | 714,286          |
| 8.  | Dan Awendo                        | -              | 75,000                            | 75,000           |
|     | <b>TOTAL</b>                      |                | <b>8,782,856</b>                  | <b>8,782,856</b> |

#### YEAR ENDED 31 DECEMBER 2017

| NO. | NAME                              | SALARY<br>Shs. | MEETING<br>ATTENDANCE FEE<br>Shs. | Total<br>Shs.    |
|-----|-----------------------------------|----------------|-----------------------------------|------------------|
| 1.  | Mike Robert Karanja - Chairperson | -              | 1,265,000                         | 1,265,000        |
| 2.  | Robert Muchoki                    | -              | 950,000                           | 950,000          |
| 3.  | Stephen Gichohi                   | -              | 910,000                           | 910,000          |
| 4.  | Linus Gitahi                      | -              | 950,000                           | 950,000          |
| 5.  | Anne Muchoki                      | -              | 900,000                           | 900,000          |
| 6.  | Michael Matimu                    | -              | 1,000,000                         | 1,000,000        |
| 7.  | Eng Mbugua Kamau                  | -              | 1,025,000                         | 1,025,000        |
| 8.  | Dan Awendo                        | -              | 75,000                            | 75,000           |
|     | <b>TOTAL</b>                      |                | <b>7,000,000</b>                  | <b>7,000,000</b> |

## DIRECTORS' REMUNERATION REPORT (Cont)

### Suburban Limited

#### YEAR ENDED 31 DECEMBER 2018

| NO. | NAME                           | SALARY<br>Shs. | MEETING<br>ATTENDANCE FEE<br>Shs. | Total<br>Shs.    |
|-----|--------------------------------|----------------|-----------------------------------|------------------|
| 1.  | Dr. Mbira Gikonyo- Chairperson | -              | 542,857                           | 542,857          |
| 2.  | Dan Awendo                     | -              | 342,857                           | 342,857          |
| 3.  | Geoffrey Luseno                | -              | 547,857                           | 547,857          |
|     | <b>TOTAL</b>                   |                | <b>1,428,571</b>                  | <b>1,428,571</b> |

#### YEAR ENDED 31 DECEMBER 2017

| NO. | NAME                           | SALARY<br>Shs. | MEETING<br>ATTENDANCE FEE<br>Shs. | Total<br>Shs.  |
|-----|--------------------------------|----------------|-----------------------------------|----------------|
| 1.  | Dr. Mbira Gikonyo- Chairperson | -              | 214,286                           | 214,286        |
| 2.  | Dan Awendo                     | -              | 214,286                           | 214,286        |
| 3.  | Geoffrey Luseno                | -              | 214,286                           | 214,286        |
|     | <b>TOTAL</b>                   |                | <b>642,858</b>                    | <b>642,858</b> |

This section of the Remuneration Report describes the current policy for Directors' remuneration. It can be summarized as follows:

#### A) MANAGING DIRECTOR

##### Base Salary:

**Purpose/Link to Corporate:** Part of a basic competitive package to retain individuals of the necessary caliber to execute the Company's business strategy.

##### Operation:

The Managing Director is entitled to a Salary & Director's fees on the main board meetings. No separate Directors' fees are paid. The salary is reviewed annually in line with the Company's Human Resources plan.

##### Opportunity:

Salary reviews are based on market comparisons and increases to other Group staff. Increases in Managing Director salary is aligned to the average staff increase in the Group.

## DIRECTORS' REMUNERATION REPORT

### Pension

**Purpose / Link to Corporate:** To provide Directors with a long-term savings opportunity; the pension forms part of a basic competitive package to recruit and retain.

**Strategy Operation:** A Defined Contribution plan for all Managing Directors.

**Opportunity:** Company contribution as percentage of basic salary up to 7.5%.

### Benefits

**Purpose / Link to Corporate:** Insured benefits are included to provide employee protection for the benefit of the employee and Company

**Strategy Operation:** Insured benefits provided as part of Group schemes.

### Opportunity:

Group Medical Insurance  
Group Life Assurance  
Critical illness cover  
Club membership for business and personal use.

### ANNUAL BONUS PLAN

**Purpose / Link to Corporate:** The bonus payment is implemented in accordance with an approved Compensation Philosophy for the period 2016 to 2018.

**Strategy:** The objective is to incentivize and focus attention on Company KPIs; to reward the achievement of financial, operational and individual targets and provide a competitive performance-related annual earnings opportunity.

**Operation:** Profitability Target making up 50% of the bonus. The bonus will be calculated as 5% of net profit after tax for profits up to the amount of profit that was targeted and approved at the beginning of the year. For any profits over and above the profits that were targeted and approved at the beginning of the year, 25% of net profit after tax will be payable into the management bonus pool;

Share Value Target making up the balance 50% of the bonus will be at 2% of the differential between company market capitalization between financial year periods. Base price is value per share as at Jan 1st 2017; and

The above bonus pools will subsequently be shared amongst management and staff subject to performance criteria established by management year on year. Performance criteria will be based on: -

Meeting of KPIs; and Longevity of stay in the company participating in attaining the results.

**Opportunity:** The Managing Director's terms of employment were within the Companies HR policies.

**Performance Metrics:** Company element based on challenging corporate, operational and financial KPIs. Measures, targets and weightings are set in respect of each financial year.

Personal elements based on performance measures set each financial year relevant to the individual's role and accountabilities. Details of the corporate performance measures applicable in the current financial year are contained in the Group Variable Pay pay-out policy. All bonus payments are at the discretion of the Board.

### Executive Share Option Plans

The Company has not introduced Executive Share Option Plans. No plan has been recommended for the next financial year.

### B) NON-EXECUTIVE DIRECTORS MEETING ATTENDANCE FEES

**Purpose / Link to Corporate:** Competitive fee to recruit and retain.

**Strategy Operation:** The NED fee is a meeting attendance fee that is paid quarterly in arrears.

## DIRECTORS' REMUNERATION REPORT (Cont)

**Opportunity:** Fees are determined in accordance with market practice. The Remuneration Committee recommends the fees payable to the Chairman and other NEDs.

- Meeting attendance fees applies to attendance at Board meetings, Annual General Meeting, Board Committee meetings, Strategic Planning Workshop and Board Training Workshops;
- The fee structure will pay the Board Chair and the Board Committee Chairs a higher meeting attendance fee than that paid to other Directors in attendance.
- Directors attending out-of-country Board meetings will be entitled to receive an additional allowance.
- No additional fees/allowances will be paid over and above the retainer and meeting attendance fees

**Performance Metrics:** None

### PERFORMANCE SHARE PLAN

The Company has not introduced any Executive and Non-Executive Performance Share plans.

### Other Key Policies influencing Directors' Remuneration

#### a) Recruitment policy

The Company's philosophy is that all Managing Directors should be remunerated at an appropriate level based on Home Afrika's remuneration policy and taking into account the experience and caliber of the individual. Managing directors are entitled to a salary and Main board meeting attendance fees and not the meeting attendance fees on other committees

A new non- Managing Director will be entitled to the applicable meeting attendance fees as per the existing compensation schedule on sitting allowance.

#### b) Policy on payment for loss of office

The Managing Director's employment contract provides for a maximum of 12 months' notice.

On termination of an Managing Director's service contract, the Company's policy is to pay the salary and benefits to which the executive is contractually entitled. There is no contractual entitlement to receive any bonus but depending on the circumstances, the Company may decide to make a bonus payment in respect of the period up to the termination date. It is not the Company's policy to make payments in respect of bonus if the Company is entitled to dismiss a Director for cause.

The letters of appointment for Non-Executive Directors do not provide for any notice period. However, the appointment ceases immediately upon termination by resignation, a resolution of the Board or shareholders and no further remuneration accrues to the Director thereafter.

#### c) Obligations in Service contracts

There are no obligations to individuals in Directors' Service contracts or Letter of Employment which give rise to entitlement beyond that described in the policy table and the policy on payment for loss of office.

#### d) Discretions retained by the Remuneration Committee

The Company does not operate any long-term incentive plan such as Share Option Plan, Share Performance plan, e.t.c. Accordingly, there no areas of discretion to disclose. The BNRC and the Board feel confident that the remuneration policy continues to be appropriate for the Company and will support the implementation of the Group's short term and long-term objectives.

The regulations relating to the Directors' Remuneration Report were gazetted on 15 September 2017. The BNRC plans to develop a Remuneration policy that addresses the requirements set out in the regulations.



**ANNUAL REPORT AND CONSOLIDATED  
FINANCIAL STATEMENTS  
FOR THE YEAR ENDED 31 DECEMBER 2018**

**ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS  
FOR THE YEAR ENDED 31 DECEMBER 2018**

| <b>CONTENTS</b>                                                         | <b>PAGE</b> |
|-------------------------------------------------------------------------|-------------|
| Company information                                                     | 118         |
| Report of the directors                                                 | 119 - 120   |
| Statement of directors' responsibilities                                | 121         |
| Report of the independent auditor                                       | 122 - 123   |
| Financial statements:                                                   |             |
| Consolidated statement of profit or loss and other comprehensive income | 124         |
| Company statement of profit or loss and other comprehensive income      | 125         |
| Consolidated statement of financial position                            | 126         |
| Company statement of financial position                                 | 127         |
| Consolidated statement of changes in equity                             | 128         |
| Company statement of changes in equity                                  | 129         |
| Consolidated statement of cash flows                                    | 130         |
| Company statement of cash flows                                         | 131         |
| Notes to the financial statements                                       | 132 - 168   |

**The following pages do not form an integral part of these financial statements**

|                         |     |
|-------------------------|-----|
| Schedule of expenditure | 169 |
|-------------------------|-----|

## ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2018

### COMPANY INFORMATION

#### BOARD OF DIRECTORS

: Linus Gitahi  
: Peter Nduati  
: Rachel Mbai  
: Dan Ochieng Awendo  
: Mbugua Gecaga  
: Ketan Shah  
: Caroline Jebet Kigen

#### REGISTRAR OFFICE

Cooperative Bank Registrars Services  
CIC Plaza, Upper Hill, Wing 2, 1st Floor  
P.O. Box 48231, 00100  
NAIROBI

#### PRINCIPAL PLACE OF BUSINESS

Morningside Office Park  
Ngong Road  
P.O. Box 6254, 00100 NAIROBI

#### INDEPENDENT AUDITOR

PKF Kenya  
Certified Public Accountant  
P.O. Box 14077, 00800 NAIROBI

#### PRINCIPAL BANKERS

Kenya Commercial Bank Limited  
NAIROBI

I&M Bank Limited  
NAIROBI

Cooperative Bank (Kenya) Limited  
NAIROBI

Eco Bank Kenya Limited  
NAIROBI

Equity Bank Kenya Limited  
NAIROBI

#### LEGAL ADVISORS

Muriu Mungai & Company Advocates  
NAIROBI

Wainaina Ireri & Co. Advocates  
NAIROBI

Robson Harris & Company Advocates  
NAIROBI

## Home Afrika Limited Annual report and consolidated financial statements For the year ended 31 December 2018

### REPORT OF THE DIRECTORS

The directors submit their report and the audited financial statements for the year ended 31 December 2018, which disclose the state of affairs of the group and the company.

### PRINCIPAL ACTIVITY

The principal activity of the group is that of real estate development in housing and commercial properties.

### BUSINESS REVIEW

During the year 2018 the total turnover of the group decreased from Shs. 262,787,539 to Shs. 109,038,521. This is attributed to there being no revenue recognised from developments of services arising from the percentage of completion remaining unchanged compared to the previous year. The loss before tax increased from Shs. 221,014,550 to Shs. 391,904,755.

As at 31 December 2018, the net liability position of the group was Shs. 1,052,370,177 compared to Shs. 677,870,862 as at 31 December 2017.

| Key performance indicators     | Group                  |                      | Company              |                   |
|--------------------------------|------------------------|----------------------|----------------------|-------------------|
|                                | 2018<br>Shs            | 2017<br>Shs          | 2018<br>Shs          | 2017<br>Shs       |
| Turnover (Shs)                 | 109,038,521            | 262,787,539          | 15,181,000           | -                 |
| Gross profit (Shs)             | 26,757,483             | 33,781,079           | 6,122,272            | -                 |
| Gross profit margin (%)        | 25%                    | 13%                  | 40%                  | -                 |
| Operating loss                 | (231,227,263)          | (132,742,452)        | (115,231,405)        | (96,387,089)      |
| (Loss) for the year (Shs)      | (346,205,088)          | (181,435,212)        | (130,115,287)        | (135,696,089)     |
| Net (liabilities)/assets (Shs) | <u>(1,052,370,177)</u> | <u>(677,870,862)</u> | <u>(891,189,566)</u> | <u>31,411,156</u> |

### PRINCIPAL RISKS AND UNCERTAINTIES

The overall business environment continues to remain challenging and this has a resultant effect on overall demand of the company's products and services. The company's strategic focus is to enhance sales growth whilst maintaining profit margins, the success of which remains dependent on overall market conditions.

In addition to the business risk(s) discussed above, the company's activities expose it to a number of financial risks which are described in detail in Note 29 to the financial statements.

### DIVIDEND

The directors do not recommend the declaration of a dividend for the year (2018: Nil).

### DIRECTORS

The directors who held office during the year and to the date of this report are shown on page 118. In accordance with the company's Articles of Association, no director is due for retirement by rotation.

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

**REPORT OF THE DIRECTORS (CONTINUED)**  
**STATEMENT AS TO DISCLOSURE TO THE COMPANY'S AUDITOR**

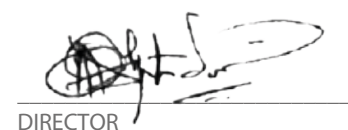
With respect to each director at the time this report was approved:

- (a) there is, so far as the person is aware, no relevant audit information of which the company's auditor is unaware; and
- (b) the person has taken all the steps that the person ought to have taken as a director so as to be aware of any relevant audit information and to establish that the company's auditor is aware of that information.

**TERMS OF APPOINTMENT OF THE AUDITOR**

PKF Kenya continues in office in accordance with the company's Articles of Association and Section 719 of the Kenyan Companies Act, 2015. The directors monitor the effectiveness, objectivity and independence of the auditor. The directors also approve the annual audit engagement contract which sets out the terms of the auditor's appointment and the related fees.

BY ORDER OF THE BOARD



DIRECTOR

29<sup>th</sup> July 2019

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

**STATEMENT OF DIRECTORS' RESPONSIBILITIES**

The Kenyan Companies Act, 2015 requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and of the company as at the end of the financial year and of the group's and company's profit or loss for that year.

It also requires the directors to ensure that the company keeps proper accounting records that are sufficient to show and explain the transactions of the group and the company; that disclose, with reasonable accuracy, the financial position of the group and company and group and that enable them to prepare financial statements of the group and the company that comply with International Financial Reporting Standards and the requirements of the Kenya Companies Act, 2015. The directors are also responsible for safeguarding the assets of the company and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors accept responsibility for the preparation and fair presentation of there financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. They also accept responsibility for:

- i. Designing, implementing and maintaining such internal control as they determine is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error;
- ii. Selecting and applying appropriate accounting policies; and
- iii. Making accounting estimates and judgements that are reasonable in the circumstances.

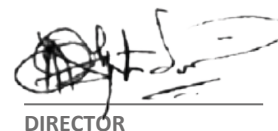
The Directors are of the opinion that the financial statements give a true and fair view of the financial position of the group and of the company as at 31 December 2018 and of the group's and company's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015.

In preparing these financial statements the directors have assessed the group's and company's ability to continue as a going concern as set out in Note 1(a) to the financial statements. The directors are of the opinion that the group and its subsidiaries will remain a going concern for at least the next twelve months from the date of this statement based on the factors described in Note 1(a).

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

Approved by the board of directors on 29<sup>th</sup> July

2019 signed on its behalf by :



DIRECTOR



DIRECTOR

*Home Afrika Limited  
Annual report and consolidated financial statements  
For the year ended 31 December 2018*

**REPORT OF THE INDEPENDENT AUDITOR  
TO THE MEMBERS OF HOME AFRIKA LIMITED**



**Disclaimer of Opinion**

We were engaged to audit the financial statements of Home Afrika Limited (the "company") and its subsidiaries (collectively referred to as the "consolidated financial statements and "group") set out on pages 124 to 168, which comprise the consolidated and company statements of financial position as at 31 December 2018, and the consolidated and company statement of profit or loss and other comprehensive income, consolidated and company statement of changes in equity and consolidated and company statement of cash flows for the year then ended, and notes to the consolidated and company financial statements, including a summary of significant accounting policies.

We do not express an opinion on the accompanying consolidated financial statements of the group. Because of the significance of the matters described in the Basis for Disclaimer of Opinion section of our report, we have not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these consolidated financial statements.

**Basis for Disclaimer of Opinion**

The following matters form our basis for disclaimer of opinion:

- (i) The financial statements indicate that the group incurred a net loss of Shs. 346,205,088 for the year ended 31 December 2018, and as of that date, the group had net current liabilities of Shs. 1,732,502,368 and a deficiency in shareholders funds of Shs. 1,052,370,177. These conditions indicate that a material uncertainty exists which may cast significant doubt on the group's ability to continue as a going concern. The directors have prepared these financial statements on a going concern basis as described in Note 1. We have not obtained sufficient appropriate audit evidence in respect of the basis and assumptions used by the directors to prepare the financial statements on a going concern basis as the discussions and negotiations with existing lenders and prospective investors as well as transactions related to sale of inventories have not been concluded as of the date of our audit opinion. As a result we were unable to conclude whether the use of the going concern assumption is appropriate and, where applicable, to determine whether any adjustments might have been found necessary to the amounts reported in the financial statements should the going concern basis not be appropriate.
- (ii) As described in note 12 to the financial statements, residential apartment blocks being constructed carried under inventories at a value of Shs. 1.043 billion was a subject of repossession by a bank as collateral to a loan facility. The bank was unsuccessful in its attempts to realise this collateral through auction. As of the date of our report management had not performed an impairment review of this property and as a result, we are unable to obtain sufficient appropriate audit evidence on any likely impairment that needs to be recognised in the financial statements in respect of this inventory.

**Key Audit Matters**

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements. Because of the significance of the matters described in the basis for disclaimer of opinion section, and our consequential disclaimer of opinion, we have not reported on these.

*Home Afrika Limited  
Annual report and consolidated financial statements  
For the year ended 31 December 2018*

**REPORT OF THE INDEPENDENT AUDITOR  
TO THE MEMBERS OF HOME AFRIKA LIMITED (Cont)**



**Responsibilities of Directors for the Financial Statements**

The directors are responsible for the preparation of the consolidated and company financial statements that give a true and fair view in accordance with IFRSs and the requirements of the Kenyan Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and company financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and company financial statements, the directors are responsible for assessing the Group's and the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

**Auditor's Responsibilities for the Audit of the Consolidated and Company Financial Statements**

Our responsibility is to conduct an audit of the Company's financial statements in accordance with International Standards on Auditing and to issue an auditor's report. However, because of the matters described in the Basis for Disclaimer of Opinion section of our report, we were not able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these financial statements.

We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the consolidated financial statements in Kenya, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code.

**Report on other matters prescribed by the Kenyan Companies Act, 2015**

As required by the Kenyan Companies Act, 2015, we report to you that subject to the matters referred to in the basis for disclaimer of opinion section of our report on page 122:

- the company and group has kept adequate accounting records and the company's and group's financial statements are in agreement with the accounting records
- in our opinion the information given in the report of the directors on pages 119-120 is consistent with the financial statements
- that the auditable part of the directors remuneration report on pages 108 – 115 has been properly prepared in accordance with the Kenyan Companies Act, 2015.

**Certified Public Accountants**

**Nairobi**  
**CPA Chaudhry Mohammed Asif, Practicing Certificate No P/2059**  
**Signing Partner Responsible for the independent audit**  
**1122/19**

**30 JULY 2019**

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

**CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME**

|                                                | Notes    | 2018<br>Shs                 | 2017<br>Shs                 |
|------------------------------------------------|----------|-----------------------------|-----------------------------|
| Revenue from contracts with customers          | 3        | 109,038,521                 | 262,787,539                 |
| Cost of sales                                  |          | <u>(82,281,038)</u>         | <u>(229,006,460)</u>        |
| <b>Gross Profit</b>                            |          | <b>26,757,483</b>           | <b>33,781,079</b>           |
| Fair value gain on investment property         | 11       | -                           | 60,828,808                  |
| Other operating income                         | 4        | 7,857,784                   | 9,921,547                   |
| Selling and distribution expenses              |          | (13,081,028)                | (38,682,386)                |
| Administrative expenses                        |          | (222,994,367)               | (169,053,774)               |
| Other operating expenses                       |          | <u>(29,767,135)</u>         | <u>(29,537,726)</u>         |
| <b>Operating (Loss)</b>                        | <b>5</b> | <b>(231,227,263)</b>        | <b>(132,742,452)</b>        |
| Finance costs                                  | 7        | <u>(160,677,492)</u>        | <u>(88,272,098)</u>         |
| <b>(Loss) Before Tax</b>                       |          | <b>(391,904,755)</b>        | <b>(221,014,550)</b>        |
| Tax credit                                     | 8        | <u>45,699,667</u>           | <u>39,579,338</u>           |
| <b>(Loss) For The Year</b>                     |          | <b><u>(346,205,088)</u></b> | <b><u>(181,435,212)</u></b> |
| <b>Total Comprehensive (Loss) For The Year</b> |          | <b><u>(346,205,088)</u></b> | <b><u>(181,435,212)</u></b> |
| <b>(Loss) Attributable To:</b>                 |          |                             |                             |
| - Owners of the parent                         |          | (276,019,820)               | (179,786,896)               |
| - Non-controlling interest                     |          | <u>(70,185,268)</u>         | <u>(1,648,316)</u>          |
|                                                |          | <u>(346,205,088)</u>        | <u>(181,435,212)</u>        |
| (Loss) per share (Shs)<br>- basic and diluted  | 9        | <u>(0.68)</u>               | <u>(0.44)</u>               |

The notes on pages 132 to 168 form an integral part of these financial statements.

Report of the independent auditor - pages 122 and 123.

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

**COMPANY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME**

|                                                | Notes | 2018<br>Shs                 | 2017<br>Shs                 |
|------------------------------------------------|-------|-----------------------------|-----------------------------|
| Revenue from contracts with customers          | 3     | 15,181,000                  | -                           |
| Cost of sales                                  |       | <u>(9,058,728)</u>          | <u>-</u>                    |
| <b>Gross profit</b>                            |       | <b>6,122,272</b>            | <b>-</b>                    |
| Other operating income                         | 4     | 810,000                     | 5,628,763                   |
| Selling and distribution                       |       | (4,451,990)                 | (9,684,617)                 |
| Administrative expenses                        |       | (108,256,763)               | (83,050,685)                |
| Other operating expenses                       |       | <u>(9,454,924)</u>          | <u>(9,281,078)</u>          |
| <b>Operating (loss)</b>                        |       | <b>(115,231,405)</b>        | <b>(96,387,617)</b>         |
| Finance costs                                  | 7     | <u>(14,259,243)</u>         | <u>(38,242,987)</u>         |
| <b>(Loss) before tax</b>                       |       | <b>(129,490,648)</b>        | <b>(134,630,604)</b>        |
| Tax charge                                     | 8     | <u>(624,639)</u>            | <u>(1,065,485)</u>          |
| <b>(Loss) for the year</b>                     |       | <b><u>(130,115,287)</u></b> | <b><u>(135,696,089)</u></b> |
| <b>Total comprehensive (loss) for the year</b> |       | <b><u>(130,115,287)</u></b> | <b><u>(135,696,089)</u></b> |
| (Loss) per share<br>- Basic                    | 9     | <u>(0.32)</u>               | <u>(0.33)</u>               |

The notes on pages 132 to 168 form an integral part of these financial statements.

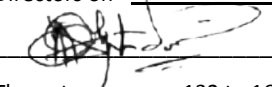
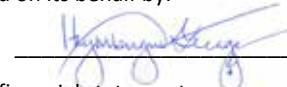
Report of the independent auditor - pages 122 and 123.

Home Afrika Limited  
Annual report and consolidated financial statements  
For the year ended 31 December 2018

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

|                                                   |    | As at 31 December      |                        |                        |
|---------------------------------------------------|----|------------------------|------------------------|------------------------|
|                                                   |    | 2018                   | 2017                   | 2016                   |
|                                                   |    | Shs                    | Shs                    | Shs                    |
| Notes                                             |    |                        | (Restated)*            | (Restated)*            |
| <b>Non-current assets</b>                         |    |                        |                        |                        |
| Property and equipment                            | 10 | 53,055,372             | 57,830,177             | 61,234,418             |
| Investment property                               | 11 | 624,504,231            | 623,180,335            | 685,622,528            |
| Intangible assets                                 | 12 | 2,570,588              | -                      | 218,540                |
| Financial assets                                  | 14 | 2,000                  | 2,000                  | 2,000                  |
|                                                   |    | <u>680,132,191</u>     | <u>681,012,512</u>     | <u>747,077,486</u>     |
| <b>Current assets</b>                             |    |                        |                        |                        |
| Assets classified as held-for-sale                |    | -                      | -                      | 41,500,000             |
| Inventories                                       | 15 | 3,742,984,754          | 3,697,729,045          | 3,068,296,691          |
| Trade and other receivables                       | 16 | 70,007,183             | 79,446,156             | 65,150,396             |
| Cash and cash equivalents                         | 17 | 9,338,188              | 19,640,279             | 7,986,209              |
|                                                   |    | <u>3,822,330,125</u>   | <u>3,796,815,480</u>   | <u>3,182,933,296</u>   |
| <b>Total assets</b>                               |    | <b>4,502,462,316</b>   | <b>4,477,827,992</b>   | <b>3,930,010,782</b>   |
| <b>Current liabilities</b>                        |    |                        |                        |                        |
| Deferred income                                   | 18 | 998,427,582            | 936,785,104            | 919,126,518            |
| Trade and other payables                          | 19 | 1,440,783,140          | 1,363,793,163          | 934,270,329            |
| Deposit from sale of plots and units              | 19 | 1,632,533,384          | 1,418,897,759          | 1,096,076,016          |
| Borrowings                                        | 20 | 803,049,894            | 707,024,803            | 679,706,916            |
| Private placement bond                            | 21 | 500,000,000            | 494,182,715            | 488,418,287            |
| Deposit for shares                                | 22 | 174,808,522            | 182,588,522            | 111,334,998            |
| Current tax                                       |    | 5,229,971              | 5,549,214              | 10,440,395             |
|                                                   |    | <u>5,554,832,493</u>   | <u>5,108,821,280</u>   | <u>4,239,373,459</u>   |
| <b>Net current (liabilities)</b>                  |    | <b>(1,732,502,368)</b> | <b>(1,312,005,800)</b> | <b>(1,056,440,163)</b> |
| <b>Non-current liabilities</b>                    |    |                        |                        |                        |
| Deposit for shares                                |    | -                      | -                      | 96,253,550             |
| Borrowings                                        |    | -                      | -                      | 7,388,962              |
| Deferred tax                                      | 23 | -                      | 46,877,574             | 83,430,461             |
|                                                   |    | <u>-</u>               | <u>46,877,574</u>      | <u>187,072,973</u>     |
| <b>Total liabilities</b>                          |    | <b>5,554,832,493</b>   | <b>5,155,698,854</b>   | <b>4,426,446,432</b>   |
| <b>Net (liabilities)</b>                          |    | <b>(1,052,370,177)</b> | <b>(677,870,862)</b>   | <b>(496,435,650)</b>   |
| <b>EQUITY</b>                                     |    |                        |                        |                        |
| Share capital                                     | 24 | 405,255,320            | 405,255,320            | 405,255,320            |
| Share premium                                     | 25 | 68,842,038             | 68,842,038             | 68,842,038             |
| Accumulated deficit                               |    | (1,364,757,535)        | (1,060,443,488)        | (880,656,592)          |
| <b>Equity attributed to owners of the company</b> |    | <b>(890,660,177)</b>   | <b>(586,346,130)</b>   | <b>(406,559,234)</b>   |
| Non-controlling interest                          |    | (161,710,000)          | (91,524,732)           | (89,876,416)           |
| <b>Total equity</b>                               |    | <b>(1,052,370,177)</b> | <b>(677,870,862)</b>   | <b>(496,435,650)</b>   |

The financial statements on pages 124 to 168 were approved and authorised for issue by the Board of Directors on 29 July 2019 and were signed on its behalf by:

 DIRECTOR  DIRECTOR

The notes on pages 132 to 168 form an integral part of these financial statements.  
Report of the independent auditor - pages 122 and 123.

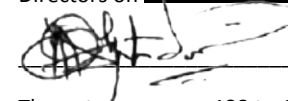
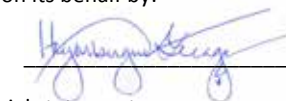
\*Refer to note 33 to the financial statements.

Home Afrika Limited  
Annual report and consolidated financial statements  
For the year ended 31 December 2018

COMPANY STATEMENT OF FINANCIAL POSITION

|                                      |    | As at 31 December      |                      |
|--------------------------------------|----|------------------------|----------------------|
|                                      |    | 2018                   | 2017                 |
|                                      |    | Shs                    | Shs                  |
| Notes                                |    |                        |                      |
| <b>Non-current assets</b>            |    |                        |                      |
| Property and equipment               | 10 | 56,309,192             | 58,822,977           |
| Intangible assets                    | 12 | 2,570,588              | -                    |
| Investment in subsidiaries           | 13 | 76,986,247             | 76,986,247           |
| Financial assets                     | 14 | 2,000                  | 2,000                |
| Trade and other receivables          | 17 | -                      | 577,566,021          |
| Deferred tax                         | 23 | -                      | 624,639              |
|                                      |    | <u>135,868,027</u>     | <u>714,001,884</u>   |
| <b>Current assets</b>                |    |                        |                      |
| Inventories                          | 15 | 186,535,767            | 315,794,495          |
| Trade and other receivables          | 16 | 31,637,488             | 249,061,952          |
| Cash and cash equivalents            | 17 | 2,771,118              | 10,118,445           |
|                                      |    | <u>220,944,373</u>     | <u>574,974,892</u>   |
| <b>Total assets</b>                  |    | <b>356,812,400</b>     | <b>1,288,976,776</b> |
| <b>Current liabilities</b>           |    |                        |                      |
| Trade and other payables             | 19 | 533,441,584            | 600,924,728          |
| Deposit from sale of plots and units | 19 | 214,287,801            | 161,947,501          |
| Private placement bond               | 21 | 500,000,000            | 494,182,715          |
| Current tax                          |    | 272,581                | 510,676              |
|                                      |    | <u>1,248,001,966</u>   | <u>1,257,565,620</u> |
| <b>Net current (liabilities)</b>     |    | <b>(1,027,057,593)</b> | <b>(682,590,728)</b> |
| <b>Net assets</b>                    |    | <b>(891,189,566)</b>   | <b>31,411,156</b>    |
| <b>EQUITY</b>                        |    |                        |                      |
| Share capital                        | 25 | 405,255,320            | 405,255,320          |
| Share premium                        | 26 | 68,842,038             | 68,842,038           |
| Accumulated deficit                  |    | (1,365,286,924)        | (442,686,202)        |
| <b>Total equity</b>                  |    | <b>(891,189,566)</b>   | <b>31,411,156</b>    |

The financial statements on pages 124 to 168 were approved and authorised for issue by the Board of Directors on 29 July 2019 and were signed on its behalf by:

 DIRECTOR  DIRECTOR

The notes on pages 132 to 168 form an integral part of these financial statements.

Report of the independent auditor - pages 122 and 123.

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

**CONSOLIDATED STATEMENT OF CHANGES IN EQUITY**

| <b>Year ended 31 December 2017</b>                                                                                             | <b>Share capital<br/>Shs</b> | <b>Share premium<br/>Shs</b> | <b>Retained earnings<br/>Shs</b> | <b>Total<br/>Shs</b>          | <b>Non controlling interests<br/>Shs</b> | <b>equity</b>                 |
|--------------------------------------------------------------------------------------------------------------------------------|------------------------------|------------------------------|----------------------------------|-------------------------------|------------------------------------------|-------------------------------|
| At start of year - as previously stated                                                                                        | 405,255,320                  | 68,842,038                   | (708,895,539)                    | (234,798,181)                 | 24,630,953                               | (210,167,228)                 |
| Prior year adjustment<br>- Provision for other liabilities (Note 33)                                                           | -                            | -                            | (171,761,053)                    | (171,761,053)                 | (114,507,369)                            | (286,268,422)                 |
| At start of year - as restated                                                                                                 | 405,255,320                  | 68,842,038                   | (880,656,592)                    | (406,559,234)                 | (89,876,416)                             | (496,435,650)                 |
| Total comprehensive (loss) for the year                                                                                        | -                            | -                            | (179,786,896)                    | (179,786,896)                 | (1,648,316)                              | (181,435,212)                 |
| At end of year                                                                                                                 | <u>405,255,320</u>           | <u>68,842,038</u>            | <u>(1,060,443,488)</u>           | <u>(586,346,130)</u>          | <u>(91,524,732)</u>                      | <u>(677,870,862)</u>          |
| <b>Year ended 31 December 2018</b>                                                                                             |                              |                              |                                  |                               |                                          |                               |
| At start of year - as previously stated                                                                                        | 405,255,320                  | 68,842,038                   | (888,682,435)                    | (414,585,077)                 | 22,982,637                               | (391,602,440)                 |
| Prior year adjustment<br>- Provision for other liabilities (Note 33)<br>- Effect of transition to IFRS 9 (bad debts provision) | -                            | -                            | (171,761,053)<br>(28,294,227)    | (171,761,053)<br>(28,294,227) | (114,507,369)<br>-                       | (286,268,422)<br>(28,294,227) |
| At start of year - as restated                                                                                                 | 405,255,320                  | 68,842,038                   | (1,088,737,715)                  | (614,640,357)                 | (91,524,732)                             | (706,165,089)                 |
| Total comprehensive (loss) for the year                                                                                        | -                            | -                            | (276,019,820)                    | (276,019,820)                 | (70,185,268)                             | (346,205,088)                 |
| At end of year                                                                                                                 | <u>405,255,320</u>           | <u>68,842,038</u>            | <u>(1,364,757,535)</u>           | <u>(890,660,177)</u>          | <u>(161,710,000)</u>                     | <u>(1,052,370,177)</u>        |

The notes on pages 132 to 168 form an integral part of these financial statements.

Report of the independent auditor - pages 122 and 123.

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

**COMPANY STATEMENT OF CHANGES IN EQUITY**

| <b>Year ended 31 December 2017</b>                                              | <b>Share capital<br/>Shs</b> | <b>Share premium<br/>Shs</b> | <b>Retained earnings<br/>Shs</b> | <b>Total<br/>Shs</b> |
|---------------------------------------------------------------------------------|------------------------------|------------------------------|----------------------------------|----------------------|
| At start of year                                                                | 405,255,320                  | 68,842,038                   | (306,990,113)                    | 167,107,245          |
| Total comprehensive (loss) for the year                                         | -                            | -                            | (135,696,089)                    | (135,696,089)        |
| At end of year                                                                  | <u>405,255,320</u>           | <u>68,842,038</u>            | <u>(442,686,202)</u>             | <u>31,411,156</u>    |
| <b>Year ended 31 December 2018</b>                                              |                              |                              |                                  |                      |
| At start of year - as previously stated                                         | 405,255,320                  | 68,842,038                   | (442,686,202)                    | 31,411,156           |
| Prior year adjustment<br>- Effect of transition to IFRS 9 (bad debts provision) | -                            | -                            | (792,485,435)                    | (792,485,435)        |
| At start of year - as restated                                                  | 405,255,320                  | 68,842,038                   | (1,235,171,637)                  | (761,074,279)        |
| Total comprehensive (loss) for the year                                         | -                            | -                            | (130,115,287)                    | (130,115,287)        |
| At end of year                                                                  | <u>405,255,320</u>           | <u>68,842,038</u>            | <u>(1,365,286,924)</u>           | <u>(891,189,566)</u> |

The notes on pages 132 to 168 form an integral part of these financial statements.

Report of the independent auditor - pages 122 and 123.

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

**CONSOLIDATED STATEMENT OF CASH FLOWS**

|                                                  | Notes | 2018<br>Shs             | 2017<br>Shs              |
|--------------------------------------------------|-------|-------------------------|--------------------------|
| <b>Operating activities</b>                      |       |                         |                          |
| Cash from operations                             | 26    | 71,198,168              | 81,046,627               |
| Interest paid                                    | 27    | (11,644,764)            | (40,757,824)             |
| Tax paid                                         |       | <u>(1,497,150)</u>      | <u>(6,755,621)</u>       |
| Net cash from operating activities               |       | <u>58,056,254</u>       | <u>33,533,182</u>        |
| <b>Investing activities</b>                      |       |                         |                          |
| Cash paid for purchase of property and equipment | 10    | (2,950,114)             | (3,404,825)              |
| Additions to investment property                 | 11    | (1,323,896)             | (11,742,047)             |
| Cash paid for purchase of intangible assets      | 12    | (3,836,699)             | -                        |
| Proceeds from disposal of property and equipment |       | 540,000                 | -                        |
| Proceeds from disposal of assets held for sale   |       | <u>-</u>                | <u>41,500,000</u>        |
| Net cash (used in)/from investing activities     |       | <u>(7,570,709)</u>      | <u>26,353,128</u>        |
| <b>Financing activities</b>                      |       |                         |                          |
| Repayment:                                       |       |                         |                          |
| - borrowings                                     |       | (53,007,637)            | (23,232,214)             |
| - deposits for shares                            |       | <u>(7,780,000)</u>      | <u>(25,000,026)</u>      |
| Net cash (used in) financing activities          | 28    | <u>(60,787,637)</u>     | <u>(48,232,240)</u>      |
| (Decrease)/increase in cash and cash equivalents |       | <u>(10,302,092)</u>     | <u>11,654,070</u>        |
| <b>Movements in cash and cash equivalents</b>    |       |                         |                          |
| At start of year                                 |       | 19,640,279              | 7,986,209                |
| (Decrease)/increase                              |       | <u>(10,302,091)</u>     | <u>11,654,070</u>        |
| At end of year                                   | 17    | <u><u>9,338,188</u></u> | <u><u>19,640,279</u></u> |

The notes on pages 132 to 168 form an integral part of these financial statements.

Report of the independent auditor - pages 122 and 123.

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

**COMPANY STATEMENT OF CASH FLOWS**

|                                                  | Notes | 2018<br>Shs             | 2017<br>Shs              |
|--------------------------------------------------|-------|-------------------------|--------------------------|
| <b>Operating activities</b>                      |       |                         |                          |
| Cash from operations                             | 26    | 12,745,689              | 22,982,622               |
| Interest paid                                    | 27    | (14,259,243)            | (38,780,744)             |
| Tax paid                                         |       | <u>(238,095)</u>        | <u>(2,983,988)</u>       |
| Net cash (used in) operating activities          |       | <u>(1,751,649)</u>      | <u>(18,782,110)</u>      |
| <b>Investing activities</b>                      |       |                         |                          |
| Cash paid for purchase of property and equipment | 10    | (2,298,979)             | (1,624,800)              |
| Cash paid for purchase of intangible assets      | 12    | (3,836,699)             | -                        |
| Proceeds from disposal of property and equipment |       | 540,000                 | -                        |
| Proceeds from disposal of assets held for sale   |       | <u>-</u>                | <u>41,500,000</u>        |
| Net cash (used in)/from investing activities     |       | <u>(5,595,678)</u>      | <u>39,875,200</u>        |
| <b>Financing activities</b>                      |       |                         |                          |
| - borrowings                                     |       |                         |                          |
| - deposits for shares                            | 27    | <u>-</u>                | <u>(13,817,542)</u>      |
| Net cash (used in) financing activities          |       | <u>-</u>                | <u>(13,817,542)</u>      |
| (Decrease)/increase in cash and cash equivalents |       | <u>(7,347,327)</u>      | <u>7,275,548</u>         |
| <b>Movements in cash and cash equivalents</b>    |       |                         |                          |
| At start of year                                 |       | 10,118,445              | 2,842,897                |
| (Decrease)/increase                              |       | <u>(7,347,327)</u>      | <u>7,275,548</u>         |
| At end of year                                   | 17    | <u><u>2,771,118</u></u> | <u><u>10,118,445</u></u> |

The notes on pages 132 to 168 form an integral part of these financial statements.

Report of the independent auditor - pages 122 and 123.

*Home Afrika Limited  
Annual report and consolidated financial statements  
For the year ended 31 December 2018*

## NOTES

### 1. SIGNIFICANT ACCOUNTING POLICIES

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

#### a) Basis Of Preparation

The consolidated financial statements have been prepared under the historical cost convention, except as indicated otherwise below and are in accordance with International Financial Reporting Standards (IFRS). The historical cost convention is generally based on the fair value of the consideration given in exchange of assets. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or liability, the group takes into account the characteristics of the asset or liability if market participants would take those characteristics into when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these consolidated financial statements is determined on such a basis, except for measurements that have some similarities to fair value but are not fair value, such as net realisable value in IAS 2 or value in use in IAS 36.

In addition, for financial reporting purposes, fair value measurements are categorised into level 1, 2 or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement in its entirety, which are described as follows:

- Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date;
- Level 2 inputs are inputs, other than quoted prices included within Level 1, that are observable for the asset or liability, either directly or indirectly; and
- Level 3 inputs are unobservable inputs for the asset or liability.

### Going Concern

The financial performance of the group is set out in the Director's report and in the statement of profit or loss and the other comprehensive income. The financial position of the group is set out in the statement of financial position. Disclosures in respect of risk management and capital management are set out in notes 30 and 31 to the financial statements.

During the year ended 31 December 2018, the group recognised a net loss of Shs. 346 million (2017: Shs. 181 million). The statement of financial position also indicates a deficiency in shareholders' funds of Shs. 1.052 billion (2017: Shs. 677 million) and net current liabilities of Shs. 1.732 billion (2017: Shs. 1.312 billion). However, included in the current liabilities are deposits for sale of plots and units as well as deferred income of Shs. 1.657 billion and Shs. 998 million respectively. There is little likelihood of these liabilities being paid out. Indications are that they will translate to revenues as the level of project completion improves.

The directors are currently engaging with the group lenders and also with prospective investors to raise additional funds. There also are certain significant sales of plots agreements being negotiated, which if successful will generate cash flows in excess of Shs. 1.8 billion over the next 24 - 48 months.

Based on the anticipated success of the negotiations above, the directors consider it appropriate to prepare the financial

*Home Afrika Limited  
Annual report and consolidated financial statements  
For the year ended 31 December 2018*

## NOTES (CONTINUED)

### 1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

#### a) Basis of preparation (continued)

#### New and amended standards adopted by the group

All new and amended standards and interpretations that have become effective for the first time in the financial year beginning 1 January 2018 have been adopted by the group. Of those, the following has had an effect on the group's financial statements:

#### International Financial Reporting Standards 9 (IFRS 9): Financial Instruments

IFRS 9 requires all financial assets to be measured at fair value on initial recognition and subsequently at amortised cost or fair value (through profit or loss or through other comprehensive income), depending on their classification by reference to the business model within which they are held and their contractual cash flow characteristics.

For financial liabilities, the most significant effect of IFRS 9 relates to cases where the fair value option is taken: the amount of change in fair value of a financial liability designated as at fair value through profit or loss that is attributable to changes in the credit risk of that liability is recognised in other comprehensive income (rather than in profit or loss), unless this creates an accounting mismatch.

For the impairment of financial assets, IFRS 9 introduces an "expected credit loss" (ECL) model based on the concept of providing for expected losses at the inception of a contract; this will require judgement in quantifying the impact of forecast economic factors. For financial assets for which there has not been a significant increase in credit risk since initial recognition, the loss allowance should represent ECLs that would result from probable default events within 12 months from the reporting date (12-month ECLs). For financial assets for which there has been a significant increase in credit risk, the loss allowance should represent lifetime ECLs. A simplified approach is allowed for trade receivables and lease receivables, whereby lifetime ECLs can be recognised from inception.

The group has adopted IFRS 9 as issued by the IASB in July 2014 with a date of transition of 1 January 2018, this has however not resulted to changes in accounting policies and adjustments to the amounts recognised in the financial statements. The group did not early adopt IFRS 9 in previous periods.

The group has adopted the simplified approach for the purpose for calculating the expected credit losses. In adopting the simplified approach, the group uses a provision matrix to calculate the expected credit losses that is based on the historical credit loss experience for trade receivables to estimate the expected credit losses. The simplified approach deviates from the general approach on recognition expected credit losses where it allows for recognition only for life time credit losses at the date of each reporting date.

As permitted by the transitional provisions of IFRS 9, the group elected not to restate comparative figures. Therefore the adjustments to the carrying amounts of financial assets and liabilities at the date of transition were recognised in opening retained earnings.

Consequently, for notes and disclosures, the consequential amendments to IFRS 7 disclosures have also only been applied to the current period. The comparative period notes and disclosures repeat those disclosures made in the prior year.

The adoption of IFRS 9 has resulted in changes in the accounting policies for recognition, classification and measurement of financial assets and financial liabilities and impairment of financial assets. IFRS 9 also significantly amends other standards dealing with financial instruments such as IFRS 7 'Financial Instruments: Disclosures'.

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

**NOTES (CONTINUED)**

**1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)**

**a) Basis of preparation (continued)**

**New and amended standards adopted by the group (continued)**

Set out below are disclosures relating to the impact of the adoption of IFRS 9 on the group. Further details of the specific IFRS 9 accounting policies applied in the current period are described in more detail in note 1(a) (i) and note 30.

**(i) Classification and measurement of financial instruments**

The measurement category and the carrying amount of financial assets and liabilities in accordance with IAS 39 and IFRS 9 at 1 January 2018 are compared as follows:

| Group                       | IAS 39               |                      | IFRS 9               |                      |
|-----------------------------|----------------------|----------------------|----------------------|----------------------|
|                             | Measurement category | Carrying amount Shs. | Measurement category | Carrying amount Shs. |
| <b>Financial assets</b>     |                      |                      |                      |                      |
| Cash and cash equivalents   | Amortised cost       | 19,640,279           | Amortised cost       | 19,640,279           |
| Trade and other receivables | Amortised cost       | 79,446,156           | Amortised cost       | 51,151,929           |
| Company                     | IAS 39               |                      | IFRS 9               |                      |
|                             | Measurement category | Carrying amount Shs. | Measurement category | Carrying amount Shs. |
| <b>Financial assets</b>     |                      |                      |                      |                      |
| Cash and cash equivalents   | Amortised cost       | 10,118,445           | Amortised cost       | 10,118,445           |
| Trade and other receivables | Amortised cost       | 826,627,973          | Amortised cost       | 34,142,538           |

**(ii) Reconciliation of statement of financial position balances from IAS 39 to IFRS 9**

The company performed a detailed analysis of its business models for managing financial assets and analysis of their cash flow characteristics. For more detailed information regarding the new classification requirements of IFRS 9, refer to note 1(a) (i).

The following table reconciles the carrying amounts of financial assets, from their previous measurement category in accordance with IAS 39 to their new measurement categories upon transition to IFRS 9 on 1 January 2018:

| Group                       | IAS 39<br>Carrying<br>amount |                  |                             |           | IFRS 9<br>Carrying<br>amount |
|-----------------------------|------------------------------|------------------|-----------------------------|-----------|------------------------------|
|                             | 31-Dec-17                    | Reclassification | Remeasurement<br>adjustment | 01-Jan-18 |                              |
|                             | Shs.                         | Shs.             | Shs.                        |           |                              |
| Cash and cash equivalents   | 19,640,279                   | -                | -                           |           | 19,640,279                   |
| Trade and other receivables | 79,446,156                   | -                | (28,294,227)                |           | 51,151,929                   |

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

**NOTES (CONTINUED)**

**1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)**

**a) Basis of preparation (continued)**

**New and amended standards adopted by the group (continued)**

| Company                     | IAS 39<br>Carrying<br>amount |                  |                             |           | IFRS 9<br>Carrying<br>amount |
|-----------------------------|------------------------------|------------------|-----------------------------|-----------|------------------------------|
|                             | 31-Dec-17                    | Reclassification | Remeasurement<br>adjustment | 01-Jan-18 |                              |
|                             | Shs.                         | Shs.             | Shs.                        |           |                              |
| Cash and cash equivalents   | 10,118,445                   | -                | -                           |           | 10,118,445                   |
| Trade and other receivables | 826,627,973                  | -                | (792,485,435)               |           | 34,142,538                   |

**(iii) Significant and material impacts**

- Total provision for impairment of trade and receivables for the group increased by Shs. 28,294,227 from Shs. 24,000,000 as at 31 December 2017 to Shs. 52,294,227 as at 1 January 2018;
- Overall decrease in equity for the group due to adoption of IFRS 9 is Shs. 28,294,227.
- Total provision for impairment of trade and receivables for the company increased by Shs. 792,485,435 from Shs. Nil as at 31 December 2017 to Shs. 792,485,435 as at 1 January 2018;
- Overall decrease in equity for the company due to adoption of IFRS 9 is Shs. 792,485,435.

**IFRS 15: Revenue from contracts with customers**

Under IFRS 15, revenue from sale of property is recognised when the customer obtains control of the property. Revenue from development of property is recognised over time based on the percentage of completion of the property. The application of the standard, in the current year has not had a material impact on the financial position or financial performance of the company, and a transition adjustment has, therefore, not been required.

**New standards, amendments and interpretations issued but not effective**

At the date of authorisation of these financial statements the following standards and interpretations which have not been applied in these financial statements were in issue but not yet effective for the year presented:

- Amendments to IAS 12 'Income Taxes' effective for annual periods beginning on or after 1 January 2019 clarifying on the recognition of income tax consequences of dividends.
- Amendments to IAS 19 'Employee Benefits' effective for annual periods beginning on or after 1 January 2019 clarifying the effects of a retirement benefit plan amendment, curtailment or settlement.

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

## 1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

### a) Basis of preparation(continued)

#### New standards, amendments and interpretations issued but not effective (continued)

- Amendments to IAS 23 'Borrowing Costs' effective for annual periods beginning on or after 1 January 2019 clarifying that specific borrowings remaining unpaid at the time the related asset is ready for its intended use or sale will comprise general borrowings.
- Amendments to IAS 28 'Investments in Associates and Joint Ventures' effective for annual periods beginning on or after 1 January 2019 clarifying that IFRS 9 is only applicable to investments to which the equity method is not applied.
- Amendments to IFRS 3 'Business Combinations' and IFRS 11 'Joint Arrangements' effective for annual periods beginning on or after 1 January 2019 in relation to remeasurement of previously held interests on a joint operation on obtaining control.
- Amendments to IFRS 9 'Financial Instruments' effective for annual periods beginning on or after 1 January 2019 clarifying that the existence of prepayment features with negative compensation will not in itself cause the instrument to fail the amortised cost classification.
- IFRS 16 'Leases' (issued in January 2017) effective for annual periods beginning on or after 1 January 2019, replaces IAS 17 'Leases', IFRIC 4 'Determining whether an Arrangement Contains a Lease' and their interpretations (SIC-15 and SIC-27). IFRS 16 establishes principles for the recognition, measurement, presentation and disclosure of leases, with the objective of ensuring that lessees and lessors provide relevant information that faithfully represents those transactions.
- IFRS 17 'Insurance Contracts' (issued May 2017) effective for annual periods beginning on or after 1 January 2022 establishes the principles for the recognition, measurement, presentation and disclosure of insurance contracts.
- IFRIC 22 'Foreign Currency Transactions and Advance Consideration' (issued in December 2016) effective for annual periods beginning on or after 1 January 2018, clarifies that the exchange rate to use in transactions that involve advance consideration paid or received in foreign currency is the one at the date of initial recognition of the non-monetary asset or liability.
- IFRIC 23 'Uncertainty over Income Tax Treatments' (issued June 2017) effective for annual periods beginning on or after 1 January 2019 clarifies the accounting for uncertainties in income taxes.

The directors expect that the future adoption of IFRS 16 may have a material impact on the amounts reported. However, it is not practicable to provide a reliable estimate of the effects of the above until a detailed review has been completed. The directors do not expect that adoption of the other standards and interpretations will have a material impact on the financial statements in future periods. The society plans to apply the changes above from their effective dates.

### b) Critical accounting estimates and judgement

In the application of the accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other relevant factors. Such estimates and assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

The directors have made the following assumptions that have a significant risk of resulting in a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

## 1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

### b) Critical accounting estimates and judgement (continued)

#### - Measurement of expected credit losses (ECL):

The measurement of the expected credit loss allowance for financial assets measured at amortised cost is an area that requires the use of complex models and significant assumptions about future economic conditions and credit behaviour.

A number of significant judgements are also required in applying the accounting requirements for measuring ECL, such as:

- Determining criteria for significant increase in credit risk;
- Choosing appropriate models and assumptions for the measurement of ECL;
- Establishing the number and relative weightings of forward-looking scenarios for each type of product/market and associated ECL; and
- Establishing groups of similar financial assets for the purposes of measuring ECL

ECLs are measured as the probability-weighted present value of expected cash shortfalls over the remaining expected life of the financial instrument.

The measurement of ECLs are based primarily on the product of the instrument's Probability of Default (PD), Loss Given Default (LGD), and Exposure At Default (EAD).

The ECL model applied for financial assets other than trade receivables contains a three-stage approach that is based on the change in the credit quality of assets since initial recognition.

- **Stage 1** - If, at the reporting date, the credit risk of non-impaired financial instruments has not increased significantly since initial recognition, these financial instruments are classified in Stage 1, and a loss allowance that is measured, at each reporting date, at an amount equal to 12-month expected credit losses is recorded.
- **Stage 2** - When there is a significant increase in credit risk since initial recognition, these non-impaired financial instruments are migrated to Stage 2, and a loss allowance that is measured, at each reporting date, at an amount equal to lifetime expected credit losses is recorded. In subsequent reporting periods, if the credit risk of the financial instrument improves such that there is no longer a significant increase in credit risk since initial recognition, the ECL model requires reverting to recognition of 12-month expected credit losses.
- When one or more events that have a detrimental impact on the estimated future cash flows of a financial asset have occurred, the financial asset is considered credit-impaired and is migrated to **Stage 3**, and an allowance equal to lifetime expected losses continues to be recorded or the financial asset is written off.

Assessment of significant increase in credit risk: The determination of a significant increase in credit risk takes into account many different factors including a comparison of a financial instruments credit risk or PD at the reporting date and the credit or PD at the date of initial recognition. IFRS 9 however includes rebuttable presumptions that contractual payments are overdue by more than 30 days will represent a significant increase in credit risk (stage 2) and contractual payments that are more than 90 days overdue will represent credit impairment (stage 3). The company uses these guidelines in determining the staging of its assets unless there is persuasive evidence available to rebut these presumptions

For trade receivables, the company has applied the simplified model under IFRS 9 where lifetime expected credit loss allowance is recognised on the basis of a provisioning matrix.

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

## 1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

### b) Critical accounting estimates and judgement (continued)

- **Assessment of credit risk**  
The company assess and recognises lifetime expected credit losses at the end of the each reporting dates.
- **Useful lives of property, plant and equipment**  
Management reviews the useful lives and residual values of the items of property, plant and equipment on a regular basis. During the financial year, the directors determined no significant changes in the useful lives and residual values.
- **Investment property**  
The company holds land that is for designated development and sale and land that is as of the balance sheet date not designated for any specific future use. Under the requirement of IAS 40 on Investment Property, land that is held without any designated future use is classified as Investment Property and measured at fair value in accordance with the accounting policy set-out below.
- **Impairment of trade receivables**  
The company reviews their portfolio of trade receivables on an annual basis. In determining whether receivables are impaired, the management makes judgement as to whether there is any evidence indicating that there is a measurable decrease in the estimated future cash flows expected.
- **Fair value measurement and valuation process**  
In estimating the fair value of an asset or a liability, the group uses market-observable data to the extent it is available. Where level 1 inputs are not available, the group makes use of financial models or engages third party qualified values to perform the valuation and provide inputs to the model. issue.

### c) Significant judgements made by management in applying the company's accounting policies

Directors have made the following judgements that are considered to have the most significant effect on the amounts recognised in the financial statements:

- **Revenue recognition** - Revenue in respect of the sale of property is recognised at a value representing the fair value of the land as at the date of the transaction with the remainder of the sales proceeds being recognised as the common infrastructure gets developed using the percentage of completion method based on an estimate of total project costs determined by an independent professional quantity surveyor.
- **Fair value of investment property** - Fair value gains and losses on investment property are based on professional valuations performed by an independent valuer of the land assuming project completion has taken place. To reflect the current value of such land given actual project development status, a discount reflecting the percentage of completion is applied to such fair values. The percentage of completion used is consistent as described under revenue recognition above.
- **Control of subsidiaries, associates and joint ventures** - The directors assess whether or not the group has control over any entity based on whether or not the group has the practical ability to direct the relevant activities of the entity unilaterally. In making their judgement, the directors considered the groups absolute size of holding in the entity and the relative size of dispersion of the shareholdings owned by the other shareholders.

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

## 1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

### c) Significant judgements made by management in applying the company's accounting policies (continued)

Accounting for borrowing costs - The directors assess the degree of continued development activity at the underlying project sites to determine whether interest and other costs incurred on borrowings related to ongoing project development should be capitalised. In determining whether continued development is relevant, directors consider the level of administrative activities that are necessary for project development as well as direct development activities. The directors also consider development of infrastructure of ancillary services such as roads, water and power around the project site as relevant ongoing development.

### d) Revenue recognition

The company recognises revenue from sale of property. The company recognises revenue as and when it satisfies a performance obligation by transferring control of a product or service to a customer. The amount of revenue recognised is the amount the Company expects to receive in accordance with the terms of the contract, and excludes amounts collected on behalf of third parties, such as Value Added Tax.

#### i) Revenue from sale of land

Revenue from sale of land is recognised when the transaction with the buyer is substantially complete which coincides with the transfer to the buyer of the significant risks and rewards of ownership and the entity retaining neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the land.

#### ii) Revenue from infrastructure development

Remaining revenue relating to infrastructure construction is recognised using the percentage of completion method.

### Other income

- i) Interest income is accrued by reference to time in relation to the principal outstanding and the effective interest rate applicable.
- ii) Dividend income is recognised when the shareholders right to receive payment has been established
- iii) Rental income is accrued by reference to time on a straight line basis over the lease term

### e) Investment in subsidiaries/Consolidation

Subsidiaries are all entities (including special purpose entities) over which the group has the power to govern the financial and operating policies. Control is achieved when the company; has power over the trustee; is exposed or has right to variable returns from its involvement with the investee and has the ability to use its power to affect its returns.

The group also assesses the existence of control where it does not have a majority of the voting rights power but is able to govern the financial and operating policies of a subsidiary. Control may arise in certain circumstances where including the size of the group's voting rights relative to the size and dispersion of holdings of other shareholders give the group the power to govern the financial and operating policies, where potential voting rights are held by the company and rights from other contractual arrangements etc.

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

## 1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

### e) Investment in subsidiaries/Consolidation (continued)

Intra-group balances, income and expenses on transactions between group companies are eliminated. Profits and losses resulting from inter-company transactions that are recognised in assets are also eliminated. Accounting policies of subsidiaries have been changed where necessary adjustments are made to financial statements of subsidiary to bring their accounting policies into line with the groups accounting policy.

### f) Property and equipment

All property and equipment is initially recorded at cost and thereafter stated at historical cost less depreciation. Historical cost comprises expenditure initially incurred to bring the asset to its location and condition ready for its intended use. Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the company and the cost can be reliably measured. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to profit or loss during the financial year in which they are incurred. Depreciation on assets is calculated on the reducing balance basis method to write down the cost of each asset, or the revalued amount, to its residual value over its estimated useful life using the following annual rates:

|                        | Rate %                        |
|------------------------|-------------------------------|
| Buildings              | 2.50 ( <i>straight line</i> ) |
| Motor vehicles         | 25.00                         |
| Tractor                | 37.50                         |
| Computer equipment     | 30.00                         |
| Office equipment       | 12.50                         |
| Furniture and fittings | 12.50                         |

The assets residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period. An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposal of property and equipment are determined by comparing the proceeds with the carrying amount and are taken into account in determining operating profit/loss.

### g) Investment property

Investment property is long-term investments in land that are not occupied substantially for own use. Land held with an undetermined future use is also classified as investment property. Investment property is initially recognised at cost and subsequently carried at fair value representing open market value at the reporting date. Changes in fair value are recorded in profit or loss based on the percentage of completion as described in note (c) above.

Subsequent expenditure on investment property where such expenditure increases the future economic value in excess of the original assessed standard of performance is added to the carrying amount of the investment property. All other expenditure is recognised as an expense in the year wh

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

## 1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

### h) Intangible assets

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised on a straight-line basis over their estimated useful lives. The estimated useful life and amortisation method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. Intangible assets with indefinite useful lives that are acquired separately are carried at cost less accumulated impairment losses.

#### Computer software

Computer software licences are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortised over their estimated useful lives which are estimated to be 3 years. Costs associated with developing or maintaining computer software programmes are recognised as an expense as incurred. Costs that are directly associated with the production of identifiable and unique software products controlled by the company, and that will probably generate economic benefits exceeding costs beyond one year, are recognised as intangible assets.

### i) Financial instruments

Financial instruments are recognised when, and only when, the company becomes party to the contractual provisions of the instrument. All financial assets are recognised initially using the trade date accounting which is the date the company commits itself to the purchase or sale.

#### - Financial assets

The company classifies its financial assets into the following categories:

#### i) Amortised cost

Financial assets that are held within a business model whose objective is to hold assets in order to collect contractual cash flows, and for which the contractual terms of the financial asset give rise on specified dates to cash flows that are Solely Payments of Principal and Interest (SPPI) on the principal amount outstanding and are not designated at Fair Value Through Profit or Loss (FVTPL), are classified and measured at amortised cost; The carrying amount of these assets is adjusted by any expected credit loss allowance recognised and measured.

#### ii) Fair Value Through Other Comprehensive Income (FVTOCI):

Financial assets that are held for collection of contractual cash flows where these cash flows comprise SPPI and also for liquidating the assets depending on liquidity needs and that are not designated at FVTPL, are classified and measured at value through other comprehensive income (FVTOCI). Movements in the carrying amount are taken through OCI, except for recognition of impairment gain or losses, interest revenue and foreign exchange gain and losses. Gains and losses previously recognised in OCI are reclassified from equity to profit or loss on disposal of such instruments. Gains and losses related to equity instruments are not reclassified.

*Home Afrika Limited  
Annual report and consolidated financial statements  
For the year ended 31 December 2018*

## 1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

### i) Financial instruments (continued)

#### iii) Fair Value Through Profit or Loss (FVTPL):

Financial assets that do not meet the criteria for amortised cost or FVTOCI are measured at FVTPL. A gain or loss on a debt investment that is subsequently measure at fair value through profit or loss and is not part of a hedging relationship is recognised in profit or loss and presented in the profit or loss statement.

Notwithstanding the above, the company may:

- on initial recognition of an equity investment that is not held for trading, irrevocably elect to classify and measure it at fair value through other comprehensive income
- on initial recognition of a debt instrument, irrevocably designate it as classified and measured at fair value through profit or loss if doing so eliminates or significantly reduces a measurement or recognition inconsistency.

The loss allowance is measured at an amount equal to the lifetime expected credit losses for trade receivables and for financial instruments for which:

- the credit risk has increased significantly since initial recognition; or
- there is observable evidence of impairment (a credit-impaired financial asset).

If, at the reporting date, the credit risk on a financial asset other than a trade receivable has not increased significantly since initial recognition, the loss allowance is measured for that financial instrument at an amount equal to 12-month expected credit losses. All changes in the loss allowance are recognised in profit or loss as impairment gains or losses. Lifetime expected credit losses represent the expected credit losses that result from all possible default events over the expected life of a financial instrument. 12-month expected credit losses represent the portion of lifetime expected credit losses that result from default events on a financial asset that are possible within 12 months after the reporting date.

Expected credit losses are measured in a way that reflects an unbiased and probability-weighted amount determined by evaluating a range of possible outcomes, the time value of money, and reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

All financial assets are classified as non-current except those that are held for trading, those with maturities of less than 12 months from the balance sheet date, those which management has the express intention of holding for less than 12 months from the reporting date or those that are required to be sold to raise operating capital, in which case they are classified as current assets.

#### Financial liabilities

Financial liabilities that are held for trading (including derivatives), financial guarantee contracts, or commitments to provide a loan at a below-market interest rate are classified and measured at fair value through profit or loss. The company may also, on initial recognition, irrevocably designate a financial liability as at fair value through profit or loss if doing so eliminates or significantly reduces a measurement or recognition inconsistency.

All other financial liabilities are classified and measured at amortised cost.

### j) Inventories

Inventories comprise of land and developments held for sale and is stated at the lower of cost and net realisable value. Cost is determined by the first-in-first-out (FIFO) basis and comprises all costs attributable to purchase of the land and direct cost for the development of common amenities and related service costs including finance costs.

*Home Afrika Limited  
Annual report and consolidated financial statements  
For the year ended 31 December 2018*

## 1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

### k) Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand and deposits held at call with banks.

### l) Share capital

Ordinary shares are classified as equity. Mandatorily redeemable preference shares are classified as liabilities.

### m) Share premium

Share premium represents the amount received by the company over the par value of the ordinary shares issued. Deposits received for ordinary and preference shares are also classified as liabilities. On allotment of ordinary shares, the amounts are reclassified to equity.

### n) Dividend

Proposed dividends are disclosed as a separate component of equity until declared. Dividends are recognised as a liability in the period in which they are approved by the group's shareholders.

### o) Taxation

The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except to the extent that it relates to items recognised in the comprehensive income or in equity.

#### Current tax

Current tax is provided on the results for the year, adjusted in accordance with tax legislation.

#### Deferred tax

Deferred tax is provided using the liability method for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred tax. Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which temporary differences can be utilised.

### p) Accounting for leases

#### The group as lessee

Leases of assets where the group assumes substantially all the risks and rewards of ownership, are classified as finance leases. Assets held under finance leases are initially recognised as assets of the Group at their fair value at the inception of the lease or, if lower, at the present value of the minimum lease payments. The corresponding liability to the lessor is included in the consolidated statement of financial position as a finance lease obligation.

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

## 1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

### p) Accounting for leases (continued)

#### The group as lessee (continued)

Lease payments are apportioned between finance expenses and reduction of the lease obligation so as to achieve a constant rate of interest on the remaining balance of the liability. Finance expenses are recognised immediately in profit or loss, unless they are directly attributable to qualifying assets, in which case they are capitalised in accordance with the contingent rentals are recognised as expenses in the periods in which they are incurred.

Such property and equipment is depreciated over its useful life.

Leases of assets under which a significant portion of the risks and rewards of ownership are effectively retained by the lessor are classified as operating leases. Payments made under operating leases are charged to profit or loss on a straight line basis over the period of the lease. Lease incentives received are recognised as a liability and reduction of the rental expense on a straight line basis.

### q) Retirement benefit obligations

The group and its employees contribute to the National Social Security Fund (NSSF), a statutory defined contribution scheme registered under the NSSF Act. The company's contributions to the defined contribution scheme are charged to profit or loss in the year to which they relate. The company has no further obligation once the contributions have been paid.

### r) Borrowing costs

Borrowing costs that are attributable to acquisition, construction or production of a qualifying asset are capitalised as part of the asset based either on actual cost on specific borrowings or, in the case of general borrowings, based on a weighted average cost.

Capitalisation of borrowing costs ceases when all activities necessary to prepare the asset for its intended use or sale are complete. All other borrowing costs are recognised in profit or loss.

### s) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year. A summary of the changes made on the comparatives are disclosed under note 33 to the financial statements

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

## 2. SEGMENTAL REPORTING

The group is engaged in the business of development and sale of real estate and related activities. This busi subsidiaries representing separate projects of the group. The basis of reporting the performance of the group board of directors (which represents the chief operating decision maker for the purposes of segmental reportin While certain group companies are involved in post real-estate development activities such as provision of ser not material to the group as a whole and therefore not separately disclosable.

In respect of the primary operations of real estate development and sale, all activities of the group are carried Kenya and are therefore subject to common economic characteristics. These operations are therefore aggreg related activities discussed in the preceding paragraph such that the group's activities comprises a single operating segment. The financial results for the operations of the group are presented to the board are the same as the measures of operating profit and profit before tax as presented in the statement of profit or loss and other comprehensive income. All the assets and liabilities of the group represent the single overall aggregated segment.

As its geographic operations are confined to a single country, no disclosures by geography are applicable. All revenue, costs, assets and liabilities arise and are held in Kenya.

During the year, there is no single customer which represents more than 10% of the total group turnover (2017: Nil).

## 3. REVENUE FROM CONTRACTS WITH CUSTOMERS

|                                                   | 2018<br>Shs        | 2017<br>Shs        | 2018<br>Shs       | 2017<br>Shs |
|---------------------------------------------------|--------------------|--------------------|-------------------|-------------|
| Recognised at a point in time                     |                    |                    |                   |             |
| - Revenue from sale of land and units             |                    |                    |                   |             |
| Recognised over time:                             | 53,538,353         | 145,450,812        | 15,181,000        | -           |
| - Revenue from sale of infrastructure development |                    |                    |                   |             |
|                                                   | 55,500,168         | 117,336,727        | -                 | -           |
|                                                   | <u>109,038,521</u> | <u>262,787,539</u> | <u>15,181,000</u> | <u>-</u>    |

## 4. OTHER OPERATING INCOME

|               |                  |                  |                |                  |
|---------------|------------------|------------------|----------------|------------------|
| Rental income | 5,336,534        | 6,474,025        | -              | 2,886,000        |
| Other income  | <u>2,521,250</u> | <u>3,447,522</u> | <u>810,000</u> | <u>2,742,763</u> |
|               | <u>7,857,784</u> | <u>9,921,547</u> | <u>810,000</u> | <u>5,628,763</u> |

## NOTES (CONTINUED)

### 5. OPERATING (LOSS)

The following items have been charged in arriving at operating (loss):

Depreciation on property and equipment (Note 10)  
Amortisation of intangible assets (Note 12)  
Auditors' remuneration  
- current year  
- under provision in prior years  
Directors' emoluments  
Staff costs (Note 6)

### 6. STAFF COSTS

Salaries and wages  
Other staff costs  
Pension costs:  
- National Social Security Fund

The average number of persons employed during the year, by category, were:

|                               |    |    |    |    |
|-------------------------------|----|----|----|----|
| Sales and marketing           | 20 | 22 | 14 | 16 |
| Projects                      | 14 | 21 | 4  | 6  |
| Management and administration | 14 | 25 | 5  | 15 |
| Total                         | 48 | 68 | 23 | 37 |

### 7. FINANCE COSTS

Interest expense:  
- bank borrowings  
- private placement bond  
- deposit for shares

## Home Afrika Limited Annual report and consolidated financial statements For the year ended 31 December 2018

## NOTES (CONTINUED)

### 8. TAX

| Group                                        | 2018         | 2017         | Company | 2017      |
|----------------------------------------------|--------------|--------------|---------|-----------|
|                                              | Shs          | Shs          | Shs     | Shs       |
| Current tax                                  | 1,177,907    | 1,864,440    | -       | 865,800   |
| Over provision of current tax in prior years | -            | (4,890,891)  | -       | -         |
| Deferred tax (credit)/charge (Note 24)       | (46,877,574) | (36,552,887) | 624,639 | 199,685   |
|                                              | (45,699,667) | (39,579,338) | 624,639 | 1,065,485 |

The tax on the group's (loss) before tax differs from the theoretical amount that would arise using the basic rate as follows:

|                                                            |               |               |               |               |
|------------------------------------------------------------|---------------|---------------|---------------|---------------|
| (Loss) before tax                                          | (391,904,755) | (221,014,550) | (129,490,648) | (134,630,604) |
| Tax calculated at a tax rate of 30% (2017: 30%)            | (117,571,427) | (66,304,365)  | (38,847,194)  | (40,389,181)  |
| Tax effect of:                                             |               |               |               |               |
| - income and expenses not taxable/allowable                | (22,675,689)  | (21,346,921)  | 2,533,760     | 1,961,762     |
| - tax losses on which deferred tax has not been recognised | 86,883,057    | 52,962,839    | 35,914,810    | 39,492,904    |
| - Deferred tax assets not recognised                       | 7,664,392     | -             | 398,624       | -             |
| - Deferred tax for prior year written off                  | -             | -             | 624,639       | -             |
| - (Over) provision in prior years                          | -             | (4,890,891)   | -             | -             |
|                                                            | (45,699,667)  | (39,579,338)  | 624,639       | 1,065,485     |

### 9. (LOSS) PER SHARE

Basic group loss per share is calculated by dividing the loss attributable to equity holders of the company by the weighted average number of ordinary shares in issue during the year.

| Group                                      | 2018          | 2017          | Company       | 2017          |
|--------------------------------------------|---------------|---------------|---------------|---------------|
|                                            | Shs           | Shs           | Shs           | Shs           |
| Net (loss) attributable to shareholders    | (276,019,820) | (179,786,896) | (130,115,287) | (135,696,089) |
| Weighted average number of ordinary shares | 405,255,320   | 405,255,320   | 405,255,320   | 405,255,320   |
| (Loss) per share - basic and diluted       | (0.68)        | (0.44)        | (0.32)        | (0.33)        |

**NOTES (CONTINUED)**

**10. PROPERTY AND EQUIPMENT**

| Group                              | Building<br>Shs | Tractor<br>Shs | Motor<br>vehicles<br>Shs | Computer<br>equipment<br>Shs | Furniture<br>and fittings<br>Shs | Office<br>equipment<br>Shs | Total<br>Shs |
|------------------------------------|-----------------|----------------|--------------------------|------------------------------|----------------------------------|----------------------------|--------------|
| <b>Year ended 31 December 2018</b> |                 |                |                          |                              |                                  |                            |              |
| <b>Cost</b>                        |                 |                |                          |                              |                                  |                            |              |
| At start of year                   | 33,138,104      | 4,457,686      | 8,700,860                | 6,670,710                    | 20,339,601                       | 30,255,905                 | 103,562,866  |
| Additions                          | -               | -              | 86,764                   | 1,362,730                    | 1,366,070                        | 134,550                    | 2,950,114    |
| Disposal                           | -               | -              | (850,000)                | -                            | -                                | -                          | (850,000)    |
| At end of year                     | 33,138,104      | 4,457,686      | 7,937,624                | 8,033,440                    | 21,705,671                       | 30,390,455                 | 105,662,980  |
| <b>Depreciation</b>                |                 |                |                          |                              |                                  |                            |              |
| At start of year                   | 8,561,292       | 4,032,568      | 6,543,837                | 4,720,732                    | 9,754,855                        | 12,119,405                 | 45,732,689   |
| Charge for the year                | 1,535,639       | 159,419        | 539,255                  | 904,779                      | 1,401,468                        | 2,334,359                  | 6,874,919    |
| At end of year                     | 10,096,931      | 4,191,987      | 7,083,092                | 5,625,511                    | 11,156,323                       | 14,453,764                 | 52,607,608   |
| <b>Net book value</b>              | 23,041,173      | 265,699        | 854,532                  | 2,407,929                    | 10,549,348                       | 15,936,691                 | 53,055,372   |
| <b>Year ended 31 December 2017</b> |                 |                |                          |                              |                                  |                            |              |
| <b>Cost</b>                        |                 |                |                          |                              |                                  |                            |              |
| At start of year                   | 33,138,104      | 4,457,686      | 7,850,860                | 5,275,610                    | 20,186,601                       | 29,249,180                 | 100,158,041  |
| Additions                          | -               | -              | 850,000                  | 1,395,100                    | 153,000                          | 1,006,725                  | 3,404,825    |
| At end of year                     | 33,138,104      | 4,457,686      | 8,700,860                | 6,670,710                    | 20,339,601                       | 30,255,905                 | 103,562,866  |
| <b>Depreciation</b>                |                 |                |                          |                              |                                  |                            |              |
| At start of year                   | 7,025,653       | 3,777,497      | 6,013,718                | 4,288,371                    | 8,471,968                        | 9,346,416                  | 38,923,623   |
| Charge for the year                | 1,535,639       | 255,071        | 530,119                  | 432,361                      | 1,282,887                        | 2,772,989                  | 6,809,066    |
| At end of year                     | 8,561,292       | 4,032,568      | 6,543,837                | 4,720,732                    | 9,754,855                        | 12,119,405                 | 45,732,689   |
| <b>Net book value</b>              | 24,576,812      | 425,118        | 2,157,023                | 1,949,978                    | 10,584,746                       | 18,136,500                 | 57,830,177   |

Home Afrika Limited  
Annual report and consolidated financial statements  
For the year ended 31 December 2018

**NOTES (CONTINUED)**

**10. PROPERTY AND EQUIPMENT (continued)**

**Company**

**Year ended 31 December 2018**

|                                    | Building<br>Shs | Motor<br>vehicles<br>Shs | Computer<br>equipment<br>Shs | Furniture<br>and fittings<br>Shs | Office<br>equipment<br>Shs | Total<br>Shs |
|------------------------------------|-----------------|--------------------------|------------------------------|----------------------------------|----------------------------|--------------|
| <b>Cost</b>                        |                 |                          |                              |                                  |                            |              |
| At start of year                   | 56,994,527      | 4,444,860                | 4,119,295                    | 16,330,513                       | 4,901,466                  | 86,790,661   |
| Additions                          | -               | 86,764                   | 1,188,730                    | 898,435                          | 125,050                    | 2,298,979    |
| Disposal                           | -               | (850,000)                | -                            | -                                | -                          | (850,000)    |
| At end of year                     | 56,994,527      | 3,681,624                | 5,308,025                    | 17,228,948                       | 5,026,516                  | 88,239,640   |
| <b>Depreciation</b>                |                 |                          |                              |                                  |                            |              |
| At start of year                   | 11,289,511      | 3,016,393                | 2,962,888                    | 8,125,595                        | 2,573,297                  | 27,967,684   |
| Charge for the year                | 1,535,637       | 378,807                  | 627,327                      | 1,114,340                        | 306,653                    | 3,962,764    |
| At end of year                     | 12,825,148      | 3,395,200                | 3,590,215                    | 9,239,935                        | 2,879,950                  | 31,930,448   |
| <b>Net book value</b>              | 44,169,379      | 286,424                  | 1,717,810                    | 7,989,013                        | 2,146,566                  | 56,309,192   |
| <b>Year ended 31 December 2017</b> |                 |                          |                              |                                  |                            |              |
| <b>Cost</b>                        |                 |                          |                              |                                  |                            |              |
| At start of year                   | 56,994,527      | 3,594,860                | 3,344,495                    | 16,330,513                       | 4,901,466                  | 85,165,861   |
| Additions                          | -               | 850,000                  | 774,800                      | -                                | -                          | 1,624,800    |
| At end of year                     | 56,994,527      | 4,444,860                | 4,119,295                    | 16,330,513                       | 4,901,466                  | 86,790,661   |
| <b>Depreciation</b>                |                 |                          |                              |                                  |                            |              |
| At start of year                   | 9,753,872       | 2,729,126                | 2,714,999                    | 6,953,464                        | 2,240,702                  | 24,392,163   |
| Charge for the year                | 1,535,639       | 287,267                  | 247,889                      | 1,172,131                        | 332,595                    | 3,575,521    |
| At end of year                     | 11,289,511      | 3,016,393                | 2,962,888                    | 8,125,595                        | 2,573,297                  | 27,967,684   |
| <b>Net book value</b>              | 45,705,016      | 1,428,467                | 1,156,407                    | 8,204,918                        | 2,328,169                  | 58,822,977   |

NOTES (CONTINUED)

10. INVESTMENT PROPERTY

Group

| Year ended 31 December 2018 |               |              |               |  |
|-----------------------------|---------------|--------------|---------------|--|
|                             | Land<br>Shs   | WIP<br>Shs   | Total<br>Shs  |  |
| At start of year            | 570,026,085   | 53,154,250   | 623,180,335   |  |
| Additions                   | -             | 1,323,896    | 1,323,896     |  |
| At end of year              | 570,026,085   | 54,478,146   | 624,504,231   |  |
| Year ended 31 December 2017 |               |              |               |  |
|                             | Land<br>Shs   | WIP<br>Shs   | Total<br>Shs  |  |
| At start of year            | 633,487,531   | 52,134,997   | 685,622,528   |  |
| Transfers to inventories    | (124,290,254) | (10,722,794) | (135,013,048) |  |
| Additions                   | -             | 11,742,047   | 11,742,047    |  |
| Fair value gain             | 60,828,808    | -            | 60,828,808    |  |
| At end of year              | 570,026,085   | 53,154,250   | 623,180,335   |  |

The fair value of investment property comprising buildings was determined by reference to the market prices of similar properties of the type and in the area in which the property is situated. The valuation was carried out by an independent professional valuer with recent experience in the location and category of the investment property being valued.

The fair value of the group's land investment properties are determined annually at the reporting date by an independent professionally qualified valuer adjusted by management to reflect the current stage of completion of the project. In determining the valuations the valuer refers to current market conditions including recent sales transactions of similar properties. In estimating the fair value of the properties, the highest and best use of the property is their use at the end of the project development adjusted by the completion factor to reflect the condition as of the balance sheet date. There has been no change in the valuation technique used during the year.

Fair value hierarchy

Group:

|                                  | Level 1<br>Shs | Level 2<br>Shs | Level 3<br>Shs | Fair value<br>Shs |
|----------------------------------|----------------|----------------|----------------|-------------------|
| Land held as investment property | -              | -              | 624,504,231    | 624,504,231       |

The fair valuation of the investment property is included as a level 3 valuation based on a significant non-observable input being the stage of completion of the project development within which the investment property resides which therefore has a material impact on the fair valuation as of the date of the statement of financial position. The percentage of completion used for this valuation is 46.74% as at 31 December 2018 (46.74% as at 31 December 2017). Management does not expect there to be a material sensitivity to the value of the investment property as the percentage of completion is based on qualified professional assessments of the project development.

The table above presents the changes in the carrying value of the investment property arising from these fair valuation assessments.

Home Afrika Limited  
Annual report and consolidated financial statements  
For the year ended 31 December 2018

NOTES (CONTINUED)

12. INTANGIBLE ASSETS

Group

Year ended 31 December 2018

Cost

|                  | Computer<br>Software<br>Shs | Website costs<br>Shs | Total<br>Shs |
|------------------|-----------------------------|----------------------|--------------|
| At start of year | 6,434,337                   | 1,183,800            | 7,618,137    |
| Additions        | 3,836,699                   | -                    | 3,836,699    |
| At end of year   | 10,271,036                  | 1,183,800            | 11,454,836   |

Amortisation

|                           | Computer<br>Software<br>Shs | Website costs<br>Shs | Total<br>Shs |
|---------------------------|-----------------------------|----------------------|--------------|
| At start of year          | 6,434,337                   | 1,183,800            | 7,618,137    |
| Amortisation for the year | 1,266,111                   | -                    | 1,266,111    |
| At end of year            | 7,700,448                   | 1,183,800            | 8,884,248    |

Net book value

|  | Computer<br>Software<br>Shs | Website costs<br>Shs | Total<br>Shs |
|--|-----------------------------|----------------------|--------------|
|  | 2,570,588                   | -                    | 2,570,588    |

Year ended 31 December 2017

|                  | Computer<br>Software<br>Shs | Website costs<br>Shs | Total<br>Shs |
|------------------|-----------------------------|----------------------|--------------|
| Cost             |                             |                      |              |
| At start of year | 5,896,580                   | 1,183,800            | 7,080,380    |
| Additions        | 537,757                     | -                    | 537,757      |
| At end of year   | 6,434,337                   | 1,183,800            | 7,618,137    |

Amortisation

|                           | Computer<br>Software<br>Shs | Website costs<br>Shs | Total<br>Shs |
|---------------------------|-----------------------------|----------------------|--------------|
| At start of year          | 5,678,040                   | 1,183,800            | 6,861,840    |
| Amortisation for the year | 756,297                     | -                    | 756,297      |
| At end of year            | 6,434,337                   | 1,183,800            | 7,618,137    |

Net book value

|  | Computer<br>Software<br>Shs | Website costs<br>Shs | Total<br>Shs |
|--|-----------------------------|----------------------|--------------|
|  | -                           | -                    | -            |

Company

|                           | Computer software |             |
|---------------------------|-------------------|-------------|
|                           | 2018<br>Shs       | 2017<br>Shs |
| Cost                      |                   |             |
| At start of year          | 6,434,337         | 5,896,580   |
| Additions                 | 3,836,699         | 537,757     |
| At end of year            | 10,271,036        | 6,434,337   |
| Amortisation              |                   |             |
| At start of year          | 6,434,337         | 5,678,040   |
| Amortisation for the year | 1,266,111         | 756,297     |
| At end of year            | 7,700,448         | 6,434,337   |
| Net book value            | 2,570,588         | -           |

*Home Afrika Limited  
Annual report and consolidated financial statements  
For the year ended 31 December 2018*

**NOTES (CONTINUED)**

**13. INVESTMENTS IN SUBSIDIARIES**

**Company**

| Name                                 | Country of incorporation | Holding |      | Company           |                   |
|--------------------------------------|--------------------------|---------|------|-------------------|-------------------|
|                                      |                          | 2018    | 2017 | 2018<br>Shs       | 2017<br>Shs       |
| Suburban Limited                     | Kenya                    | 50%     | 50%  | 74,334,247        | 74,334,247        |
| Mitini Scapes Development Limited    | Kenya                    | 100%    | 100% | 100,000           | 100,000           |
| Lakeview Heights Development Limited | Kenya                    | 100%    | 100% | 100,000           | 100,000           |
| Lango Development Limited            | Kenya                    | 100%    | 100% | 100,000           | 100,000           |
| Kikwetu Limited                      | Kenya                    | 100%    | 100% | 100,000           | 100,000           |
| Smart Plots Limited                  | Kenya                    | 100%    | 100% | 100,000           | 100,000           |
| Home Afrika Communities Limited      | Kenya                    | 60%     | 60%  | 2,100,000         | 2,100,000         |
| Migaa Management Limited             | Kenya                    | 52%     | 52%  | 52,000            | 52,000            |
|                                      |                          |         |      | <u>76,986,247</u> | <u>76,986,247</u> |

The composition of the group is as follows:

| Name                                 | Country of incorporation | Proportion of ownership interest |      | Proportion owned via subsidiary companies |      | Principal Activities                | Wholly or non-wholly owned subsidiary |
|--------------------------------------|--------------------------|----------------------------------|------|-------------------------------------------|------|-------------------------------------|---------------------------------------|
|                                      |                          | 2018                             | 2017 | 2018                                      | 2017 |                                     |                                       |
| Mitini Scapes Development Limited    | Kenya                    | 100%                             | 100% | -                                         | -    | Development and sale of real estate | Wholly                                |
| Lakeview Heights Development Limited | Kenya                    | 100%                             | 100% | -                                         | -    | Development and sale of real estate | Wholly                                |
| Lango Development Limited            | Kenya                    | 100%                             | 100% | -                                         | -    | Development and sale of real estate | Wholly                                |
| Kikwetu Limited                      | Kenya                    | 100%                             | 100% | -                                         | -    | Development and sale of real estate | Wholly                                |
| Smart Plots Limited                  | Kenya                    | 100%                             | 100% | -                                         | -    | Development and sale of real estate | Wholly                                |
| Home Afrika Communities Limited      | Kenya                    | 60%                              | 60%  | -                                         | -    | Development and sale of real estate | Non-wholly                            |
| Suburban Limited                     | Kenya                    | 50%                              | 50%  | -                                         | -    | Development and sale of real estate | Non-wholly                            |
| Migaa Management Limited             | Kenya                    | 52%                              | 52%  | -                                         | -    | Development and sale of real estate | Non-wholly                            |
| Moru Ridge Limited                   | Kenya                    | -                                | -    | 60%                                       | 60%  | Development and sale of real estate | Non-wholly                            |
| Kivuli Golf Limited                  | Kenya                    | -                                | -    | 60%                                       | 60%  | Development and sale of real estate | Non-wholly                            |
| Migaa PDS Limited                    | Kenya                    | -                                | -    | 60%                                       | 60%  | Development and sale of real estate | Non-wholly                            |

*Home Afrika Limited  
Annual report and consolidated financial statements  
For the year ended 31 December 2018*

**NOTES (CONTINUED)**

**13. INVESTMENTS IN SUBSIDIARIES (continued)**

The group owns 50% equity shares of Suburban Limited. The remaining 50% is held by unrelated shareholders. An assessment of control was performed by the group based on whether the group has the practical ability to direct the relevant activities unilaterally and it was concluded that the group was involved in active day to day management and therefore had dominant powers to direct the relevant activities of Suburban Limited.

**Summarised financial information**

Summarised financial information in respect of each of the group's main subsidiaries that has a material non-controlling interests is set out below. The summarised financial information below represents amounts before intragroup eliminations based on the unaudited financial statements of the companies.

|                           | Home Afrika Communities Limited |                 | Suburban Limited |               | Moru Ridge Limited |                 |
|---------------------------|---------------------------------|-----------------|------------------|---------------|--------------------|-----------------|
|                           | 2018<br>Shs                     | 2017<br>Shs     | 2018<br>Shs      | 2017<br>Shs   | 2018<br>Shs        | 2017<br>Shs     |
| Current assets            | 1,740,807,363                   | 1,653,585,476   | 72,250,972       | 89,828,393    | 1,300,764,225      | 1,297,953,493   |
| Non-current assets        | 636,798,321                     | 637,090,351     | 531,649          | 580,748       | 13,782             | 19,688          |
| Current liabilities       | (2,436,538,749)                 | (2,165,051,566) | (134,285,638)    | (132,736,998) | (1,460,045,588)    | (1,343,204,511) |
| Non-current liabilities   | -                               | 47,760,339      | -                | -             | -                  | -               |
| Non-controlling interests | 71,393,907                      | 85,927,599      | (53,451,799)     | (43,935,524)  | (63,707,032)       | (18,092,532)    |

*Home Afrika Limited*  
Annual report and consolidated financial statements  
For the year ended 31 December 2018

**NOTES (CONTINUED)**

**13. Investments in subsidiaries (continued)**

**Summarised financial information (continued)**

|                                                              | Home Afrika Communities Limited |                     | Suburban Limited    |                  | Moru Ridge Limited   |                  |
|--------------------------------------------------------------|---------------------------------|---------------------|---------------------|------------------|----------------------|------------------|
|                                                              | 2018 Shs                        | 2017 Shs            | 2018 Shs            | 2017 Shs         | 2018 Shs             | 2017 Shs         |
| Revenue                                                      | 51,787,308                      | 133,749,299         | 3,328,800           | 3,328,800        | -                    | -                |
| Expenses                                                     | (181,240,152)                   | (231,037,000)       | (22,503,959)        | (2,041,894)      | (114,036,250)        | (489,807)        |
| <b>(Loss) or profit for the year</b>                         | <b>(129,452,844)</b>            | <b>(97,287,701)</b> | <b>(19,175,159)</b> | <b>1,286,906</b> | <b>(114,036,250)</b> | <b>(489,807)</b> |
| Profit or loss attributable to the non-controlling interests | (14,533,692)                    | (1,335,696)         | (9,516,275)         | 640,201          | (45,614,500)         | (195,923)        |
| Net cash (out)/in flow from operating activities             | 5,876,832                       | (97,626,760)        | (41,463)            | 94,105           | (104,452,780)        | (108,767,116)    |
| Net cash (out)/in flow from investing activities             | (1,766,176)                     | 122,114,681         | -                   | -                | -                    | -                |
| Net cash (out)/in flow from financing activities             | (1,500,000)                     | (24,400,000)        | -                   | -                | 104,445,081          | 108,775,267      |
| <b>Net cash (out)/ in flow</b>                               | <b>2,610,656</b>                | <b>87,921</b>       | <b>(41,463)</b>     | <b>94,105</b>    | <b>(7,699)</b>       | <b>8,151</b>     |
| <b>Significant restrictions</b>                              |                                 |                     |                     |                  |                      |                  |

There are no significant restrictions on the company's or subsidiary's ability to access or use the assets and settle the liabilities of the group.

*Home Afrika Limited*  
Annual report and consolidated financial statements  
For the year ended 31 December 2018

**NOTES (CONTINUED)**

**14. FINANCIAL ASSETS**

| Available-for-sale              | Incorporation | Group and company |          |
|---------------------------------|---------------|-------------------|----------|
|                                 |               | 2018 Shs          | 2017 Shs |
| Morningside Office Park Limited | Kenya 12%     | 2,000             | 2,000    |

The carrying amount of the investment above is not expected to be materially different from its fair value.

**15. INVENTORIES**

|                     | Group                |                      | Company            |                    |
|---------------------|----------------------|----------------------|--------------------|--------------------|
|                     | 2018 Shs             | 2017 Shs             | 2018 Shs           | 2017 Shs           |
| Plots held for sale | 515,642,873          | 459,284,499          | 186,535,767        | 315,794,495        |
| Units held for sale | 389,332,764          | 400,708,532          | -                  | -                  |
| Work in progress    | 2,838,009,117        | 2,837,736,014        | -                  | -                  |
|                     | <b>3,742,984,754</b> | <b>3,697,729,045</b> | <b>186,535,767</b> | <b>315,794,495</b> |

Residential apartment blocks included within inventory with a cumulative cost amounting to Shs. 1.043 billion have been pledged as security against bank loan as disclosed in Note 20.

Inventory with a cost amounting to Shs. 106,878,163 have been pledged as security against preference shares as disclosed in Note 23. Inventory with a cost amounting to Shs. 53,667,275 have been pledged as security against private placement bond as disclosed in Note 22.

Borrowing costs (net of releases to cost of sales on completed and sold inventory) amounting to Shs. 83.5 million (2017: Shs. 242 million) have been capitalised to inventories during the year. The directors have assessed actual underlying development activity at the project sites as well as related administrative functions in determining the appropriateness of capitalisation of these borrowing costs. Direct development valued at Shs. 65 million (2017: Shs. 177 million) was undertaken at the project sites during the year.

Included in the inventories above are residential apartments constructed by a separate group entity, Moru Ridge Limited with cumulative costs amounting to Shs. 1.043 billion. The said residential apartments have been subject to repossession by the bank as a collateral to a bank loan on which the properties had been charged. The bank was unsuccessful in its effort to get a buyer to buy the properties and they did not receive any offers that were close to the cumulative costs so far incurred in putting up the residential blocks. There is therefore indication of impairment of this inventories. The directors are of the opinion that in the absence of a valuation done by a qualified valuer, they cannot reliably estimate the extent of impairment the property. Therefore, no provision for impairment has been booked in the financial statements.

**16. TRADE AND OTHER RECEIVABLES**

|                                                | Group             |                   | Company           |                    |
|------------------------------------------------|-------------------|-------------------|-------------------|--------------------|
|                                                | 2018 Shs          | 2017 Shs          | 2018 Shs          | 2017 Shs           |
| <b>Non current</b>                             |                   |                   |                   |                    |
| Receivables from related parties (Note 28(ii)) | -                 | -                 | -                 | 577,566,021        |
| <b>Current</b>                                 |                   |                   |                   |                    |
| Trade receivables                              | 24,000,000        | 24,000,000        | -                 | -                  |
| Less: impairment provision                     | (24,000,000)      | (24,000,000)      | -                 | -                  |
| Net trade receivables                          | -                 | -                 | -                 | -                  |
| Other receivables                              | 6,848,540         | 3,459,075         | 6,748,940         | 336,553            |
| Deposits and prepayments                       | 54,559,709        | 35,667,884        | 2,690,247         | 2,578,691          |
| Shareholders account                           | 500,000           | 500,000           | -                 | -                  |
| Receivables from related parties (Note 28(ii)) | 47,086,803        | 39,819,197        | 822,883,612       | 246,146,708        |
| Less: impairment provision                     | (38,987,869)      | -                 | (800,685,311)     | -                  |
|                                                | <b>70,007,183</b> | <b>79,446,156</b> | <b>31,637,488</b> | <b>249,061,952</b> |
|                                                | <b>70,007,183</b> | <b>79,446,156</b> | <b>31,637,488</b> | <b>826,627,973</b> |

Home Afrika Limited  
Annual report and consolidated financial statements  
For the year ended 31 December 2018

NOTES (CONTINUED)

16. TRADE AND OTHER RECEIVABLES (continued)

In the opinion of the directors, the carrying amounts of trade and other receivables approximate to their fair value.

The carrying amounts of the group's/company's trade and other receivables are denominated in Kenya shillings.

17. CASH AND CASH EQUIVALENTS

|                          | Group       |             | Company     |             |
|--------------------------|-------------|-------------|-------------|-------------|
|                          | 2018<br>Shs | 2017<br>Shs | 2018<br>Shs | 2017<br>Shs |
| Cash at bank and in hand | 9,338,188   | 19,640,279  | 2,771,118   | 10,118,445  |

The company's cash and bank balances are held with major Kenyan financial institutions and, insofar as the directors are able to measure any credit risk to these assets, it is deemed to be limited.

The carrying amounts of the group's/company's cash and cash equivalents are denominated in Kenya shillings.

18. DEFERRED INCOME

|                 | Group       |             |
|-----------------|-------------|-------------|
|                 | 2018<br>Shs | 2017<br>Shs |
| Deferred income | 998,427,582 | 936,785,104 |

Deferred income represents unrecognised revenue on account of ongoing construction.

19. TRADE AND OTHER PAYABLES

|                                           | Group                |                      | Company            |                    |
|-------------------------------------------|----------------------|----------------------|--------------------|--------------------|
|                                           | 2018<br>Shs          | 2017<br>Shs          | 2018<br>Shs        | 2017<br>Shs        |
| <b>Current</b>                            |                      |                      |                    |                    |
| Trade payables                            | 442,517,935          | 490,544,573          | 100,971,781        | 228,335,501        |
| Accruals                                  | 548,184,253          | 415,252,231          | 151,296,687        | 135,205,913        |
| Provision for other liabilities           | 286,268,422          | 286,268,422          | -                  | -                  |
| Deposit for service charge and shares     | 21,219,750           | 18,879,750           | -                  | -                  |
| Other payables                            | 65,247,058           | 53,010,589           | 31,948,987         | 32,824,332         |
| Payable to related parties (Note 28(iii)) | 77,345,722           | 99,837,598           | 249,224,129        | 204,558,982        |
|                                           | 1,440,783,140        | 1,363,793,163        | 533,441,584        | 600,924,728        |
| Deposit from sale of plots and units      | 1,632,533,384        | 1,418,897,759        | 214,287,801        | 161,947,501        |
| <b>Total trade and other payables</b>     | <b>3,073,316,524</b> | <b>2,782,690,922</b> | <b>747,729,385</b> | <b>762,872,229</b> |

In the opinion of the directors, the carrying amounts of trade and other payables approximate to their fair value.  
The carrying amounts of the group's/company's trade and other payables are denominated in Kenya shillings.

Home Afrika Limited  
Annual report and consolidated financial statements  
For the year ended 31 December 2018

NOTES (CONTINUED)

19. TRADE AND OTHER PAYABLES (continued)

The maturity analysis of the group's trade and other payables is as follows:

| Year ended 31 December 2018           | 0 to 1<br>month<br>Shs | 2 to 3<br>months<br>Shs | 4 to 12<br>months<br>Shs | Total<br>Shs  |
|---------------------------------------|------------------------|-------------------------|--------------------------|---------------|
| Trade payables                        | 23,365,913             | 189,967,260             | 229,184,762              | 442,517,935   |
| Accruals                              | 140,708,943            | 173,795,688             | 233,679,622              | 548,184,253   |
| Provision for other liabilities       | -                      | -                       | 286,268,422              | 286,268,422   |
| Deposit from sale of plots and units  | -                      | 140,424,185             | 1,492,109,199            | 1,632,533,384 |
| Deposit for service charge and shares | -                      | 3,010,185               | 62,236,873               | 21,219,750    |
| Other payables                        | -                      | 10,984,535              | 66,361,187               | 65,247,058    |
| Payable to related parties            | 8,829,186              | -                       | 68,516,536               | 77,345,722    |
|                                       | 172,904,042            | 518,181,853             | 2,438,356,601            | 3,073,316,524 |

Year ended 31 December 2017

|                                       |             |             |               |               |
|---------------------------------------|-------------|-------------|---------------|---------------|
| Trade payables                        | 25,901,824  | 210,584,478 | 254,058,271   | 490,544,573   |
| Accruals                              | 106,587,707 | 131,651,077 | 177,013,447   | 415,252,231   |
| Provision for other liabilities       | -           | -           | 286,268,422   | 286,268,422   |
| Deposit from sale of plots and units  | -           | 122,048,078 | 1,296,849,681 | 1,418,897,759 |
| Deposit for service charge and shares | -           | 2,678,238   | 16,201,512    | 18,879,750    |
| Other payables                        | -           | 8,924,489   | 44,086,100    | 53,010,589    |
| Payable to related parties            | 11,396,684  | -           | 88,440,914    | 99,837,598    |
|                                       | 143,886,215 | 475,886,360 | 2,162,918,347 | 2,782,690,922 |

The maturity analysis of the company's trade and other payables is as follows:

| Year ended 31 December 2018 | 0 to 1<br>month<br>Shs | 2 to 3<br>months<br>Shs | 4 to 12<br>months<br>Shs | Total<br>Shs |
|-----------------------------|------------------------|-------------------------|--------------------------|--------------|
| Trade payables              | 58,321,221             | 36,279,734              | 6,370,826                | 100,971,781  |
| Accruals                    | 18,378,985             | 47,317,657              | 85,600,045               | 151,296,687  |
| Deposit from sale of plots  | 28,590,992             | 185,696,809             | -                        | 214,287,801  |
| Other payables              | -                      | 2,834,537               | 29,114,450               | 31,948,987   |
| Payable to related parties  | -                      | -                       | 249,224,129              | 249,224,129  |
|                             | 105,291,198            | 272,128,737             | 370,309,450              | 747,729,385  |

|                             |             |             |             |             |
|-----------------------------|-------------|-------------|-------------|-------------|
| Year ended 31 December 2017 |             |             |             |             |
| Trade payables              | 131,886,405 | 82,042,242  | 14,406,854  | 228,335,501 |
| Accruals                    | 16,424,335  | 42,285,308  | 76,496,270  | 135,205,913 |
| Deposit from sale of plots  | 21,607,575  | 140,339,926 | -           | 161,947,501 |
| Other payables              | -           | 2,912,198   | 29,912,134  | 32,824,332  |
| Payable to related parties  | -           | -           | 204,558,982 | 204,558,982 |
|                             | 169,918,315 | 267,579,674 | 325,374,240 | 762,872,229 |



*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

**NOTES (CONTINUED)**

**22. DEPOSIT FOR SHARES (continued)**

- (i) Deposits for preference shares pending issue - Home Afrika Communities Limited
- The members passed an ordinary resolution on 24 June 2013 authorising the issue of 1,000 preference shares of Shs. 600,000 each.
  - The tenure of the preference shares shall be 3 years with the right to receive a cumulative dividend at a rate of 20.5% p.a. to be paid together with capital upon redemption and rank in priority over ordinary shares in repayment.
  - The preference shares are secured by a first legal charge over property unit L.R. No. 29059 PDS W01 (I.R No.133694) measuring 25.31 acres valued at approximately Shs 650,000,000.
- (ii) Deposits for preference shares pending issue - Kikwetu Development Limited
- The company intends to issue preference shares at a subscription price of Shs. 500,000 each.
  - The tenure of the preference shares shall be 3 years with the right to receive dividend at a rate of 18% per annum.
- (iii) Deposit for ordinary shares pending allotment relates to amounts received with respect to the reservation of shares to minority interest in the subsidiary companies. No shares had been allotted as at the statement of financial position date.

**23. DEFERRED TAX**

Deferred tax is calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30% (2017: 30%). The movement on the deferred tax account is as follows:

|                                   | <b>Group</b>        |                     |
|-----------------------------------|---------------------|---------------------|
|                                   | <b>2018<br/>Shs</b> | <b>2017<br/>Shs</b> |
| At start of year                  | 46,877,574          | 83,430,461          |
| Credit to profit or loss (Note 8) | (46,877,574)        | (36,552,887)        |
| At end of year                    | <u>-</u>            | <u>46,877,574</u>   |

**Group**

Deferred tax (assets) and liabilities, deferred tax charge/(credit) to other comprehensive income and deferred tax charge/(credit) in profit or loss are attributable to the following items:

|                                        | <b>Charge/(credit)</b>              |                                      |                                   |
|----------------------------------------|-------------------------------------|--------------------------------------|-----------------------------------|
|                                        | <b>At start<br/>of year<br/>Shs</b> | <b>to profit or<br/>loss<br/>Shs</b> | <b>At end<br/>of year<br/>Shs</b> |
| <b>Deferred tax liabilities</b>        |                                     |                                      |                                   |
| Fair value gain on investment property | 186,971,838                         | -                                    | 186,971,838                       |
| Property and equipment                 | (1,204,086)                         | 708,872                              | (495,214)                         |
|                                        | <u>185,767,752</u>                  | <u>708,872</u>                       | <u>186,476,624</u>                |
| <b>Deferred tax assets</b>             |                                     |                                      |                                   |
| Other timing differences               | 4,890,891                           | (4,890,891)                          | -                                 |
| Tax losses carried forward             | (143,781,069)                       | (50,359,947)                         | (194,141,016)                     |
| Deferred tax assets not recognised     | -                                   | 7,664,392                            | 7,664,392                         |
|                                        | <u>(138,890,178)</u>                | <u>(47,586,446)</u>                  | <u>(186,476,624)</u>              |
| <b>Net deferred tax liability</b>      | <u>46,877,574</u>                   | <u>(46,877,574)</u>                  | <u>-</u>                          |

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

**NOTES (CONTINUED)**

**23. DEFERRED TAX (continued)**

Deferred tax assets on tax losses carried forward are only recognised to the extent of certainty of availability of sufficient future taxable profits to utilise such losses against. Deferred tax assets amounting to Shs. 306,555,378 (2017: Shs. 219,672,321) in respect of tax losses carried forward amounting to Shs. 1,021,851,261 (2017: Shs. 732,241,070) that can be carried forward against future taxable profits have not been recognised. These tax losses expire as follows:

|                              | <b>SHS</b>  | <b>EXPIRY</b>    |
|------------------------------|-------------|------------------|
| - tax losses arising in 2012 | 16,205,533  | 31 December 2021 |
| - tax losses arising in 2013 | 85,589,927  | 31 December 2022 |
| - tax losses arising in 2014 | 35,339,120  | 31 December 2023 |
| - tax losses arising in 2015 | 302,031,430 | 31 December 2024 |
| - tax losses arising in 2016 | 116,532,264 | 31 December 2025 |
| - tax losses arising in 2017 | 176,542,796 | 31 December 2026 |
| - tax losses arising in 2018 | 289,610,191 | 31 December 2027 |

|                          | <b>Company</b>      |  |                     |
|--------------------------|---------------------|--|---------------------|
|                          | <b>2018<br/>Shs</b> |  | <b>2017<br/>Shs</b> |
| At start of year         | (624,639)           |  | (824,324)           |
| Charge to profit or loss | <u>624,639</u>      |  | <u>199,685</u>      |
| At end of year           | <u>-</u>            |  | <u>(624,639)</u>    |

|                              | <b>At start<br/>of year<br/>Shs</b> | <b>Charge<br/>to profit or<br/>loss<br/>Shs</b> | <b>At end<br/>of year<br/>Shs</b> |
|------------------------------|-------------------------------------|-------------------------------------------------|-----------------------------------|
| <b>Deferred tax (assets)</b> |                                     |                                                 |                                   |
| Property and equipment       | (106,017)                           | 106,017                                         | -                                 |
| Intangible assets            | <u>(518,622)</u>                    | <u>518,622</u>                                  | <u>-</u>                          |
|                              | <u>(624,639)</u>                    | <u>624,639</u>                                  | <u>-</u>                          |

Deferred tax assets amounting to Shs. 149,088,726 (2017: Shs. 113,173,916) in respect of tax losses carried forward amounting to Shs. 496,962,420 (2017: Shs. 377,246,387) that can be carried forward against future taxable profits have not been recognised as there is no certainty of recoverability of such losses. These tax losses expire as follows:

|                              | <b>SHS</b>  | <b>EXPIRY</b>    |
|------------------------------|-------------|------------------|
| - tax losses arising in 2014 | 56,993,897  | 31 December 2023 |
| - tax losses arising in 2015 | 113,378,831 | 31 December 2024 |
| - tax losses arising in 2016 | 75,230,643  | 31 December 2025 |
| - tax losses arising in 2017 | 131,643,016 | 31 December 2026 |
| - tax losses arising in 2018 | 119,716,033 | 31 December 2027 |

Home Afrika Limited  
Annual report and consolidated financial statements  
For the year ended 31 December 2018

NOTES (CONTINUED)

24. SHARE CAPITAL

|                                                                              | Group and company |             |
|------------------------------------------------------------------------------|-------------------|-------------|
|                                                                              | 2018              | 2017        |
|                                                                              | Shs               | Shs         |
| <b>Authorised:</b>                                                           |                   |             |
| 500,000,000 (2017:500,000,000) ordinary shares of shs. 1 (2017: Shs. 1) each | 500,000,000       | 500,000,000 |
| <b>Issued and fully paid:</b>                                                |                   |             |
| 405,255,320 (2017: 405,255,320) ordinary shares of Shs. 1 (2017: shs.1) each | 405,255,320       | 405,255,320 |

25. SHARE PREMIUM

|                              | Group and company |            |
|------------------------------|-------------------|------------|
|                              | 2018              | 2017       |
|                              | Shs               | Shs        |
| At start and end of the year | 68,842,038        | 68,842,038 |

26. CASH FROM OPERATIONS

|                                                              | 2018          | Group         | Company       | 2017          |
|--------------------------------------------------------------|---------------|---------------|---------------|---------------|
|                                                              | Shs           | 2017          | 2018          | Shs           |
|                                                              |               | Shs           | Shs           |               |
| Reconciliation of (loss) before tax to cash from operations: |               |               |               |               |
| (Loss) before tax                                            | (391,904,755) | (221,014,550) | (129,490,648) | (134,630,604) |
| <b>Adjustments for:</b>                                      |               |               |               |               |
| Depreciation on property and equipment (Note 10)             | 6,874,919     | 6,809,065     | 3,962,764     | 3,575,521     |
| Amortization intangible assets (Note 12)                     | 1,266,111     | 756,297       | 1,266,111     | 756,297       |
| Fair value (gain) on investment property (Note 11)           | -             | (60,828,808)  | -             | -             |
| Loss on disposal                                             | 310,000       | -             | 310,000       | -             |
| Interest expense (Note 7)                                    | 166,494,777   | 94,036,526    | 20,076,528    | 44,007,415    |
| Changes in working capital:                                  |               |               |               |               |
| - inventories                                                | (45,255,709)  | (494,419,306) | 129,258,728   | (200,794,495) |
| - trade and other receivables                                | (18,855,254)  | (14,295,760)  | 2,505,050     | (7,888,346)   |
| - trade and other payables                                   | 290,625,602   | 752,344,577   | (15,142,844)  | 317,956,834   |
| - deferred income                                            | 61,642,478    | 17,658,586    | -             | -             |
| Cash from operations                                         | 71,198,169    | 81,046,627    | 12,745,689    | 22,982,622    |

27. NET DEBT RECONCILIATION

|                                                                                                                  |               |               |              |              |
|------------------------------------------------------------------------------------------------------------------|---------------|---------------|--------------|--------------|
| Reconciliation of liabilities arising from financing activities:                                                 |               |               |              |              |
| At start of year:                                                                                                |               |               |              |              |
| Borrowings (Note 20)                                                                                             | 707,024,803   | 687,095,878   | -            | 13,817,542   |
| Private placement (Note 21)                                                                                      | 494,182,715   | 488,418,287   | 494,182,715  | 488,418,287  |
| Deposit for shares (Note 22)                                                                                     | 182,588,522   | 207,588,548   | -            | -            |
|                                                                                                                  | 1,383,796,040 | 1,383,102,713 | 494,182,715  | 502,235,829  |
| Interest on borrowings charged to profit or loss                                                                 | 160,677,492   | 88,272,098    | 20,076,528   | 38,242,987   |
| Interest on borrowings capitalised to inventory net of interest accruals included under trade and other payables | 1,962,715     | 1,411,293     | -            | 6,302,185    |
| Cash flows:                                                                                                      |               |               |              |              |
| - Operating activities (interest paid)                                                                           | (11,644,764)  | (40,757,824)  | (14,259,243) | (38,780,744) |
| - Repayments of long-term borrowings                                                                             | (53,007,637)  | (48,232,240)  | -            | (13,817,542) |
| At end of year                                                                                                   | 1,481,783,846 | 1,383,796,040 | 500,000,000  | 494,182,715  |
| <b>Representing:</b>                                                                                             |               |               |              |              |
| Borrowings (Note 20)                                                                                             | 803,049,894   | 707,024,803   | -            | -            |
| Private placement (Note 21)                                                                                      | 500,000,000   | 494,182,715   | 500,000,000  | 494,182,715  |
| Deposit for shares (Note 22)                                                                                     | 174,808,522   | 182,588,522   | -            | -            |
|                                                                                                                  | 1,477,858,416 | 1,383,796,040 | 500,000,000  | 494,182,715  |

Home Afrika Limited  
Annual report and consolidated financial statements  
For the year ended 31 December 2018

NOTES (CONTINUED)

24. RELATED PARTY TRANSACTIONS AND BALANCES

The nature of related parties is through common directorship and shareholding. The following transactions were carried out with related parties:

i) Key management personnel compensation

|                              | Group      |            | Company   |            |
|------------------------------|------------|------------|-----------|------------|
|                              | 2018       | 2017       | 2018      | 2017       |
|                              | Shs        | Shs        | Shs       | Shs        |
| Short term employee benefits | 31,985,228 | 56,351,154 | 2,550,000 | 52,072,582 |

ii) Outstanding balances arising from payments to/received from related parties

|                                                              | Group     |            | Company    |             |
|--------------------------------------------------------------|-----------|------------|------------|-------------|
|                                                              | 2018      | 2017       | 2018       | 2017        |
|                                                              | Shs       | Shs        | Shs        | Shs         |
| Receivable from related parties (Note 16)                    | 8,098,934 | 39,819,197 | 22,198,301 | 823,712,729 |
| Receivables from related parties can be analysed as follows: |           |            |            |             |
| - Subsidiaries                                               | -         | -          | 22,198,301 | 792,230,184 |
| - Other related parties                                      | 8,098,934 | 39,819,197 | -          | 31,482,545  |
|                                                              | 8,098,934 | 39,819,197 | 22,198,301 | 823,712,729 |

The amounts receivable from related parties are interest free, have no specific dates of repayment and are unsecured.

iii) Outstanding balances arising from payments to/received from related parties

|                                                           | Group      |            | Company     |             |
|-----------------------------------------------------------|------------|------------|-------------|-------------|
|                                                           | 2018       | 2017       | 2018        | 2017        |
|                                                           | Shs        | Shs        | Shs         | Shs         |
| Payable to related parties (Note 19)                      | 77,345,722 | 99,837,598 | 249,224,129 | 204,558,982 |
| Payables from related parties can be analysed as follows: |            |            |             |             |
| - Subsidiaries                                            | -          | -          | 173,863,479 | 126,178,036 |
| - Other related parties e.g. Directors, shareholders      | 77,345,722 | 99,837,598 | 75,360,650  | 78,380,946  |
|                                                           | 77,345,722 | 99,837,598 | 249,224,129 | 204,558,982 |

The amounts receivable from related parties are interest free, have no specific dates of repayment and are unsecured.

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

**NOTES (CONTINUED)**

**29. RISK MANAGEMENT OBJECTIVES AND POLICIES**

**Financial risk management**

The group's activities expose it to a variety of financial risks: market risk (including interest rate risk), credit risk and liquidity risk.

Risk management is carried out by the management under policies approved by the board of directors. Management identifies and evaluates financial risks in close co-operation with various departmental heads. The board provides written principles for overall risk management, as well as written policies covering specific areas, such as interest rate risk and credit risk.

**(a) Market risk**

**- Interest rate risk**

The group's exposure to interest rate risk arises from non-current borrowings/current borrowings. Financial assets and liabilities obtained at different rates expose the company to interest rate risk.

At 31 December 2018, if interest rates at that date had been 1 percentage point lower with all other variables held constant, post-tax loss for the year would have been Shs. 5,621,349 (2017: 4,949,174) lower, arising mainly as a result of lower interest expense on variable rate borrowings. The effect would be the opposite were interest rates to be 1% higher. 1% represents the maximum expected high change in rates.

**(b) Credit risk**

Credit risk arises from cash and cash equivalents, derivative financial instruments and deposits with banks and financial institutions, as well as credit exposures to customers, including outstanding receivables. If customers are independently rated, these ratings are used. Otherwise, if there is no independent rating, management assesses the credit quality of the customer, taking into account their financial position, past experience and other factors.

Individual limits are set based on internal or external information in accordance with limits set by the management.

The utilisation of credit limits is regularly monitored.

In assessing whether the credit risk on a financial asset has increased significantly, the company compares the risk of default occurring on the financial asset as at the reporting date with the risk of default occurring on that financial asset as at the date of initial recognition. In doing so, the company considers reasonable and supportable information that is indicative of significant increases in credit risk since initial recognition and that is available without undue cost or effort. There is a rebuttable assumption that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 30 days past due.

For these purpose default is defined as having occurred if the debtor is in breach of contractual obligations, or if information is available internally or externally that suggests that the debtor unlikely to be able to meet its obligations. However, there is a rebuttable assumption that that default does not occur later than when a financial asset is 90 days past due.

If the company does not have reasonable and supportable information to identify significant increases in credit risk and/or to measure lifetime credit losses when there has been a significant increase in credit risk on an individual instrument basis, lifetime expected credit losses are recognised on a collective basis. For such purposes, the company groups financial assets on the basis of shared credit risk characteristics, such as:

- type of instrument;
- industry in which the debtor operates;
- nature of collateral.

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

**NOTES (CONTINUED)**

**29. RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)**

**Financial risk management (continued)**

A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Evidence that a financial asset is credit impaired include observable data about the the following events:

- significant financial difficulty of the debtor
- a breach of contract
- it is probable that the debtor will enter bankruptcy
- the disappearance of an active market for the financial asset because of financial difficulties.

The gross carrying amount of financial assets with exposure to credit risk at the balance sheet date of the group and company was as follows:

| Group                                              | 12-month<br>expected<br>credit<br>losses           | Lifetime expected credit losses (see note<br>below)         |                   |                   | Total         |
|----------------------------------------------------|----------------------------------------------------|-------------------------------------------------------------|-------------------|-------------------|---------------|
| Basis for measurement of<br>loss allowance         |                                                    | a)<br>Shs                                                   | b)<br>Shs         | c)<br>Shs         | Shs           |
| <b>As at 31 December 2018</b>                      | <b>Shs</b>                                         | <b>Shs</b>                                                  | <b>Shs</b>        | <b>Shs</b>        | <b>Shs</b>    |
| Trade receivables                                  | -                                                  | -                                                           | -                 | 24,000,000        | 24,000,000    |
| Other receivables                                  | -                                                  | -                                                           | -                 | 6,848,540         | 6,848,540     |
| Deposits and prepayments                           | -                                                  | -                                                           | -                 | 54,559,709        | 54,559,709    |
| Shareholders account                               | -                                                  | -                                                           | -                 | 500,000           | 500,000       |
| Receivables from related parties                   | -                                                  | -                                                           | -                 | 67,753,206        | 67,753,206    |
| Gross carrying amount                              | -                                                  | -                                                           | -                 | 153,661,455       | 153,661,455   |
| Loss allowance                                     | -                                                  | -                                                           | -                 | (62,987,869)      | (62,987,869)  |
| Exposure to credit risk                            | -                                                  | -                                                           | -                 | 90,673,586        | 90,673,586    |
| <b>Company</b>                                     | <b>12-month<br/>expected<br/>credit<br/>losses</b> | <b>Lifetime expected credit losses (see note<br/>below)</b> |                   |                   | <b>Total</b>  |
| <b>Basis for measurement of<br/>loss allowance</b> |                                                    | <b>a)<br/>Shs</b>                                           | <b>b)<br/>Shs</b> | <b>c)<br/>Shs</b> | <b>Shs</b>    |
| <b>As at 31 December 2018</b>                      | <b>Shs</b>                                         | <b>Shs</b>                                                  | <b>Shs</b>        | <b>Shs</b>        | <b>Shs</b>    |
| Other receivables                                  | -                                                  | -                                                           | -                 | 6,748,940         | 6,748,940     |
| Deposits and prepayments                           | -                                                  | -                                                           | -                 | 2,690,247         | 2,690,247     |
| Receivables from related parties                   | -                                                  | -                                                           | -                 | 822,883,612       | 822,883,612   |
| Gross carrying amount                              | -                                                  | -                                                           | -                 | 832,322,799       | 832,322,799   |
| Loss allowance                                     | -                                                  | -                                                           | -                 | (800,685,311)     | (800,685,311) |
| Exposure to credit risk                            | -                                                  | -                                                           | -                 | 31,637,488        | 31,637,488    |

Home Afrika Limited  
Annual report and consolidated financial statements  
For the year ended 31 December 2018

NOTES (CONTINUED)

29. RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

Financial risk management (continued)

Financial assets for which the loss allowance has been measured at an amount equal to lifetime expected credit losses have been analysed above based on their credit risk ratings as follows:

- financial assets for which credit risk has increased significantly since initial recognition but that are not credit impaired;
- financial assets that are credit impaired at the balance sheet date;
- trade receivables, contract assets and lease receivables for which the loss allowance is always measured at an amount equal to lifetime expected credit losses, based, as a practical expedient, on provision matrices.

The following table reconciles the movement of the loss allowance for 2017 and 2018 for group:

|                                         | Group       |             | Company     |             |
|-----------------------------------------|-------------|-------------|-------------|-------------|
|                                         | 2018<br>Shs | 2017<br>Shs | 2018<br>Shs | 2017<br>Shs |
| <b>Movement in impairment provision</b> |             |             |             |             |
| At start of year - as previously stated | 24,000,000  | 24,000,000  | -           | -           |
| Prior year adjustment                   |             |             |             |             |
| - IFRS 9 transition impact              | 28,294,227  | -           | 792,485,435 | -           |
| At start of year - restated             | 52,294,227  | 24,000,000  | 792,485,435 | -           |
| Additional provision                    | 10,693,642  | -           | 8,199,876   | -           |
| At end of year                          | 62,987,869  | 24,000,000  | 800,685,311 | -           |

c) Liquidity risk

Cash flow forecasting is performed by the finance department of the group by monitoring the company's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the group does not breach borrowing limits or covenants on any of its borrowing facilities.

Prudent liquidity risk management implies maintaining sufficient cash, the availability of funding through an adequate amount of committed credit facilities and the ability to close out market positions. Due to the dynamic nature of the underlying businesses, the company's management maintains flexibility in funding by maintaining availability under committed credit lines.

Notes 21 and 20 disclose the maturity analysis of borrowings and trade and other payables respectively.

Home Afrika Limited  
Annual report and consolidated financial statements  
For the year ended 31 December 2018

NOTES (CONTINUED)

29. RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

c) Liquidity risk (continued)

The following table details the group's remaining contractual maturity for its non-derivative financial liabilities with agreed repayment periods. The tables have been drawn up based on undiscounted cash flows of financial liabilities based on the earliest date on which the group can be required to pay.

Group

Year ended 31 December 2018

|                                  | Interest<br>rate<br>% | Less than<br>1 year<br>Shs | 1 - 5 years<br>Shs | More than<br>5 years<br>Shs | Total<br>Shs  |
|----------------------------------|-----------------------|----------------------------|--------------------|-----------------------------|---------------|
| Interest bearing liabilities     |                       |                            |                    |                             |               |
| - Bank loans                     | 23.0%                 | 959,644,623                | -                  | -                           | 959,644,623   |
| - Private placement bond         | 17.0%                 | 500,000,000                | -                  | -                           | 500,000,000   |
| Non-interest bearing liabilities |                       |                            |                    |                             |               |
| - Deposit for shares             | -                     | 174,808,522                | -                  | -                           | 174,808,522   |
| - Trade and other payables       | -                     | 3,073,316,524              | -                  | -                           | 3,073,316,524 |
|                                  |                       | 4,707,769,669              | -                  | -                           | 4,707,769,669 |

Year ended 31 December 2017

|                                  |       |               |            |   |               |
|----------------------------------|-------|---------------|------------|---|---------------|
| Interest bearing liabilities     |       |               |            |   |               |
| - Bank loans                     | 17.3% | 844,894,640   | -          | - | 844,894,640   |
| - Private placement bond         | 17.0% | 500,000,000   | -          | - | 500,000,000   |
| Non-interest bearing liabilities |       |               |            |   |               |
| - Deposit for shares             | -     | 182,588,522   | -          | - | 182,588,522   |
| - Trade and other payables       | -     | 2,496,422,500 | -          | - | 2,496,422,500 |
|                                  |       | 4,023,905,662 | 96,253,550 | - | 4,023,905,662 |

Company

Year ended 31 December 2018

|                                  | Interest<br>rate<br>% | Less than<br>1 year<br>Shs | 1 - 5 years<br>Shs | More than<br>5 years<br>Shs | Total<br>Shs  |
|----------------------------------|-----------------------|----------------------------|--------------------|-----------------------------|---------------|
| Interest bearing liabilities     |                       |                            |                    |                             |               |
| - Corporate bond                 | 17.0%                 | 500,000,000                | -                  | -                           | 500,000,000   |
| Non-interest bearing liabilities |                       |                            |                    |                             |               |
| - Trade and other payables       | -                     | 747,729,385                | -                  | -                           | 747,729,385   |
|                                  |                       | 1,247,729,385              | -                  | -                           | 1,247,729,385 |

Year ended 31 December 2017

|                                  |       |               |   |   |               |
|----------------------------------|-------|---------------|---|---|---------------|
| Interest bearing liabilities     |       |               |   |   |               |
| - Corporate bond                 | 17.0% | 500,000,000   | - | - | 500,000,000   |
| Non-interest bearing liabilities |       |               |   |   |               |
| - Trade and other payables       | -     | 762,872,229   | - | - | 762,872,229   |
|                                  |       | 1,262,872,229 | - | - | 1,262,872,229 |

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

**NOTES (CONTINUED)**

**30. CAPITAL MANAGEMENT**

**Internally imposed capital requirements**

- to provide an adequate return to shareholders by pricing products and services commensurate with the level of risk;
- to comply with the capital requirements set out by the group's bankers;
- to safeguard the entity's ability to continue as a going concern, so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- to maintain a strong asset base to support the development of business.
- to maintain an optimal capital structure to reduce the cost of capital.

The group sets the amount of capital in proportion to risk. The company manages the capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets. In order to maintain or adjust the capital structure, the company may adjust the amount of dividends paid to shareholders, return capital to shareholders, issue new shares, or sell assets to reduce debt. Consistently with others in the industry, the company monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided capital. Net debt is calculated as total debt (as shown in the statement of financial position) less cash and cash equivalents. Capital comprises all components of equity (i.e. share capital, share premium and other reserves retained earnings).

Due to accumulated losses, the group is entirely funded by its lenders.

**31. CONTINGENT LIABILITIES**

The group is in receipt of certain claims for damages and other remuneration from former employees. Amounts payable based on agreement entered into with the former employees as of the date of approval of these financial statements have been provided for where material. Disputed amounts have not been provided for as the company does not believe these are payable based on legal and other advice received. It is not possible to predict with certainty any further amounts that are payable following completion of the ongoing discussions in this regard. Home Afrika Communities Limited (a subsidiary) received preliminary claims from the Kenya Revenue Authority. The company has disputed the assessment and lodged a formal objection through their tax consultant. There has been no further development in this regard. No provision for this has been recognised in these financial statements based on defences available against such claims. It is not possible to determine with certainty the amounts that may be payable. The group is also subject to claims which arise in the ordinary course of business. No provisions for such claims have been recognised as the directors are of the opinion that no material loss will arise from such claims.

**32. INCORPORATION**

Home Afrika Limited is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya.

**33. PRIOR YEAR ADJUSTMENTS**

The comparative financial statements for the year ended 31 December 2017 have been restated to reflect provision for other liabilities arising from PDS plots that had previously been transferred to a separate group entity, Migaa PDS Limited. A provision of Shs. 286 million has been made including minority interest adjustment on the transfers.

**34. PRESENTATION CURRENCY**

The financial statements are presented in Kenya Shillings (Shs).

*Home Afrika Limited*  
*Annual report and consolidated financial statements*  
*For the year ended 31 December 2018*

**SCHEDULE OF EXPENDITURE**

| 1. SELLING AND DISTRIBUTION EXPENSES           | Group              |                    | Company            |                   |
|------------------------------------------------|--------------------|--------------------|--------------------|-------------------|
|                                                | 2018<br>Shs        | 2017<br>Shs        | 2018<br>Shs        | 2017<br>Shs       |
| Marketing fees                                 | 8,659,790          | 10,190,669         | 2,600,673          | 3,892,121         |
| Commissions                                    | 2,928,920          | 26,664,414         | 327,600            | 4,309,373         |
| Advertising and sales promotion                | 1,492,318          | 1,827,303          | 1,523,717          | 1,483,123         |
| <b>Total selling and distribution expenses</b> | <b>13,081,028</b>  | <b>38,682,386</b>  | <b>4,451,990</b>   | <b>9,684,617</b>  |
| <b>2. ADMINISTRATIVE EXPENSES</b>              |                    |                    |                    |                   |
| <b>Employment:</b>                             |                    |                    |                    |                   |
| Salaries and wages                             | 100,924,319        | 78,479,371         | 61,218,429         | 30,699,533        |
| Medical                                        | 5,576,769          | 7,918,993          | 1,556,696          | 3,610,094         |
| Staff training and welfare                     | 6,374,430          | 3,371,270          | 2,139,114          | 1,818,688         |
| <b>Total employment costs</b>                  | <b>112,875,518</b> | <b>89,769,634</b>  | <b>64,914,239</b>  | <b>36,128,315</b> |
| <b>Other administrative expenses:</b>          |                    |                    |                    |                   |
| Directors and Committee allowance              | 31,985,228         | 23,493,572         | 2,550,000          | 19,215,000        |
| Provision for doubtful debts                   | 10,693,642         | -                  | 8,199,876          | -                 |
| Meetings expenses                              | 2,928,640          | 2,059,339          | 2,928,640          | 2,053,089         |
| Legal and professional fees                    | 45,149,008         | 37,446,674         | 19,969,582         | 17,032,693        |
| Vehicle running                                | 2,579,862          | 1,450,029          | 1,211,481          | 402,546           |
| Office expenses                                | 1,324,339          | 2,927,478          | 777,491            | 671,054           |
| Postages and telephones                        | 2,906,603          | 2,122,052          | 1,835,468          | 2,102,852         |
| Audit fees                                     |                    |                    |                    |                   |
| - current year                                 | 3,686,000          | 3,686,000          | 600,000            | 600,000           |
| - under provision in prior years               | 311,944            | 89,144             | -                  | 106,000           |
| Travelling and accommodation                   | 2,208,829          | 606,586            | 659,909            | 561,306           |
| Donations                                      | 842,217            | 672,582            | 126,500            | 472,582           |
| Computer expenses                              | 3,259,532          | 1,661,388          | 2,701,059          | 1,170,542         |
| Printing and stationery                        | 369,963            | 1,292,238          | 363,478            | 1,071,629         |
| Bank charges and commissions                   | 746,963            | 566,026            | 292,961            | 252,045           |
| Secretarial fees                               | 1,126,079          | 1,211,032          | 1,126,079          | 1,211,032         |
| <b>Total other administrative expenses</b>     | <b>110,118,849</b> | <b>79,284,140</b>  | <b>43,342,524</b>  | <b>46,922,370</b> |
| <b>Total administrative expenses</b>           | <b>222,994,367</b> | <b>169,053,774</b> | <b>108,256,763</b> | <b>83,050,685</b> |
| <b>3. OTHER OPERATING EXPENSES</b>             |                    |                    |                    |                   |
| <b>Establishment:</b>                          |                    |                    |                    |                   |
| Depreciation on property and equipment         | 6,874,919          | 6,809,065          | 3,962,764          | 3,575,521         |
| Repairs and maintenance                        | 3,270,039          | 1,389,988          | 573,503            | 312,068           |
| Service charge                                 | 1,246,431          | 2,883,604          | 1,246,431          | 2,883,604         |
| Insurance                                      | 2,511,875          | 1,529,550          | 1,525,611          | 1,011,326         |
| Security                                       | 11,826,382         | 11,907,832         | -                  | -                 |
| Amortization intangible asset                  | 1,266,111          | 756,297            | 1,266,111          | 756,297           |
| Electricity                                    | 2,074,385          | 3,158,144          | 335,311            | 366,336           |
| Loss on disposal of property and equipment     | 310,000            | -                  | 310,000            | -                 |
| Rent                                           | 102,300            | 157,300            | -                  | -                 |
| Licence and subscriptions                      | 284,693            | 945,946            | 235,193            | 375,926           |
| <b>Total other operating expenses</b>          | <b>29,767,135</b>  | <b>29,537,726</b>  | <b>9,454,924</b>   | <b>9,281,078</b>  |

## OTHER INFORMATION

## AGM NOTICE



Home Afrika Limited | 5<sup>th</sup> Floor, Morningside Office Park | Ngong Road, P.O. Box 6254 – 00100, Nairobi. Tel: +254 (0) 20 272000  
[info@homeafrika.com](mailto:info@homeafrika.com) | [www.homeafrika.com](http://www.homeafrika.com)

## NOTICE OF THE ANNUAL GENERAL MEETING

**Notice is hereby given** that the Annual General Meeting of the Shareholders of Home Afrika Limited will be held at the **Kenya Institute of Curriculum Development, Desai Road – off Murang'a Road, Nairobi** on **Thursday, 5<sup>th</sup> September 2019 at 10.00 am** to transact the following business:

## AGENDA

- 1. Constitution of the Meeting**  
To read the notice convening the meeting and determine if a quorum is present.
- 2. Confirmation of the Minutes**  
To confirm the Minutes of the previous Annual General Meeting held on 14<sup>th</sup> June 2018.
- 3. Financial Statement for the Year ended 31<sup>st</sup> December 2018**  
To receive, consider and if thought fit, adopt the Audited Consolidated Financial Statements for the year ended 31<sup>st</sup> December 2018 together with the Directors' and Auditors' reports thereon.
- 4. Dividend**  
To note that the Directors do not recommend the payment of a dividend for the year ended 31<sup>st</sup> December 2018.
- 5. Election of Directors**
  - a) In accordance with Article 115 of the Company's Articles of Association, Mr. Luke Kinoti, having been appointed as an additional director on the Board with effect from 24<sup>th</sup> July 2019, to hold office until the conclusion of the next Annual General Meeting, retires and being eligible, offers himself for re-election.
  - b) In accordance with the provisions of Section 769 of the Companies Act 2015, the following directors, being members of the Board Audit, Risk and Compliance Committee be elected to continue to serve as members of the said Committee:
    - i. Ms. Caroline Kigen (Chairperson)
    - ii. Ms. Rachel Mbai
    - iii. Mr. Ketan Shah
    - iv. Mr. Peter Nduati
- 6. Remuneration of Directors**  
To receive, consider and if thought fit, approve the Directors' Remuneration Report and to authorize the Board to fix the remuneration of the Directors.

Directors: Linus Gitahi (Chairman) Dan Awendo (Managing Director), Peter Nduati, Mbugua Gecaga, Caroline Kigen, Ketan Shah and Rachel Mbai



Home Afrika Limited | 5<sup>th</sup> Floor, Morningside Office Park | Ngong Road, P.O. Box 6254 – 00100, Nairobi. Tel: +254 (0) 20 272000  
[info@homeafrika.com](mailto:info@homeafrika.com) | [www.homeafrika.com](http://www.homeafrika.com)

**7. Appointment and Remuneration of Auditors**

To re-appoint Messrs. PKF Kenya as auditors of the Company in accordance with the provisions of Section 721(2) and 724 of the Companies Act 2015 and to authorize the Board to fix their remuneration for the ensuing financial year.

**8. Special Business**

To consider and if found fit, to pass a special resolution approving a substantial property transaction between the Company and a director, Mr. Linus Gitahi in accordance with the provisions of Section 158 of the Companies Act 2015.

**9. Any Other Business**

To transact any other business of the Company of which due notice has been received.

By order of the Board

Madren Oluoch-Olunya

Company Secretary

24<sup>th</sup> July 2019

**Note 1:** A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend on his or her behalf. A proxy need not be a member of the Company. To be valid, a form of proxy which is provided with this report must be duly completed by the member or his attorney duly authorized and must be lodged at the offices of the Company or the Company Registrar to be posted so as to reach the Company not later than 48 hours before the meeting or adjournment thereof. If the appointor is a corporation, the instrument appointing the proxy, shall be given under the common seal or under the hand of an officer or duly authorized attorney of that corporation.

**Note 2:** A copy of this notice, proxy form and the entire Annual Report and Accounts may be viewed on or downloaded from the Company's website at [www.homeafrika.com](http://www.homeafrika.com)

Directors: Linus Gitahi (Chairman) Dan Awendo (Managing Director), Peter Nduati, Mbugua Gecaga, Caroline Kigen, Ketan Shah and Rachel Mbai

**PROXY FORM****HOME AFRIKA LIMITED****PROXY FORM**

I/We, \_\_\_\_\_ of P. O. Box  
 \_\_\_\_\_ being a member/members of the above-named  
 Company, hereby appoint \_\_\_\_\_ of  
 P. O. Box \_\_\_\_\_ as my/our proxy to vote for  
 me/us and on my/our behalf at the Annual General Meeting of the Company to be held at the  
 Kenya Institute of Curriculum Development, Desai Road – off Muranga Road, Nairobi on  
**Thursday, 5<sup>th</sup> September 2019 at 10.00 am**, and at any adjournment thereof.

Dated this \_\_\_\_\_ day of \_\_\_\_\_ 2019.

Signature(s)/Seal: \_\_\_\_\_

**Notes**

1. A form of proxy must be completed and signed by the member or the member's attorney duly authorized in writing. In the case of a member being a limited liability company, this form must be completed under its common seal or under the hand of an attorney duly authorized in writing.
2. Proxies must be received by the Company Secretary /the Shares Registrar, Co-operative Bank of Kenya Limited, CIC Plaza Upper Hill 3<sup>rd</sup> Floor, Nairobi or on email [shares@co-opbank.co.ke](mailto:shares@co-opbank.co.ke), not later than 48 hours before the time of holding the meeting or adjourned meeting.





# HOME AFRIKA

**Houses Become Homes**

Pent Suite 01  
5<sup>th</sup> Floor, Morningside Office Park  
Ngong Road

P.O. Box 6254-00100, Nairobi, KE  
Phone: +254 20 277 2000/ +254 716 802 070  
[info@homeafrika.com](mailto:info@homeafrika.com)  
[www.homeafrika.com](http://www.homeafrika.com)

 Home Afrika Ltd  @HomeAfrika  Home Afrika Limited